

Sumitomo Chemi. (SUMICHEM)

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Call: May 2023

SCIL/SEC/2023

25th May, 2023

To,

BSE Limited,

Listing Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001 The National Stock Exchange of

India Listing Department,

Exchange Plaza,

Bandra Kurla Complex

Bandra East,

Mumbai - 400 051

Sub: Written Transcript of Earnings Call held on 19th May, 2023

Dear Sirs,

This has reference to our letter, intimating about the earnings call on 19th May, 2023 with Investors/Analysts to discuss financial performance of the Company for the quarter and year ended 31st March, 2023, and weblink for the audio-recording of the call submitted to you on 20th May, 2023.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:

<https://sumichem.co.in/investors-relations.php#Announcements> .

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Sumitomo Chemical India Limited

Deepika Trivedi

Company Secretary & Compliance

Encl: a/a

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"Sumitomo Chemical India Limited

Q4 and FY23 Earnings Conference Call"

May 19, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 20th May 2023 will prevail.

MANAGEMENT : M R. CHETAN SHAH – MANAGING DIRECTOR –
SUMITOMO CHEMICAL INDIA LIMITED

MR. SUSHIL MARFATIA – EXECUTIVE DIRECTOR –
SUMITOMO CHEMICAL INDIA LIMITED

DR. SURESH RAMACHANDRAN – CHIEF COMMERCIAL
OFFICER – SUMITOMO CHEMICAL INDIA LIMITED

MR. MASANORI UZAWA – NON-EXECUTIVE DIRECTOR
– SUMITOMO CHEMICAL INDIA LIMITED

MR. KUNAL MITTAL – SENIOR VICE PRESIDENT ,
PLANNING AND COORDINATION OFFICER – SUMITOMO
CHEMICAL INDIA LIMITED

MR. ANIL NAWAL – CHIEF FINANCIAL OFFICER –
SUMITOMO CHEMICAL INDIA LIMITED

MS. DEEPIKA TRIVEDI – COMPANY SECRETARY –
SUMITOMO CHEMICAL INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Sumitomo Chemical India Limited Q4 and FY '23 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal and operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

From the management today, we have on the call Mr. Chetan Shah, Managing Director; Mr. Sushil Marfatia, Executive Director; Dr. Suresh Ramachandran, Chief Commercial Officer; Mr. Masanori Uzawa, Non-Executive Director; Mr. Kunal Mittal, Senior VP, Planning and Coordination Office; Mr. Anil Nawal, Chief Financial Officer; Ms. Deepika Trivedi, Company Secretary and colleagues from SGA, their Investor Relations advisors.

Now I hand over the call to Mr. Chetan Shah, Managing Director of Sumitomo Chemical India Limited. Thank you, and over to you, Mr. Shah.

Chetan Shah: Ladies and gentlemen, a very good afternoon to all of you, and welcome to the conference call to discuss the financial year '23 performance and of our company Sumitomo Chemical India Limited. Kindly, let me give a brief overview on the agri input industry landscape during the year.

Financial year '23 started with a very good first and second quarters. 25% growth in revenues as well as in profitability versus financial year '22. This was mainly due to good water level in the fields, pre-monsoon showers, low-cost opening inventories, increasing costs wherein industry and trade partners were building up inventories and overall positivity in the market in the first half of 2023.

However, the situation suddenly turned adverse in second half due to the following key points. Number one, low insect infestation and limited volumes offtake in financial '23 caused by weather-related disturbances, such as late monsoons, erratic and uneven rain pattern, excess rains towards the end of monsoon period. All this resulted into higher channel inventories and overall pessimism in the market.

Second, Chinese market opened up post-COVID and then we saw excess supply situation and the market prices started getting softer and softer. The above two factors caused double impact, low demand, higher inventory, excess supply and falling prices. Most industry players and channel partners attempted to reduce inventory levels drastically in the second half of '23.

The situation was further aggravated due to similar trends in other key export markets like Latin America and some of the Indian players have sizable exports in this territory.

Due to above challenging factors, our domestic volume growth and margins were impacted in the second half. Large part of growth was witnessed due to price increases in all our portfolio Sumitomo Chemical India Limited

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segments. The modest growth can also be attributed to the decline in revenue from Fungicide segment. If we ignore the challenging situation in domestic market in second half, overall it is reasonable performance in the domestic market.

We introduced almost 10 new brands, 4 in insecticides, 4 in PGR and 1 in fungicide during the year. Six out of these 10 brands are under Section 9(3) of the Insecticides Act, which means that it was for the first-time introduction. Several of these unique 9(3) are first time registrations in India after years of efforts and expected to ramp up over the next few years and we are looking forward to robust growth in these brands.

Even though exports were lower in the second half as compared to our internal estimates, overall, we achieved a very good growth in export market in line with our strategic direction to increase exports. As compared the uptick in exports partially mitigated the decrease in domestic market. The company's recent capacity expansions are expected to support the positive momentum in export market.

Overall, we are proud of our teams who work together in this challenging situation and delivered a respectable performance in line with our past trends and overall strategic direction. We look at this situation as a small pause, which gave us an opportunity to reflect on our strengths and business fundamentals with a strategic theme for the current year, which is called "Back to the Core".

In near short term, our current assumptions are as follows: Efforts are taken to minimize impact of above-mentioned challenges are expected to start showing trend reversal in near term. There should be limited adverse impact of El Nino weather situation, assuming current projection of 95% monsoon level and no impact on crop acreages. Growth is expected to be

driven by volumes. This is a very clear message that during the year, the volumes of all our brands have to be increased, both for existing portfolio and the products which we have introduced recently. The input cost prices are at lower level and profitability should return to normal levels in next couple of months and when weighted average of inventories costs gets adjusted to current market levels.

However, these assumptions and market situation is expected to be dynamic, and we will need to monitor the same on a regular basis going forward in the next few weeks and months. It does not take -- we have this negative trend -- we hope this negative trend turns into positive trend as quickly as it had turned negative in the first place. By focusing on business fundamentals, our company will be ready to take best efforts to maximize the potential in any situation.

So with that, I will now hand over the call to Dr. Suresh Ramachandran to give more information on our operations. Thank you.

Suresh Ramachandran: Good afternoon, everybody. Thank you very much for taking time out to join our call today.

Hope my voice is clear to all of you. Throughout the previous fiscal year, we implemented several strategic initiatives to fortify our business fundamentals. This included expanding our strategic marketing, demand generation function, product development, channel partner
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analytics team, as well as prioritizing the implementation of more rigorous commercial policies from a long-term sustainable business perspective.

Our portfolio comprises of 200 brands across the entire value chain, including 20-plus mega brands with strong brand recall. Our distribution network comprises of over 15,000 direct distributors and 60 depots and that also across the country, making it one of the most extensive distribution network in the country with maximum number of brands.

The growth of our domestic agro-solutions business was primarily driven by price appreciation in FY '22-'23. Notable growth in Animal Nutrition and Environmental Health markets can be attributed to increase in both volume as well as price. Export growth was driven by a combination of price as well as volume increase.

The company has successfully established enduring positions in several export markets.

During the year, our company experienced good growth of sales in African and Latin American countries apart from shipments to our parent company in Japan. The company has received regulatory approval for selected products, which have exhibited robust demand and will serve as a strong base for expansion of our export business in the coming years.

Our insecticide, herbicide, fungicides and PGRs are experiencing good demand w

ith our

robust supply chain and renowned brand names, we are poised to capture market share from unorganized players. We anticipate good growth, stability and profitability in the herbicides, PGR and biorational product segments. In order to mitigate the effects of seasonality on our company, we have diversified our product portfolio to encompass both Kharif and Rabi crops and are focused on augmenting our PGR segment's contribution. Our strategic plan includes upcoming product launches in this segment, which will further solidify our position as one of the top leaders in the industry.

The new products and brands that we launched during the last fiscal year have been accepted by the channel partners as well as distribution network and have had a decent beginning, given the limited time that these products had in the market over the last few months. As a part of our ongoing efforts, we consistently evaluate our product portfolio to identify any gaps and work towards them. In that process, we are anticipating to launch at least another 2 products in the current fiscal year.

Our company's robust field promotion initiatives have enabled us to establish direct connection with farmers where theyby facilitating their access to optimal farm management techniques.

This, in turn, empowers them to enhance productivity and operate more efficient agribusiness.

By leveraging real-time feedback, we have the opportunity to enhance our relationship with farmers, gain valuable insights into their needs, and drive growth as an organization. We have directly reached out approximately 4.4 million farmers and about 30,000 channel partners.

Furthermore, we have implemented digital marketing as a supplementary to conventional marketing methodologies to enhance consumer product awareness and educate farmers on optimal farm management practices. Our portfolio comprises of 23 websites across 9 local
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languages and multiple social media platforms, which have yielded staggering 20 million digital engagements.

With that, I hand it over to Mr. Kunal Mittal our Senior Vice President, Planning and Coordination Office to take this to the next segment.

Kunal Mittal: Thank you, Mr. Shah and Dr. Suresh. So first, we will start with our consolidated financial performance for Q4 financial year 2022, '23. In this quarter, our top line in financial year 2022, '23 Q4 was at INR652 crores as compared to INR664 crores in the previous year. The sales growth was impacted due to several headwinds in domestic agrochemical industry as explained in detail by Mr. Shah. Challenges in the domestic market were partially offset by export sales. Q4 is not a major consumption period for the domestic agrochemical industry, and we believe our performance is respectable in the current extraordinary adverse situation. The Insecticide segment recorded a flattish growth trajectory. Fungicides and Metal Phosphide segment witnessed poor demand, which was moderately compensated by strong growth in Animal Nutrition division and Environmental Health division.

EBITDA was at INR81 crores in Q4 financial year '23 as compared to INR109 crores in the same period last year. Profit after tax stood at INR72 crores as compared to INR75 crores in the same quarter last year. While the margins at gross level were lower, our company quickly focused on controlling the overhead cost and the cost management. These efforts ensured that our overhead costs were lower. And at net profit levels, our margins were largely in line with our past trends.

Coming to our consolidated performance for financial year '22, '23, which, in our view, is a more reflective of the current situation. The revenues from operations in financial year '22, '23 were at INR3,500 crores, which was increased by approximately 15% as compared to financial year '21, '22 when we had recorded revenues of INR3,061 crores. In domestic

market, a large

part of the growth was due to price increases across our portfolio segment, whether it is Animal Nutrition, Environmental Health and whether it is export market. In all the segments, we delivered price increases. In export market, the growth was both on account of volume growth as well as price growth.

The sales growth in financial year '23 was primarily driven by impressive growth in Herbicide segment, which was contributed by multiple products and not just one particular product in Herbicide segment. And in several of these products in Herbicide segment, we have very good market share.

The share of exports in the total revenue increased from 22% in '21, '22, to approximately 25% in financial year '22, '23. This was on account of increase in exports to Latin America, Africa and some other important markets and increased shipments to our parent company in Japan. In financial year '22, '23, Insecticides contributed to about 43% of the total revenue, while Herbicide was 24%. Plant Growth Regulators and Fungicides both contributed approximately 9% each in our revenues.

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EBITDA margins witnessed a growth of 11% from INR600 crores in financial year '21, '22 to INR661 crores in financial year '22, '23. Our EBITDA margins were 19% in financial year '22, '23 as compared to 19.6% in the previous year. We were able to sustain our operating margin as a result of our initiative to pass on the higher input costs. This was further aided on improvement in our operating leverage, better product mix, cost optimization and better cost management, especially in the second half, and we continue to realize our synergies. Tax for financial year '22, '23 witnessed a jump of 19% to INR502 crores from INR423 crores last year. We maintained higher inventory levels as compared to previous quarter on account of the approaching Kharif season. However, as compared to the March 2022 levels, inventories are at a much lower level, and this indicates our corrective actions in line with the dynamic and challenging situation in the market, especially in the near term.

During the financial year '22, '23, our collections were at INR3,676 crores as compared to INR3,458 crores during financial year '21, '22. This also indicates that our team's ability to generate ground-level demand and liquidation, which is followed by the actual collections. No sales in our sector should be considered final till the material is consumed and collections are realized. And our teams continue to keep this in mind and follow disciplined practices even under challenging situation.

Our net working capital stood at 124 days in financial year '22, '23 as compared to 133 days in financial year '22. This improvement is largely due to the lower inventory levels, which were partially offset by fall in payable days because we have been purchasing at immediate payment basis for some of our purchases. We have cash and cash equivalents amounting to INR827 crores as on 31st March 2023.

On the manufacturing side, since our overall volumes were lower, our production levels were also lower, especially in the second half. However, all our operations teams focused on the strategic cost optimization efforts, and this was our response to the challenging market situation.

Our projects team expanded our manufacturing capabilities in line with our 'Make in India' initiatives, which we had announced. We had earlier announced that we will be investing approximately INR1.2 billion, which is about INR120 crores for two 'Make in India' projects to develop several proprietary products for our parent company and our global affiliates. This is over and above the normal and routine capex, which we have been incurring for our existing products and businesses. Both these projects are progressing as per the expected time lines. One of the projects, which is at Bhavnagar facility for one

important molecule has already commenced commercial operations in the last financial year and this is a very important molecule. For the second project, which is at Tarapur, which is a multiple products plant for mainly our EHD products, this plant is expected to start commercial production in the Q1 of financial year '23, '24. These projects are being implemented, both these projects, which we mentioned, 'Make in India' projects, these are being implemented in our current facilities and the operating margins of these projects are expected to be in line with our company's existing margin range.

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Both these projects are expected to contribute to the revenue growth in financial year '23, '24. However, it may not be the full capacity levels in the current financial year because one of the projects will be started in a few months' time.

A variety of additional products that can be manufactured in India are also being evaluated and there are discussions at various stages. Once -- and whenever the projects are approved by our Board for the further investments, we shall keep you updated.

Our R&D team is also involved in several product development, especially in the off-patent segments, in the pre mixture combinations and focusing on the products for the future demand in the Indian domestic market and also in the export market, and also in high regions such as Latin America, Africa and some Asian countries.

We would like to second what Mr. Shah Sir mentioned earlier. We are very proud of all our teams who worked together in the challenging situation and delivered a very respectable performance in this challenging situation. We have always maintained quarterly performance may sometimes have variations due to weather impact or seasonal impact, and the annual trends are more accurate reflection of the overall performance.

Overall, our performance in financial year '23 is in line with our past track record, wherein we have delivered 15x growth in the last 13 years since 2010 when we started focusing on the Indian market. And consistently since 2010, we have achieved growth every year during this journey. And this gives us a confidence that we have built up a fundamentally strong business.

As one of the most diversified platform in Indian agrochemical sector, and with a good track record of extraordinary year-on-year growth every year in the last 12, 13 years, even in some of the challenging year situation like last year, we continue on the path towards our strategic ambition to take the leadership position in the Indian agrochemical industry.

With this, we would like to take a pause, and we would like to open the floor for question and answers.

Moderator: Thank you very much. The first question is from the line of Swati Hiroo from Ratnabali Investment. Please go ahead.

Swati Hiroo: Firstly, I just wanted to say that while I understand the entire industry has gone through a very challenging period, your team has still managed to outperform the entire industry. So I just wanted to say congratulations to the entire team. So my first question is that I wanted to understand if you could give us a basic sense of how many proprietary molecules are there in Sumitomo Japan and what percentage of that has been introduced in India?

Chetan Shah: All right. Thank you for your question. First of all, thank you for your acknowledging our team's good work. Thank you very much for that. To your specific question, well, the parent company has many proprietary products. And quite a few of them, we are already in Indian market in terms of importing the active ingredient and selling our brands of those active ingredients. So that would be at least 10 molecules, which we would be in the brand business

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of parent company. And we are manufacturing as of today, 2 active ingred

ients, which is a part

of proprietary products of Japan, and we are in the process of starting the production of 5 other molecules by the month of end of June or beginning of July, which will add to that portfolio.

However, I must -- even in addition to that, I must say that India is being considered now as the production hub for Japan. And they are in talk with us for many molecules, at least 5 to 6 molecules further, which are the top-class molecules, not the old molecules, and they are talking about getting them produced in India. So that is at the feasibility stage. But all in all, we have full support from our parent company, to make India a very robust production based company.

Swati Hiroo: Sir, I understand, but I just wanted a sense whether, say, 20% of the total basket has been introduced in India, 50%, 40%, and why aren't we bringing that entire portfolio to India at one go?

Chetan Shah: So it is impossible to do that, number one, because all the products have to go through a very, very rigorous bio-efficacy test. We have to convert those products to be usable in India. We have to fix up the ratios, the type of formulation, the strength of formulation, and it is a long drawn process. So I think we can take 2, 3 products at a time. The registration process again is a very long process. So it cannot be brought all in one go. And if you see the trend in the industry also of other multinational companies, nobody will bring the entire portfolio at one go. There will be only one or 2 maximum 2 products every year that will be coming in. So that is the way it works, Swati.

Swati Hiroo: Okay. So sir, what percentage approximately if you could just give me a sense that we achieved so far?

Chetan Shah: I doubt if I can give you that because we have an actual 17 products already. And Japan could have maybe 40, 50 products, so that way -- and also Japan continues to have pipeline products.

So it's very difficult to give a percentage. But overall, I can assure you that we are in a very good situation of getting the products from Japan.

Kunal Mittal: And this what, Swati, Mr. Shah mentioned is only from the marketing and sales side. From the manufacturing side, we have just started with a very limited number of products, and there is a very wide variety, as Mr. Shah mentioned, maybe 40 to 50 SCC products. And currently, we are only producing 4 or 5 products in India.

Swati Hiroo: Understood. Understood. My second question was that Sumitomo Japan has recently made this acquisition in the biostimulant space. So I just want to understand how the Sumitomo India benefits from that? And do these products in any way help India reduce, say, the fertilizer subsidy that we have?

Chetan Shah: No. This biorational product, this is a very interesting acquisition that is made by SCC. And we just have had one meeting with the global colleagues, including Japan and U.S.A. to understand what that portfolio means. And in coming months, there are going to be more Sumitomo Chemical India Limited

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definitive interactions of how to bring these products into Indian market. And I will request Uzawa-san who is here with me to throw some more light on this.

Masanori Uzawa: Thank you for asking that question. The company, we, Sumitomo Chemical, Tokyo acquired is a very strategic one with the biostimulant business. And then so far, that business side is limited. And then the markets they're selling is almost only limited in the United States. However, we are expecting we can roll out that product globally, once we can get the registration in those regions.

So we are targeting some regions, for example, Latin America and Europe and, of course, here in India as the potential market. So we're excited to expand that business we acquired into all of the regions, especially the fastest-growing market here in India.

Moderator: Thank you. The next question is from the line of Kapil

Agrawal from Itus Capital. Please go ahead.

Kapil Agrawal: So historically, you've been able to protect margins better to the industry. Even today, you continue to do so. So for the first time, we are seeing pressure, both on the margin front as well as on the revenue front. You mentioned China opening up as the primary reason for this.

Please help us understand what you're seeing on the ground? And based on your experience from history, how would you look at the situation for opportunities?

Chetan Shah: Well, and as I mentioned in my opening remarks, the situation or the conditions of business turned adverse very, very rapidly and without any warning. We had to act very fast in terms of controlling our inventories, definitely controlling the prices and not eroding the sales rise to an extent that the market has fallen.

Just to give you an example, compared to the last financial year, fourth quarter, where we had strategically imported more raw materials for stocking because we saw the price trend going up, and which actually happened in the first quarter of financial year. As compared to that, we reduced our purchases for stocking-up purpose almost by 20% as compared to the previous quarter. So that is what action we took.

And the ground reality is that prices are falling every week till now. I think we are seeing some stability of pricing as of the beginning of the month of May, but till April end, the prices were drastically falling every week. I think now the prices have bottomed out. I don't see any further erosion of prices in this sector. And we are trying our best to liquidate whatever limited high-cost inventory that we have as quickly as possible and move on to lower cost inventories. Also, every month on the basis of average costing principle, we are reducing our cost every month, right from January, February, March, April and May. And going forward, we see the same trend. So I think we should be fine in a couple of months.

Moderator: Thank you. The next question is from the line of Anandha Padmanabhan from PGIM India AMC. Please go ahead.

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Anandha Padmanabhan: For the year -- Financial year 2023 what would be the contribution of glyphosate as a portion of your overall domestic business and export business? And if you could give some color on what kind of margins would this product be going for this fiscal year?

Chetan Shah: So see, the glyphosate, what we had in the current year, our volumes of glyphosate came down by 17%, but the value of that -- even the reduced volume went up by 50%. So it was quite a volatile situation. The prices have corrected as of April 1. We can predict that prices will still correct somewhat additionally. And I think it should settle down on the onset of monsoon.

And we expect to grow our volume to our previous levels, so we are expecting growth of glyphosate both in domestic market as well as in export market. We have got some new registration in African countries for our glyphosate 71% formulation. And we have started the export of this, which also we feel that will increase in the current year '23, '24.

Kunal Mittal: Just to add here and supplement whatever Mr. Shah mentioned, the overall proportion of glyphosate sales in financial year '22, '23 was approximately 18%, which was as, Mr. Shah mentioned increased due to the higher price evaluation. Historically, if we see last 2, 3 years, it used to be about 15% level.

Anandha Padmanabhan: Okay. And this 18% would have come at higher than corporate average margins, given because of the price increase?

Kunal Mittal: Margins would largely be in line with our company level margins.

Suresh Ramachandran: First Half the margins are high. In the second half, it was slightly lower. So overall, it would be around the corporate level.

Anandha Padmanabhan: Okay. Okay. And how do you see the on-ground situation in India currently given the lack of

clarity or some confusion with regard to the government regulation for the product?

Chetan Shah: So we don't see any issue in that, in a sense that, first of all, the important thing to note is that government is not talking about any restriction in usage of glyphosate. They are only talking about the mode of usage that how it should be or by whom it should be used. So as you must be aware, the matter is in the court and government has given a date of 19th of July that they will come up with some solutions. And we don't see any solution to this situation. So it will get again postponed or maybe the relaxation in the circular.

Anandha Padmanabhan: Okay. And with regard to the LATAM market, in the presentation, you had mentioned that there is some sort of a channel high inventory in the market. So in the current scheme of things, or if I look at fiscal '24, how should we look at the overall export business for the company? And specifically for the LATAM business, how should we look. For LATAM has been one of the fastest-growing piece for Sumitomo the last couple of years?

Chetan Shah: You are absolutely right, and we are concerned about this situation. However, the LATAM situation is also a matter of fact. I think it is not a hearsay or anything. It is absolutely true that they are stuck with very high inventories. And what we feel that till the first half, that is up to August, the demand may be slow, but we are certain that as the season starts from June, a lot

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of inventories will get liquidated, and we should be back in normal business condition with LATAM in the second half.

Anandha Padmanabhan: Okay. Okay. And with regard to the pricing for your supplies to subsidiaries or sister concerns

of your parent in the export business, would the transfer pricing would be in terms of margins, or it's a cost-plus kind of a pricing that happens or it's more of a market determine pricing to the extent that in case there is a sharp fall in the pricing, you will have to take some hit on the margins also?

Chetan Shah: No. So it is on the margin basis, it is not cost-plus basis, number one. Number two, the prices, if it goes down - I think for those molecules, I don't think we face that kind of situation. And this type of situation is more in generics like Glyphosate, Imidacloprid, Acetamiprid or Thiamethoxam or something of that sort. But these are the different product lines and we don't face any such volatility in pricing in terms of input cost as well as our selling price.

Anandha Padmanabhan: Okay. So if I look at FY '24 in terms of growth and margins, how confident are you of maintaining that 19%-plus or minus 1% margins that you, the guidance that you had given previously, you would be able to maintain in FY '24?

Chetan Shah: Well, our endeavour will be always to maintain it, apart from the exterior situations and circumstances, our endeavour will be to maintain this type of margins.

Anandha Padmanabhan: Okay. But any recovery that should ideally in the current scheme of things, it should be more like an H2 kind of recovery is what one should ideally build in the current scheme of things that you are saying on the ground?

Chetan Shah: I am sure that in a part of H1 also we will see a turnaround. So maybe this situation could be a little bit on a lower side in Q1, but we expect Q2 to bounce back to normal.

Anandha Padmanabhan: Okay. Thank you, sir. I will get back to the queue.

Chetan Shah: Thank you.

Moderator: Thank you. The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: Yes. sir, the first question is on the tax rate for Q4. It is low. Any explanations on why that is the case?

Chetan Shah: Yes. That is because we got some refunds of the previous cases which were going on. And I think, there was a substantial amount. There is a difference

of around 2% or 2.5%. About

INR12 crores we got refunds. That is why you see the lower tax in the Q4.

Gagan Thareja: Right. And the five molecules that you will start your contract manufacturing for, you indicate that the potential could be around INR200 crores to INR250 crores. Up to what proportion of that peak potential do you foresee yourself reaching in this year?

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Chetan Shah: In this year, since we start the production say by July and we will have only nine months and taking into account certain registration delays or something of that sort, I think we will achieve at least 50% of our target in this year.

Kunal Mittal: It would be somewhere more than 50%, but at this point of time it is very difficult to predict because the plant has not started the commercial production. And if everything goes well, it could be slightly higher. But that is what Mr. Shah mentioned, a lot of uncertainty as to when it will start. And hopefully, everything can start and all the registration globally can be in line and then we can achieve, I think, our targeted revenues either this year or certainly by next year we should be achieving it.

Chetan Shah: So we are trying to achieve at least 50% this year. And also let me tell you, I mean, for the entire group who is listening, that the revenues of '22-'23 does not include any revenue from our Clothianidin plant which we started in Q3 of '22-'23 in Bhavnagar. We are producing the material, but we have not commercially billed any material in the revenue. So it doesn't come in the revenue of this year. So for '23-'24 we also expect that that will -- what revenue will be coming in. So that production we are continuing and the only reason why we could not invoice or export that product is because of some delay in USA for the approval of the label and the final registration copy that they have to receive. So now it is all clear and we will start commercial shipments during the year.

Gagan Thareja: Right. So this will be in addition to the other five molecules.

Chetan Shah: Right .

Kunal Mittal: No, this is part of those five molecules. Part of those five molecules. So there are two projects. One project already started the commercial production during last year. As Mr. Shah mentioned, no revenue has been achieved. It is only the commercial production and inventory built up which we have done so far. And the second project which involves four multiple products will start, the plant will start operations sometime this year, in next few months. And both of these projects should give us some revenues during current year and that is why we are confident, as Mr. Shah mentioned, that we will have revenues and all of these revenues in the current year will be incremental because there was no revenue from this project in last financial year.

Gagan Thareja: This year has been strong for your exports, 30% growth. Given the situation in Latin America with the channel inventories being what they are, would it be possible for you to give us some idea of where do your exports growth settle in '24? On the one hand you have this issue of slowdown in South America and at the same time you ramp-up your CRAMS piece. So how should we think of the exports growth? And for that matter, also on the domestic piece, since you have introduced new molecules last year, while the environment is a little subdued between the new introductions and the environment, how should we think of the domestic growth as well?

Suresh Ramachandran: As Mr. Shah mentioned earlier in his comments, LATAM market is facing challenges currently. But our estimate is that current inventory should get liquidated or cleaned off by the
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end of first half latest and second half normal demand should come up. And we could start significant size or some size at least during the se

cond half of the year. While the first half still is not zero. Some sales would happen, continue to happen. While that has been the LATAM situation, our focus is also on growing the African market, where we have recorded good growth last year. We got a couple of new registrations which we want to build on. And another one is Asian market where we are focusing to grow. So, overall the exports market would continue to grow including LATAM, which is our anticipation at this point in time. Now coming to domestic market, the new launches, we launched about six new active or six new 9(3) registration products which were launched sometime starting from July of last year and could not get the full season. Some were launched as late as February, one product PGR in apple. None of these products got full season last year. It was all like three months, six months, two months.

There is always a craze for new technology among the farmers in this country. So whatever we have launched, we have delivered, whatever our internal targets were for '22-'23, under the challenging conditions. There is quite a bit of field promotion activities, brand building activities, digital marketing initiatives. All of those things are - we did not let it go despite the challenging condition. We knew that these are all new products we had to invest. We did all the groundwork, whatever was supposed to be done during any launch year. Our team's full focus is on ramping-up these new products in the current year. We are quite confident that whatever feedback we are getting, either from the channel or the farmers, they have all been accepted well and the products have gone as per the plan. This year also, despite the challenging conditions, people would look for new technologies. These products would definitely record growth in the coming year also.

Kunal Mittal: We would also like to highlight that this one year or two years could always be a lot of variation sometimes. But as a strategy and as a trend and direction, what we have been saying since the last two-three years is that we will be growing our off-patent molecules growth in the exports market in Latin America and Africa. We have achieved and we will achieve it in the future. And in addition to that, manufacturing of the proprietary molecules under 'Make in India', expansion of that portfolio and making more products and exporting it to our parent company and also domestic businesses. So, all of this continues to be growing and one year could be up and down as I think we are seeing in the current situation. But as a trend in medium to long term, we are on that strategy and we will continue to achieve and deliver those strategies in the next medium to long term.

Gagan Thareja: And you also talked about five or six more additional molecules which are under discussion to be bought for production in India. Just to understand, we have been given some idea of the scale that the first five can achieve. Is it possible for you to give us some idea of the scale that the next five or six can achieve given that you are talking of these being relatively larger, if I understood this correctly, relatively larger molecules?

Chetan Shah: I think it would be unfair for me to give you the number, but I can assure you that we are in discussion with SCC Japan and these are all the molecules we are talking about, the new technology, new molecules and very, very bright futuristic growth molecules. So, they are all
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new generation. So, nothing is generic. It is new generation products and with the type of forecast that Japan has for these products in the global market, it would be a very, very good situation for Sumitomo Chemical India to be manufacturing these products.

Gagan Thareja: But any timelines you could provide as to when you see this fructifying? I understand you

have to ramp-up the first five, but any time

ines roughly to work with over which this can happen?

Chetan Shah: We are going to start our development work of our Dahej site sometime in 2023-'24 and if you take the registration process and instalments of plants and machineries, I would say, three to four years.

Gagan Thareja: The final question, INDIFLIN is I think a patented molecule, while LATAM is in a bit of a difficult situation. It is probably more from the point of view of generic molecules. So, I wanted to understand if INDIFLIN is going to do well irrespective of the situation there, in which case for you, Tebuconazole goes with INDIFLIN and will therefore that also irrespective of the current situation do well?

Chetan Shah: Your understanding is correct. We don't see any slowdown in INDIFLIN. And INDIFLIN, as a matter of fact, they have projected very good volumes. So, we expect very good orders of Tebuconazole in the second half.

Gagan Thareja: And you have no capacity constraints? I think there was some issue, if I recall, in the earlier quarters of FY '23, you indicated you sort of had full capacity there. Have you added capacity for Tebuconazole?

Chetan Shah: No, we have increased the capacity and we have enough capacity to cater to the demand of INDIFLIN-plus Tebuconazole.

Moderator: Mr. Thareja, may we request that you return to the question queue for follow-up questions.

The next question is from the line of Chintan Modi from Haitong Securities. Please go ahead.

Chintan Modi: Yes, so thank you, sir. Sir, firstly, we had a fire incident at our Bhavnagar site in February. So, if you could highlight whether there was any one-off impact because of that in the fourth quarter, or we are likely to see some impact in first quarter?

Chetan Shah: Yeah, there was an unfortunate incident of fire in our Bhavnagar plant and I wouldn't say that we had any impact due to that in the fourth quarter or the first quarter. Because what we have done is both the products, the two products which were manufactured in that plant, we had enough raw materials in our books and we have got that same converted into finished AIs by very reputed two companies on job work basis. So, we are being able to fulfill our domestic as well as export demand of these two products as of now. However, one of the products, Tebuconazole, is primarily the second half product and Quinalphos, which is another product, we are continuously exporting it to Asian markets. So, there is no impact on revenues because of this.

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Chintan Modi: Sure. Secondly, with respect to capex, this INR120 crores capex, which we had for these five molecules, I think that will get capitalized in first quarter itself. Can you tell us beyond that what kind of capex one should expect for FY '24 and maybe for FY '25?

Kunal Mittal: So just to correct, part of the capex has already been capitalized in last financial year, financial year 2023 and part of this will be capitalized in current financial year once the plant starts the commercial production. And in terms of the forecast for the capex, as we have mentioned that annually about 12% to 15% of EBITDA, we look to invest in our capex projects annually for various activities like de-bottlenecking, sustainability, making the products more efficient, modernizing our plants.

In addition to that, whenever something extraordinary like a project specific capex is approved, we will do additionally. And as Mr. Shah mentioned, that I think even if we do something later this year or next year, it will take three to four years for those kind of projects to come up. So, we do not have the estimates right now that how much that additional capex could be. But as and when the board approves this, we will keep you informed.

But yeah, this will be larger, I think as Mr. Shah mentioned. The last capex cycle for this project which we did was INR120 crores investments with a revenue poten

tial of INR200

crores to INR250 crores. So, the next cycle is expected to be hopefully bigger and more I think important projects, high-value products. So the capex cycle could also be larger for development of our Dahej site, some products for SCC. And hopefully the revenue potential should also be larger as compared to our last cycle which we are about to complete now.

Moderator: Thank you. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Hi sir, thanks for the opportunity. Sir, one question and one clarification. Question on the export side. You did mention that there are potentially more molecules from the parent Sumitomo Japan, which can potentially come to India. Is there any filter or shortlist or any technicality in terms of chemistry specific understanding and hence the target universe will be

limited or the technology etcetera, can be transferred and there is no restriction on that?

Chetan Shah: There is no restriction on that. I think, the entire technology transfer can be made. There is no limitation on that.

Ankur Periwal: Sure. And from a timeline perspective, it's just a matter of time as you mentioned since they are looking at India as a core manufacturing base.

Chetan Shah: Right.

Ankur Periwal: Okay. And a clarification on the domestic side, you did mention slightly higher inventory in the system. I wanted to clarify whether that is a scenario both for our specialty range of products as well as the generics and by what time frame should we expect things to normalize?

Chetan Shah: It is not pertaining to specialty at all. It is pertaining to only generics. That is number one.

Number two, as I mentioned that every month, I mean luckily or fortunately by grace of God,

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we did not carry huge inventories in this particular fourth quarter of '23 and our levels of inventory at high cost is coming down every month because we are replenishing the new price raw materials every month to a limited extent. So, we are seeing that our average costing is coming down in month of May from April and our June prices are also coming down as compared to May. So, by end of June, I don't think we will have any old high-cost inventory.

Moderator: Thank you, Mr. Periwal. May we request that you return to the question queue for follow-up questions. We will take the next question from the line of Bhavya Gandhi from Avendus Wealth. Please go ahead.

Bhavya Gandhi: Yes. Thank you for the opportunity. Quick two, three questions. So, just wanted to understand Sumitomo Japan, they are going to manufacture \$1 billion of molecules, right, the new patented ones. So, that end formulation, if the value is \$1 billion, so can we assume that 30% would be the technical contribution and will that be the addressable market size? I understand we may not have registrations or technical capabilities, but broadly speaking, is it possible to quantify that?

Kunal Mittal: So, see, this what you mentioned is the sales potential which SCC has mentioned for some of the new latest generation molecules which have been launched and this is the estimates on a good case basis once the products become mature. But some of these products have just been commercially launched in some geographies. The second products will be launched. So, this is a multiple three, four products to be launched across the world and ramp up to be seen and hopefully SCC can achieve those kind of estimates and projections which they have given. In terms of the manufacturing potential, how many of these can be made in India and as and when, I think that is not yet decided because I think what we have seen in the past is typically for some of these new molecules, the first facility is set up very close to the R&D facility and once the ramp up is happening to a very matured level over three to five years, that is a time when it

can be decided whether to set up those capacities in Japan and India.

So, I think it is very difficult to give you that kind of estimate that out of this \$1 billion or \$1.2 billion what SCC has mentioned, how much of this will come to India. It is too, I think, premature to give that kind of estimate right now. But certainly, I think, as Mr. Shah mentioned, the talks are on, that if some of these molecules and chemistries can be made in India. That kind of a talk is certainly on. It is a direction we will look at it for sure, but how much and what percentage, what amount it is too early to commit or mention.

Bhavya Gandhi: Okay. But I just wanted to understand that INDIFLIN and those Pervecto and all those newer patented molecules, I think they have taken almost one or two years into their cycle, right? So, what time will they reach their peak cycle? Is it in the third, fourth year or is it in the fifth, sixth year? Because I think no new capacity is going to come in Japan, right? Or they are going to expand because the older molecules gradually they will have to shift to India because India is the only technical facility, right? So, if you can throw some light on that.

Chetan Shah: So, what I told is precisely that as per the estimates of Japan, these products will require more active ingredient in three years, four years' time. And that is why we are talking today and we

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are trying to match that gap of three to four years, whereby we should be ready with the production to cater to the global demand or increased demand. So, that is precisely why we are starting the talk now and ensuring that when they require that additional volume in second year, third year, fourth year, at that time we have the production facility to cater to that demand.

Moderator: The next question is from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.

S Ramesh: Thank you and good evening. My first thought is after looking at the reduction in the inventory values in the overall price table, there should be a reduction in the top line for the quarter and first half. So, if you are looking at volume growth, how do you see the outlook for margins? Are you looking at margins per unit being maintained and thereby the (inaudible) helping you achieve the percentage margins? Are there benefits from the new launches which will give you some increase? Because if the top line is going down, logically your margins will fall. So, that is the thought behind this question.

Chetan Shah: Yes. So, it is a combination of few things. Definitely, we will increase the volume of new launches. That is number one. Secondly, the prices which are falling, obviously the top line will be affected. So, our strategy is very clear that wherever the top line or the prices have fallen of the products, our plan is to increase volume substantially in those products. So, that the overall margins at the end of the day is maintained.

S Ramesh: Okay, makes sense. And the second question is, if you are looking at bio-solutions, I think you started launching some products. So, what is the thought process from that and to what extent will you be able to get the benefit of the presence that SCC has in bio-sciences? Any thoughts on adding new products this year and next year in bio-products?

Chetan Shah: Yes, every year we are having some product or other. Even this year, in the late fourth quarter, we launched one VBC product in this segment and we got maybe half of the season to cater and the product is very well accepted in the market. So, we are looking forward to the full season for this product which is meant for apple in this financial year.

Also, there are one or two other products, two products from Valent BioSciences, which are under registration. We hope that we get the registration this year and that will also be launched. So, yes, bio is a, this segment

is very, you know, strategic for not only us but for

Sumitomo Chemical Japan and they are very, very insistent on this segment to grow and that is why they are making a lot of investments in, you know, M&A opportunities of bio companies. And as I mentioned earlier, this new acquisition that they have made, we have to make a lot of studies as to which of the products of that new acquisition can be brought into India.

So, all that discussion will start in maybe the second quarter in, I think there is a meeting, global meeting on this subject in the month of July, I suppose, and then it will be rolled out.

So, it is going to take time but surely we are both Sumitomo and us, both are looking forward to having some good products out of that range to be introduced in India.

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Moderator: The next question is from the line of Laxminarayanan from Tunga Investments. Please go ahead.

Laxminarayanan: Two questions. First is, that I understand that we don't have any royalty payment towards our parent right. So what's the thought process there because almost all of that Japanese companies that are listed in India have royalty payments. So how do you think about it? Do you roll out royalty for the next couple of years? What is the parent's thinking?

Chetan Shah: Well, I think I can best answer this question that Sumitomo Japan is very clear about the focus in India. India is a very, very important and strategic country for them. They have deliberately not asked for any royalty so far even for technology transfer products. However, I cannot say for sure what will happen in future. But I am sure that the royalty even if we have to pay will be such that it will not even hurt us at all.

So, it can be token royalty or it can be nominal royalty or it can be anything. But of course, yes, your presumption is right that as of today we are not paying any royalty to Japan. I can only assure you that I will on behalf of this company, I will try to maintain that status quo forever. But I cannot say that, you know, what Japan will think. But I am sure that Japan will, as India is strategic for them, I think royalty is not on their minds.

What is on their minds is how to grow Sumitomo Chemical India, how to make the best advantage of manufacturing base over here and how to supply the products globally at economical rates and how to increase the volumes. I think that is their strategy.

Kunal Mittal: And just to add here, I think the supplementary information, I think as Mr. Shah mentioned, this is the philosophy of our parent company SCC and wherever transactions are involved, we are not at all talking about royalty. However, in some cases where there are no transactions between our company and our parent company and we might be using some of the intellectual property of our parent company, there might be from the compliance and transfer pricing point of view, if there is some token royalty required, which may not be like any amounts or any kind of a token amount just from the transfer pricing compliance point of view.

If there are no transactions but only use of the intellectual property of our parent company, those kind of things can certainly be looked into in the future to make sure that we are 100%

compliant. But apart from that, from fundamental point of view, as Mr. Shah mentioned, there is no expectation from our parent company to make any kind of a money or revenues out of the royalty from India.

Moderator: The next question from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Yes, thanks for the opportunity. My question is for Mr. Uzawa. Sir, in your interaction with the SCC management from Japan, how do they plan to use the surplus cash of Sumitomo? And secondly, can SCC's association with Sumitomo India extend beyond agrochemical business?

Chetan Shah: Mr. Biyani, on the lighter note, you have as

ked a wrong question to right person, he will say

give me all the dividend back. Sorry, jokes apart, Yes, Mr. Uzawa please.

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Masanori Uzawa: Sure. As you know, SC India's management mentioned a couple of times. Here, the Indian market is a very strategic one for Sumitomo Chemical, the parent company in Tokyo. So what we're thinking now is spend the money by ourselves. Ourselves means the SC India to accelerate the growth here in India. So, invest in manufacturing, invest in new technology, invest in new products. That's the expectation from SCC Tokyo.

And the second question was money. Maybe that comment will cover the second question as well, I think. So, if you have further questions, email to SCIL later.

Moderator: We'll take the next question from Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: So again, my question is, Mr. Uzawa san. First is how much of global outsourcing for agrochemicals does SCC Japan do? And second is, again, a light question. Now, so we are at the fag end of completion of the first project, outsourcing project. Why are we taking so much time to consider for the next project, given that there will be a lead time of, say, three, four years before we commission the next project, which may be high-value projects that are capital-intensive projects. So between this timeline, there may not be a material growth from the exports opportunity perspective? Thank you.

Masanori Uzawa: Yes. You know, as Mr. Shah mentioned previously, Sumitomo Chemical Tokyo has not put any limitation to transfer our products into here in India. And then the reason why it takes time is the market evaluation is so important. And then, what kind of product should fit here in India from the marketability viewpoint as well as the manufacturing viewpoint. We need to carefully take a look at that part. And then once we build up the facility, we do not want to stop that, operation after three years or five years, whatever. So that's why we carefully see those two points.

And also, registration is another issue. It should be a goal in line with the manufacturing plan.

I'm saying and we are not, you know, relying upon the third-party manufacturers. You know, strategically, the manufacturing site in Japan and the manufacturing site here in India are the two pillars for Sumitomo Chemical globally. So maybe there might be a (inaudible), but we keep putting high priorities on those two countries, Japan and India, as a manufacturing site.

Moderator: We'll take the next question from the line of Nitin Shakhder from Green Capital Single Family Office. Please go ahead.

Nitin Shakhder: All right. Good afternoon. And first of all, congratulations to Chetan Bhai, Sushil Bhai and Uzawa, san for another consistent quarter and the entire management. So we have INR 827 crores of cash. I understand INR 75 crores goes into maintenance and about INR 120-140 crores goes into the plant capex. Now, we've been indicating the plant capex over the last two or three quarters in relation to – can you give me exact specifics on the Tarapur expansion, which is supposed to be completed by the first quarter of 2024, and the exact things on Dahej? And then in specific to the Bhavnagar land parcel. So how much are we on and exactly what's the state of the capex in terms of the large cash position? Thank you.

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Chetan Shah: So we have already capitalized around INR40 crores rupees of Bhavnagar plant in the previous year, in '22-'23, and around INR80 crores rupees of capex will be capitalized for the plant in Tarapur, which will go on stream, in latest by the month of July. And over and above that, of course, as Kunal also mentioned, that we have regular capex for improvement in process or capacity expansion or something of that sort, that will also continue. So, all in all, t

hat is the

capex distribution. And for the Dahej site, we feel that over a period of time, next three to four years, starting from this year or later this year, I think we will have the capex flow of almost

INR300 to INR400 crores.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as a last question. I would now like to hand the conference over to Mr. Sushil Marfatia, Executive Director, for closing comments.

Sushil Marfatia: Namaste Everyone, thank you for asking some interesting questions, and thank you to our colleagues for replying the same. We hope, we would have addressed your queries to your satisfaction. While the commercial forecasters climate predicted below average range, the IMD predicted normal range for the current year. The IMD forecast is encouraging news, especially in light of the current uncertainties. It not only just bodes well for the agrochemical sector but also for the whole Indian economy. The performance of the agrochemical industry in the upcoming Kharif season will be determined by various factors, including timely onset of the monsoon, its progress across the country and equal distribution.

The Indian agriculture industry currently accounts for a modest portion of the global agrochemical production. The Indian agrochemical industry is poised for growth driven by the increasing awareness among the farmers about benefits of using premium agrochemical products. This trend is expected to result in higher crop yields and improved crop quality, which in turn will enhance the profitability of the farmers. The government and authorities efforts to enhance the agricultural productivity through various reforms, and initiatives are expected to yield long-term benefits for all stakeholders. The company's strategic initiatives to optimize its product mix, expand its distribution network and increase production capacities are expected to drive sustained performance forward.

We will continue to monitor the situation and take best efforts to achieve our growth. Thank you for taking your time and participating in this conference call. Thank you very much.

Moderator: Thank you. Ladies and gentlemen, on behalf of Sumitomo Chemical India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

SCIL/SEC/2023
3rd November, 2023

To,
BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400001

The National Stock Exchange of
India Listing Department,
Exchange Plaza,
Bandra Kurla Complex
Bandra East,
Mumbai - 400 051

Sub: Written Transcript of Earnings Call held on 30th October, 2023

Dear Sirs,

This has reference to our letter, intimating about the earnings call on 30th October, 2023 with Investors/Analysts to discuss financial performance of the Company for the quarter and half year ended 30th September, 2023, and weblink for the audio-recording of the call submitted to you on 30th October, 2023.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:
<https://sumichem.co.in/investors-relations.php#Announcements> .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For Sumitomo Chemical India Limited

Deepika Trivedi
Company Secretary & Compliance

Encl: a/a

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"Sumitomo Chemical India Limited
Q2 and FY24 Earnings Conference Call"
October 30, 2023

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 30th October 2023 will prevail.

MANAGEMENT : M R.CHETAN SHAH –MANAGING DIRECTOR

MR.SUSHIL MARFATIA –EXECUTIVE DIRECTOR

DR.SURESH RAMACHANDRAN –WHOLE TIME
DIRECTOR AND CHIEF COMMERCIAL OFFICER

MR.MASANORI UZAWA –NON-EXECUTIVE DIRECTOR

MR.KUNAL MITTAL –SENIOR VICE PRESIDENT ,
PLANNING AND COORDINATION OFFICE

MR.ANIL NAWAL –CHIEF FINANCIAL OFFICER

MRS.DEEPIKA TRIVEDI –COMPANY SECRETARY AND
COMPLIANCE OFFICER

Sumitomo Chemical India Limited
October 30, 2023

Page 2 of 26 Moderator: Ladies and gentlemen, good day, and welcome to Sumitomo Chemical India Limited Q2 and

H1 FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

From the management, today we have on the call Mr. Chetan Shah, Managing Director, Mr. Masanori Uzawa, Non-Executive Director, Mr. Sushil Marfatia, Executive Director, Dr. Suresh Ramachandran, Whole Time Director and Chief Commercial Officer, Mr. Kunal Mittal, Senior Vice President, Planning and Coordination Office, Mr. Anil Nawal, Chief Financial Officer, Mrs. Deepika Trivedi, Company Secretary and Compliance Officer, and colleagues from SGA, their Investor Relations Advisors.

Now I hand over the conference to Mr. Chetan Shah, Managing Director of Sumitomo Chemical India Limited. Thank you, and over to you, sir.

Chetan Shah: Thank you. Ladies and gentlemen, a very good afternoon to all of you, and welcome to the conference call to discuss the Q2 financial year '23-'24 performance of our company, SCIL. Since end of the year '22, the agrochemical sector is navigating through a challenging phase characterized by an elevated buildup of inventory throughout various distribution channels and reduction in demand due to erratic weather conditions and reduction in prices.

The domestic agrochemical industry was unable to maintain the demand momentum it typically exhibits during the second quarter. This can be attributed primarily to dynamic and varying weather patterns that were prevalent across the country. The untimely arrival of the monsoon towards the conclusion of June had unfavourably disrupted the customary agriculture timetable, consequently resulting into postponement of crop planting.

Subsequently, the dry spell experienced in August had an adverse effect on crop yields, resulting in reduction of both pest and fungal infestations. Therefore, there has been a noticeable decrease in pesticide consumptions -- applications and consumption. If you recall, the monsoon did not start in June at all, and we got some showers at the fag-end of the month of June. July, it picked up and everyone, including us, were hopeful that the season will go okay. However, we experienced an unbelievable dry spell in the month of August, which ruined the entire planning and entire agrochemical consumption.

Coupled with erratic monsoons, the El Nino contributed conditions led to long dry spells and distribution of rainfall, which in turn impacted an overall volume sales growth of agrochemical in domestic market. The agrochemical industry also experienced pricing

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Page 3 of 26 pressure in case of generics as a result of declining prices in China, which happens to be the largest supplier of raw materials.

Due to unstable inflationary environment, unfavourable weather condition and channel inventory pile up in Latin America and across the globe, oversupply situation caused by China, the global crop protection chemical market also experienced a spell of uncertainty. Supply uncertainties in last two years and increased supplies of low-priced products from China led to global agrochemical companies and channel partners increasing inventory levels. The subsequent destocking amid the slowing global economy led up to slump in exports from

Indian agrochemical companies in the first half of the financial year.

On a brighter side, I would like to say that our company was able to consume all the high-cost inventory that we were carrying as of 31, March 2023 by the month of July. And we are back to our normal profits or normal profit lines or normal bottom line from the month of August. This is a satisfactory situation for us. And going forward, we feel strongly that we'll keep up the momentum to maintain our profit margins.

Specialty products portfolio of our company were less impacted by price variations. And in spite of almost 15%, 20% price drops across the board, we could manage to drive our specialty product portfolio at only 3% lower prices as compared to the financial year '22-'23.

We perceive that this short-term challenging situation as a brief interval that shall allow us to introspect on our strengths and business fundamentals, guided by our strategic theme of Back to Core, that is back to going to the fields of the farmers and meeting the farmers.

While we continue to take best efforts to minimize adverse impact of this current short-term challenging situation, we are also working on various growth strategies for medium to long term, including expansion of product portfolio for distribution as well as manufacturing at our manufacturing sites.

I firmly believe that our fundamentals are strong. They will remain strong, and we will certainly bounce back in a normal year of '24-'25.

With this, I'll now hand over the call to Mr. Anil Nawal, our CFO, to run through Q2 financial

year '24 consolidated financial performance. Thank you so much.

Anil Nawal: Our consolidated Q2 FY '23-'24 financial performance. We recorded revenue of INR903 crores in Q2 FY '24, as compared to INR1,121 crores in Q2 of FY '23. Gross margin in Q2 FY '23-'24 are 38.4%, as compared to 31.1% in Q1 FY '23-'24. This is showing sequential improvement and recovery.

EBITDA came at INR188 crores in Q2 FY '24, as compared to INR278 crores in the same period last year. EBITDA margin in the current quarter stood at 20.8%, as compared to 24.8% in Q2 FY '23. The reduction in EBITDA margin was primarily on account of decline in operating leverage.

Profit after tax stood at INR143 crores in Q2 FY '24, as compared to INR201 crores in the

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Page 4 of 26same period, same quarter last year. Profit after tax margin stood at 15.9% vis-a-vis 18% in Q2 FY '23. For the period, our operations team demonstrated a steadfast commitment to a strategic cost optimization initiative in light of prevailing tricky industry circumstances.

Now coming to our consolidated performance for H1 FY '23-'24. Revenue from operations in H1 FY '24 stood at INR1,628 crores, as compared to INR2,106 crores in H1 FY '23. In H1 FY '24, domestic agrochemical revenue contributed about 89% of overall revenues, with export contributing the rest. In H1 FY '24, insecticides contributed about 40% of total revenue, while herbicides, plant growth regulator and fungicides contributed about 29%, 10% and 7% of total revenue, respectively.

The proportion of export earnings as a percent of the total revenue has experienced a notable decrease, dropping from approximately 19% in H1 FY '23 to around 11% in H1 FY '24. The export endured headwinds as a result of elevated inventory levels, destocking by global manufacturers and significant price pressures.

EBITDA stood at INR269 crores in H1 FY '24, compared to INR466 crores in H1 FY '23. Our EBITDA margin stood at 16.5% in H1 FY '24, as compared to 22.1% in the same period last year. The profit after tax for the H1 FY '24 amounted to INR205 crores, reflecting a decrease from the previous year's figure of INR340 crores as a result of dynamic and complex market conditions.

Now with that, I will now hand over the call to Mr. Sushil Marfatia.

Sushil Marfatia: Good afternoon, everyone. In continuation of Mr. Nawa

I, I state that we maintained the significant lower inventory level as compared to previous quarters in view of challenging situation in the market in short term. In terms of overall net working capital cycle, it stood at 70 days, recording a deduction of 24 days as on September '23 as compared to that of June '23 as well as compared to September '22.

During H1 '24, our collections were INR2,000 crores against sales of INR1,628 crores during H1 2024. Such a good level of collections demonstrate company's strong focus on discipline even in such a challenging environment. This also indicates our team's ability to generate ground-level demand and liquidation followed by actual collections. No sales in our sector should be considered final till the material is consumed and collections are realized. And our team continues to keep this in mind and follow disciplined practices irrespective of these circumstances.

Our projects team expanded our manufacturing capacities in line with the 'Make in India' initiative. In FY '21, we had announced plans to invest INR1.2 billion in two Make in India initiative to develop five proprietary products for our parent company, SCC Japan, and our global affiliates. This represented supplementary capital expenditures beyond our customary allocation for maintenance and capacity improvements in our current product line.

The first project at Bhavnagar facility has commenced production for a global proprietary product. The second project at Tarapur facility involving multiple EHD products has started commercial production recently. Both these projects are expected to generate some revenue in

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Page 5 of 26current fiscal year FY '23-'24. However, due to destocking in international markets, major ramp-up in the revenue from these products are expected from FY '24-'25. The aforementioned projects are being implemented in our current facilities and the expected operating margins are in line with SCIL's current margin for similar products.

The management team is actively exploring the potential for diversification by considering a range of an additional products offering that could be produced within the Indian market. These opportunities are currently undergoing thorough evaluation and are subject to ongoing discussions at different stages of decision-making process. Following the endorsement of the project and products by the Board of Directors, we'll provide you with comprehensive information pertaining to our capital expenditure strategies.

Our R&D team is presently engaged in production of diverse range of products and premixture combination products with the aim of catering to both the Indian domestic market and

lucrative export market. These export markets situated in high-growth regions like Latin America, Africa and the Asia-Pacific regions, all remains potential for our organization. We would like to second what Shah san mentioned, we are proud of all our teams who work together in this challenging situation. As one of the most diversified platform in Indian agrochemical sector, we continue on the path towards our strategic ambition of taking leadership position in Indian agrochemical market.

I now request my colleague, Dr. Suresh Ramachandran to give more information on our business and strategies.

Suresh Ramachandran: Thank you. Thank you, Mr. Marfatia. Good afternoon, everyone. Talking about the business. The overall unfavourable domestic conditions, as explained by Shah san in domestic as well as export markets have led to negative impact on demand as well as consumption during the quarter that just ended. We believe our quarterly performance is reflective of the challenging environment the industry is currently facing. High channel inventory at the beginning of the year, slowly coming down, elevated costs, coupled with negative sentiments, apart from erratic weather patterns, really put a negative s

entiment at the

trade channel level that has impacted our sales. We also faced pricing pressure in case of generic due to falling prices.

Revenue declined owing to subdued performance of our export business, which witnessed a significant year-on-year decline compared to previous year same quarter. Domestic business performed relatively better with a degrowth of just about 10% in quarter 2 that just concluded compared to the corresponding quarter of last year. Product in Specialty segment also faced relatively a little bit higher degrowth as compared to those in Generic segment because of the overall reduced consumption of agrochemicals in quarter 2. Long dry spell in key regions of India had adverse effect on the -- impact on the sales of our products.

Given the aforementioned background, it is evident that our year-over-year revenue as well as EBITDA growth experienced a subdued quarter primarily due to the challenges faced in terms of both top line performance and margins. However, we focused on reducing overall overhead

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Page 6 of 26costs. An ongoing pressure on pricing as well as the continuing stock overhang is expected to persist a little bit with a potentially less severe impact.

Demand momentum both in India and abroad, weather conditions in the key export markets and prices of key products and raw materials, especially Chinese, will be the key factors to watch out for in the coming quarters.

In domestic business, we launched three herbicides, one insecticide and two fungicides in the first half of this financial year. We are receiving positive feedback from the trade and farmers on our recently launched products like Korko, Ambit, Derecho, CuFlow, Rumpus, etcetera.

Our focus will remain to ramp-up the sales of our new products in the coming quarters.

Our new products have been successfully launched to our channel partners and farmers through both physical and digital meetings. Our company's robust field promotion initiatives have enabled us to establish direct connection with the farmers, thereby facilitating their access to optimal farm management techniques. This, in turn, empowers them to enhance productivity and operate more efficient agribusiness.

By leveraging real-time feedback, we have the opportunity to enhance our relationships with farmers, gain valuable insights into their needs and drive growth as an organization. We have directly reached out to approximately 4.4-plus million farmers and 40,000 dealers. We are also gearing up to launch a few more new products in the near future, which are expected to ramp-up over the next few years.

Our portfolio comprises of 200-plus agrochemical brands across the entire value chain, including 20-plus mega brands with strong brand recall. Our distribution network comprises of 15,000 direct distributors and 60 depots across the country, making it one of the most extensive distribution networks in the country.

Going forward, we plan to optimize the utilization of our marketing and selling tools to enhance our trade partners engagement. Our key focus is on driving volume growth by implementing ground-level demand generation strategies for our products. We especially intend to adopt a more proactive approach on our interactions with top distributors, aiming to strengthen relationships and enhance collaboration. Additionally, a vigilant focus will be maintained on monitoring the performance of the most significant product offerings. We'll take a pass now from our side and request moderator to open the floor for questions one-by-one.

Moderator: The first question is from the line of Viraj K from SiMPL. Please go ahead.

Viraj K: Congratulations for a decent performance in such a challenging environment. I just had a couple of questions in a -- from a historical annual perspective, just to get a better bind on the business. First is on the domestic. On the overall business, for exampl

e, so if you look at

overall sales performance, say, between 2019 and 2023, the sales growth has been roughly around 13%-14%. So, if one were to kind of just understand better in terms of, say, the price volume trend, especially in the domestic piece, how would that have been for us?

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Page 7 of 26 And a related question is, if I look at last three years, four years, we have launched more than 25, 30 new products. And if I look at the share of specialty or the 9(3) in these, these have been quite high in categories like PGR, fungicides, herbicides, which -- the high margin, high growth which we talk about. But when you look at the revenue contribution from these segments or the absolute growth also, we have not really scaled-up to what we were thinking it to be, despite the investments in sales, marketing, digital, which we talk about.

So, what has been the limitation in terms of scale up? Is it more due to the pricing discipline or the tight credit terms which you always had in the market that is leading to an impact in terms of scale up to the potential? Anything you can give a colour on? Thank you.

Chetan Shah: See basically, whatever products we have introduced are very, very good products and very, very prospective products. Whatever, we have not been able to do justice to these products, I mean I don't want to be repetitive to say, I blame everything on the weather conditions, on the market conditions in this year. But it is a slight awkward comparison of any of the successes of these products to the current year.

If you ask me, we are very, very confident about these products. And I mean just to give you an example. We had recently a meeting down South, and the feedback that we received from the distributors and the farmers was overwhelming on this new introduction. They say that these products are absolutely fantastic and it can become a very, very big product in terms of volumes, which was a very encouraging thing for us to learn.

As I said, we are not -- we have not been able to do justice to these products because of the overall conditions. I think the volumes have dropped almost -- volumes and value, both have dropped during the current H1. I think that the value would have dropped between -- anywhere between product-to-product on a -- I mean, 12% to 20%. And as I said that our specialty product portfolio, the value has dropped only by 3%. However, the volumes have dropped in domestic markets to (to be read as 'by') around 10% to 11% combined in between specialty and generic products.

Having said that, our main brand of Glyphosate, which is Glycel, volume of that product has increased during the year by 5%. However, the prices of Glyphosate dropped 23% from the previous year's level. So, there has been a lot of permutation and combination between the products. Some products going up, some products going down. Some products going down drastically in value, some products going down not that much in value. So, it has been a very, very sort of a mixed basket for us to handle this year in these challenging times. But the bottom line is that we are confident about our product portfolio, especially the ones which we have introduced currently.

And to add. I mean, if we see the overall percentage of our fungicides or herbicides or insecticides or bio products, we have maintained the same percentage of all these segments in the current year. So, it is not that one segment has gone up and another segment has come down drastically. I mean, overall, in a balanced position, our entire product portfolio has remained in terms of percentage unchanged. That should give a very good confidence to us and as well to the market.

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Page 8 of 26 Viraj K: The question was largely in terms of performance between 2019 and 2023, because I understand currently there are a lot many external factors which is w

ay beyond our or anyone's

control. So just to kind of dwell a little bit on this. We always talked about mega brands of, say, 20-plus. And so, to give a perspective, if you can, on the new product, how many of the current mega brands we have are more -- so what is the share of new products in these mega brands, say, versus 2019?

And when we say a mega brand, typically, is it more than INR100 crores or INR50 crores? So, what's typically our definition of mega brands? So that is one, yes.

Suresh Ramachandran: Yes. First, coming to new launches, if you look at all the new products that we have launched, maybe seven or eight we would have launched in the last 12 months, 14 months, between 2019 and 2022, let's say, January, February, there were not many introductions, except all the registrations and launches happened in the last 12 months to 18 months or 14 months.

However, these new brands got into a situation where right from last Rabi season, from last September time frame onwards, the season and weather has not been supporting. And that's a reflection why these new products have not been really picked up. Especially this year, we were hoping better performance. But unfortunately, the overall consumption itself has come down, and that's the reason. But our focus continues to be on new product ramp-up and ensure that the farmers get the best out of these kind of new products.

Now in terms of mega brands, yes, we do have mega brands like Lano or Danitol, of course, Glyphosate, Glycel, Mera 71 and all these products. Anything that ranges about INR50 crores, INR60 crores, we call it as a mega brand.

Viraj K: Okay. And just one last question, if I can ask. On the margins front, again, if I look at the five-year history, we have seen a significant improvement in our operating margins. And that slightly benefited from the operating cost level. So, in the past, we used to talk about benefits in terms of merger synergies or operating leverage. What will be the major factor driving this improvement for us? If you can probably quantify or give us more details colour in terms of the improvement in margin and sustainability.

Kunal Mittal: So, see, I think, overall, if you look at the last four, five years' history, our margins before integration of two entities, if you see, both of these entities were earning about 12% to 13% EBITDA level margins. And in both the entities, the fixed cost, if you look at it, it was about 19%, 20%. Then we integrated the entities, started the process in 2017, '18 and completed in 2019-'20. So over that two years, three-years period and two, three years after that, we have been able to maintain our fixed cost, which has come down to (to be read as 'from') about 19%, 20% of revenue to about 12%, 13% of revenue. So that has added to the profitability. In addition to this, all our specialty segments, the product portfolio even in the off-patented segment, the focus on the premium branded business, instead of the low end of the generics and the off-patented products, we have been able to improve our gross margins. So, to combine, I think over last four, five years, we have been able to improve our margin profile at a EBITDA level from 13% to about 19%, 20%.

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Page 9 of 26 We continue to be confident about this kind of profitability levels in the medium to long term. But in the current year, because of challenging environment and situation, we have taken a little bit of a hit. And as our CFO, Mr. Anil Nawal, also mentioned, I think in the Q1, we had a kind of a very low margin at a gross profit level. But if you look at the Q2, our margins at a gross profit level is much better as compared to Q1. It is still not at the historical levels of last year, but I think on a sequential basis, we have made improvement in the margins in last few months.

Chetan Shah: Also, as I mentioned in my opening remarks, we have exhausted our high-cost inventories

altogether. And now the prices of inputs have stabilized over a period of time in the last few -- couple of months. And we see that these prices will remain stable till the month of January. On the other side, the prices of the finished products, which dropped drastically during the year, has also stabilized. So, we are very confident that we'll be able to not only maintain our margin, but maybe we can even improve a little bit.

Moderator: Thank you. The next question is from the line of Swati Hiroo from Ratnabali Investment.

Please go ahead.

Swati Hiroo: Sir, my first question is that we've recently made this acquisition of a company, like Barrix. I just wanted to understand that given our scale and size and given how much our parent company spends on R&D in a year, what need or requirement did we have for a company this size? What are they doing that is so innovative? And how do we plan to scale that up?

Chetan Shah: Okay. So, you're right, this is a small company. And that is why the acquisition cost is also smaller. We found this company very interesting from two points of view. One is the green technology and second is their capability of R&D in this segment, in this -- what they are making and what product lines they have got in the pipeline and what can be done with these products not only in Indian market, but even in the global market.

So, it was a very interesting opportunity for us to get into it. Yes, in terms of revenue or in terms of bottom line, it may not be so exciting for our size of company. But I think it was important for us to get into this new technology field with green label. And also, if you have read through last 1.5 years, two years, there is a barrage of articles and the wish of the government of India to use more-and-more green technology in the agricultural field. So, we thought that it would be a very -- we found it a very opportune time to get into this greenfield business and see what can be done with this technology, which this company had, especially they have the expertise in.

Our R&D does not do this kind of R&D or even our parent company would do R&D in a large manner with the existing chemistry on the chemical products. And even if you see, SCC is buying green technology companies around the globe. I think it is even their priority.

So even though it is a very strong company, let me tell you that the interest was -- from the parent company was so high that people from every corner of the globe had come down to India to visit this company, to see this R&D, what they are doing. And everybody was -- they were astonished to see the type of work this company is doing. So, we find in future this will

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Page 10 of 26 be a very, very appropriate acquisition.

Kunal Mittal: And just to add to Mr. Shah, I think so this is a very, very niche kind of a R&D and the technology which we have got access to through this acquisition, which we did not have in-house. And some of these technologies are very complementary to our existing businesses. And we believe that the technology is world-class. It has a lot of, I think, working potential both in India and globally.

And as Mr. Shah mentioned, I think this is very much in line with the integrated pest management and integrated plant nutrition management proposals and initiatives by government in India and across the globe. And we are very, very bullish and confident that this company, with this core, niche R&D technologies, can scale it up very, very fast the business potential.

Swati Hiroo: My second question is that in a conference call like I think a year or 1.5 years back, we had spoken about being in conversation with our parent company to bring, say, the IT chemicals, the pharmaceuticals and these other business divisions into India. So, I just wanted to check if there's any progress or update on that front?

Chetan Shah: The talks are on. This year I think everybody, including the parent company or the associate companies across the world and including us, we are sort of bogged down to look at our own house first, rather than have a very, very forceful push for these new initiatives. They have not stopped. The talks have not stopped. But I think we'll take it up once we have got the Barrix and -- of completing this year.

Swati Hiroo: Okay. And so, on the last few quarters, like since the last one year or two years, I actually have noticed this Animal Nutrition & Environment Health business has not really grown very much. So, I just wanted to understand like where do we see this heading in terms of revenue and profit potential?

Chetan Shah: So, I think Animal Nutrition is a very, very good business for us in a sense. And of course, the pricing, if you see, you are seeing the value drop or not increasing that much. But during the year, as compared to the previous year, the prices of this product have gone down by 38%. And we have maintained almost a similar kind of volume (to be read as 'revenue') because we have increased the volume by almost 31%. So, the price reduction impact is not seen that much.

But the fact that we have increased the volume by 31% during this current year in this first six months is speaking of the goodness of the products for the industry which they are using in. And I think that overall, we feel that the eggs consumption and the chicken consumption and all that is likely to go up as the price income -- or the income levels go -- keep on increasing. And it's a very, very uninterrupted business for us. And we are confident that we'll keep on increasing the volume of this product.

EHD, you have rightly observed, it has gone down this year. This was basically, again, due to the stock levels of the products at our B2B customers, like Godrej or Johnson & Johnson that keep that kind of -- I mean, everybody has a lot of stocks, and we have not been able to sell as Sumitomo Chemical India Limited

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Page 11 of 26 much as the volumes as was given to us by them in the beginning of the year. However, I think the situation is slightly improving. We are going to see, I mean, we have the plans from the month of November till March. I think we will be in a position to revamp the sales of these EHD products. Again, this is also an important sector for us. We are also going to launch one or two new products in this EHD business. And it is looking good for the future.

Moderator: Thank you. The next question is from the line of Anandha Padmanabhan from PGIM India. Well, Mr. Padmanabhan has dropped from the question queue. So, we'll take the next question from the line of Prashant Biyani from Elara Securities. Please go ahead.

Prashant Biyani: Sir, how are you seeing the demand environment globally from your affiliate companies and also from third party for second half?

Chetan Shah: If I talk about the indications, they are extremely good for the second half. However, I'm sitting in Indian market. So really speaking, I don't know what is the market conditions over there. It can change. I think the indications are very, very positive for the second half. But what really will transpire into actual business, we'll take it up month-by-month.

We are prepared for the production. We have procured the raw materials or contracted the raw materials at very competitive prices. And we stand equal chance to get this business with Chinese competition for the second half. I think things are slightly looking better from the perspective of global markets as compared to the first half.

Prashant Biyani: Right. Sir, on the expenses side, I think we had initiated cost reduction exercise somewhere around Q4. Q4 and Q1 were fine, but this quarter again other expenses has gone up on an absolute amount as well as a percent of sales despite a good decline in sales. Is there anything one-

off? Or if you can explain on your cost reduction efforts, why it has not reflected in other expenses?

Chetan Shah: No, I think the cost reduction is definitely on, and we have achieved also cost reduction. We

had ERE cost always -- I mean, you take -- I think in our case also it has gone up by 7% or so. However, the major cost which went up during this year was due to drastic revision of wages in -- by the Gujarat state government. I think the increase was almost 25% of -- as compared to the previous year.

And this was across the state of Gujarat. And we have four plants in Gujarat, only one plant in Maharashtra. So, the cost of wages went up drastically during this year. Now this is -- you may call it one-off in the first year, but it will continue to be there forever. And if you see, I think we have reduced -- apart from ERE cost, we have reduced the cost by almost INR15 crores in the first half of other fixed expenses. So, our attempt to reduce the cost is absolute and very, very serious.

I mean even the marketing cost or marketing efforts or marketing cost has been reduced. Out of this INR15 crores, INR4.5 crores to INR5 crores is only reduction in marketing cost. So, traveling or such things, all the areas we have covered in cost reduction.

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Page 12 of 26Prashant Biyani: Sir, wage cost would come ideally in employee cost or -- it shouldn't reflect in other expenses, if I'm not wrong?

Chetan Shah: No. So other expenses has gone down by INR50 crores. And if I leave alone the ERE cost, which includes all salaries and wages, then it would be -- the other costs have been reduced.

Kunal Mittal: Our request is to always look at the performance over a longer period. Like if you look at the six months number, then they look more clear and accurate. Quarter-to-quarter, sometimes there is a variation of 1% or 2% in the other costs because of the provisioning and a lot of other factors which affect it. But as Mr. Shah mentioned, there are very conscious efforts since beginning of the year, and we feel that -- I think the same kind of trend continues because we are still not back to the normal level of business at this point of time. So, our cost reduction efforts continue for this full year.

Prashant Biyani: Sure. Sir, on this Barrix acquisition, if you can elaborate on the plan to take the company's product global, because while the technology is not that new, the acceptance in the Indian market is also not that much. So, on the global demand side, how do you plan to cash in on the same and by when?

Kunal Mittal: So, Prashant, I think globally this is a very large and, I think, a growing business. And the pheromone segment, which we talk about the niche technology. So, in the global market, we believe that the overall potential is very, very large. However, there are regulatory challenges because these products in some of the global markets need registration. So, we have started talks and discussions internally that how we will be taking the products globally. And we believe that some of the products which are not requiring registration can be capitalized very, very quickly and other products which may require registration in some other geographies may take a little longer period.

So, we believe that in next two years to three years, we should start seeing a lot of movement in that, and the same kind of movement can continue in the longer period of time. However, exports growth will not be like so immediate that it can just start in next quarter or six months or so. It is going to take some time, as I mentioned that we have to secure the regulatory approvals and also the suitability of the product in each market, the testing, the trials, sort of those things are required. While bit of that work has been done, but we will be accelerating that investment into that front.

If we talk about the Indian domestic market, we believe that company h

as a very small market

share today in this particular segment. And this market particularly is growing very large. And as per our estimates, whatever we have calculated internally, this is approximately INR400 crores to INR500 crores market today, which is spread across several unorganized players and there is no single large player who is having a very good national level presence, having very good technology.

With the technology, this company has access to -- and a lot of good work they have done, they have the potential to take a leadership position into this segment. And that segment is also expected to grow to, say, double or triple in next four years to five years as per our estimates.

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Page 13 of 26So, we believe that, that company is at a right point of time. Their size might be smaller at this point of time, but company has ability both from a technology point of view, from a market point of view. In Indian market and global market to grow at a much, much faster pace. And that is what our belief is and that is what the rationale for this acquisition is.

Suresh Ramachandran: Yes. Just to add, as Shah san mentioned earlier, this is a technology where we do not have presence now, the green technology. I mean, if you look at mid-term, long-term, this is going to be a nice complementary portfolio for our existing chemical portfolio, and that's the whole purpose of this acquisition, not only for domestic market, for the international markets as well. It's more -- we look at it as a complementary portfolio to our existing portfolio and to put

resources to ramp-up that business.

Prashant Biyani: Sure. Sir, what would be your capex plan for next year?

Kunal Mittal: So, Prashant, right now I think we would stick to the normalized capex, which we say about 15% of EBITDA. Any incremental and additional capex for any specific projects will be announced as and when we approve. But as Mr. Shah mentioned, in the current times I think the most important factor is to see the right growth and get back to the normalized level of business.

And talks on the further projects to be approved are on. So, R&D teams from India side, the projects team, they are doing calculation. We already have the land available. All the initial approval for the land and the new site at Dahej are under process. So hopefully, in 2024, we can get the approvals from the government side in terms of environment. And then our Board will consider various projects in discussion with our parent company, SCC.

So as and when more-and-more projects are approved, we will announce further capex. But at this point of time, 15% of EBITDA. And the applications and all these things for the initial approval for that site in terms of the environmental clearances and all other basic approvals are already under process.

So once depending upon the approvals from the government and also depending upon approval from our Board and parent company on various specific projects, we will announce the capex in further next year.

Prashant Biyani: Sure. Just lastly, one data-related question. This specialty and generic business mix that we shared in PPT is relating to domestic brand business or full domestic business, or if you can clarify that?

Kunal Mittal: No, it's the total ASB business.

Prashant Biyani: Which business?

Kunal Mittal: The total business of the company.

Kunal Mittal: I mean, total company level.

Prashant Biyani: Total sales, including export domestic, all?

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Page 14 of 26Kunal Mittal: Yes, yes. And including the Animal Nutrition and the Environment business.

Moderator: Thank you. The next question is from the line of Anandha Padmanabhan from PGIM India Asset Management Company Limited. Please go ahead.

Anandha Padmanabhan: So, for the first half, your domestic revenues have declined by around 15%. So how much of this would have

been because of Glyphosate? And if you could just give some colour on -- in terms of volume or value growth or how much has been because of the fallen realization and how much would have been the volume growth for on an H1 basis?

Kunal Mittal: So, I think Mr. Shah covered this point briefly. Approximately 15% degrowth in the business in first half. Approximately, overall, say, 3% could be attributed to the price and approximately, 12% could be due to the volumes. And if we look at the overall Glyphosate business, I think while prices have suffered 25%, 30% kind of a reduction, but our volumes grew by approximately 5%.

So, while there is an impact. But basically, to some extent, we can call that the last year's extraordinary prices have corrected. The prices still continue to be higher as compared to the last five years average, and we continue to be, I think, having good, I think, situation in Glyphosate and all, several molecules in terms of the current cost, current selling prices, the margins level. And but as compared to last year, which was extraordinary profitable, extraordinary high price levels, we are down as compared to that.

Anandha Padmanabhan: Okay. And so, the -- on a H1 basis, the kind of fall in gross margin that we are seeing, is it fully attributable to the Glyphosate or even ex of Glypho? Or is there any other moving parts to the overall gross margin fall that we are looking at it?

Kunal Mittal: To a large extent, this attributes to the high-cost inventory which we were carrying at the beginning of the year. And in Q1 if you see, the gross margins were several -- very, very adversely hit. In the Q2, we have improved the gross margin. The overall gross margin reduction is not very, very high, between 1% to 2% overall if you look at the full H1.

And also, I think what we believe is, see, even in the COGS, it is the total cost of raw materials, they are always fixed cost. So, what we believe is the -- in terms of the parity between the raw material and the intermediates purchase prices versus selling prices, overall, we are at par now as compared to historical levels. But the fixed overhead going up with the inflation rate and the lower level of sales, all of that has also contributed to the increase in the COGS and the fall in the gross margin level by 1% or 2% overall on a first half basis. So, we are -- I think that way, we are a little bit in a better situation as compared to Q1 in Q2.

Chetan Shah: And to add, it is not only Glyphosate which has contributed to this. I mean, all the products, like if you see generic products like Chlorpyrifos, where our volumes are high, Profenofos, where our volumes are high. Also, some adverse effect on our one plant which manufactures Quinalphos and Tebuconazole was non-operative from the month of April to almost August

end. And really speaking, there was no production and we had to spend extra amount of money to get this -- our requirements from outside on a jump-up basis or anything. So that cost also has increased substantially.

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Page 15 of 26 So, in the first half, there were as I said, there were many, many factors that attributed. And all these products -- raw materials which we were carrying, Chlorpyrifos or Profenofos or anything, that also impacted because the selling prices of -- or the prices of these products came down drastically in the marketplace, and we had to consume a high-cost inventory. But as I mentioned earlier, thankfully, we have now -- since the end of July and beginning of August, we have no such high-cost inventory and we are back to our normal margins.

Anandha Padmanabhan: And the second query was regard to the upcoming Rabi season. So, while you have mentioned in the call that you have substantially reduced your working capital and the inventory. But if I look from a channel inventory perspective, in the market, we are entering into Rabi season.

How do

you see the on-ground situation with regard to inventory with the few thousand distributors?

Suresh Ramachandran: See, more than the channel inventory, there's a concern in terms of cropping condition. If you look at all the data indicates that the reservoirs are just about 70%. And there is a question of second crop coming in a few places. If for example, the second monsoon goes well, especially in South India if the crop acreage comes, especially paddy, and the irrigation is -- water is available for key crops, I think demand will pick-up.

At least for our products, we don't see much of a channel inventory, because we were selling -- we did not sell aggressively in the first half of the year or more so in the second quarter. So, our products are not there. It should pick up. Demand should pick up if the cropping area comes to normalcy.

Anandha Padmanabhan: Okay. And how should we look at exports? Exports have seen a very sharp decline in the first half, close to more than 50% decline, if we just compute the numbers. So, what are the key drivers for this decline in exports? And how should we look at it going forward?

Suresh Ramachandran: Yes. It's a combination of factors. One is obviously the LatAm demand, where we export quite a bit of our products. The price has come down for products like Chlorpyrifos, Difenoconazole. For all these products, prices have come down. So, a combination of both volume decline as well as price decline.

There is no demand in LatAm. As an industry, all the companies are going through that. Now the indications are positive. Like Shah san mentioned a few minutes back, the indications are positive. Of course, we need to wait and watch how this is all going to translate into sales in the coming few weeks and few months.

Chetan Shah: Let me add. Actually, in any country, including LatAm, there is no issue on the product demand. So, it is not that we are not selling the products. The only correction is inventory levels -- high-cost inventory levels, which has to be disposed of. All this has forced the global companies into controlling their inventories to such a large extent.

And it is not only LatAm or anything. I mean, I'll give you a recent example. We sell a huge quantity of Profenophos to Syngenta for global market. And what we were told that there is a full stop, to not increasing 1 kilo of inventory till 31st December, which is their year ending.

So, they've postponed the entire purchase from November, December to January, February.

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Page 16 of 26 So it is across the board, across the countries, that the inventory control of the companies have become so stringent that there is no scope of selling any extra quantity to any of these countries. And unless their own inventory levels are disposed of -- they face two challenges.

One is to dispose of the inventory and another is to dispose of the high-cost inventory. So, all the companies are taking a lot of losses in taking out the high-cost inventory and liquidating it.

And that is why the first half you are seeing such a drop.

I mean, it was a shock to us as well, I mean, learning as to what are the reasons behind that -- behind this. I mean, we are okay. I mean, it's a postponement. The normalcy will be there in coming months. As I said, there is no problem of demand of products in any of the markets.

Anandha Padmanabhan: Okay. But if we look at the recent commentary or guidance downgrade by a couple of the global agrochemical majors, it appears that at least even in the near term the situation does not seem to be abating. So, should we take -- at least for the next one quarter or two quarters, we should take this as the normalized run rate before we see a sharp recovery in FY '25?

Kunal Mittal: So, sir, we will not be able to comment very specific on the...

Chetan Shah: I would say that cautiously if one wants to approach this subject, I think up to Q4 w

e may see

better prospect than the Q1 and Q2. But a real normalcy should come by the first quarter of '24-'25.

Anandha Padmanabhan: Okay. And export also, would Glyphosate have played a role in overall scheme of things? Glyphosate was not there, it's a big...

Chetan Shah: No. Glyphosate is a second half export for us, which we feel it will still happen. See, we don't export any Glyphosate in H1.

Kunal Mittal: And even from H2 point of view, from export point of view, Glyphosate is not a very, very big molecule for us.

Anandha Padmanabhan: Okay. And what would have been the volume decline in exports for this year, if you could share that number for H1?

Kunal Mittal: As you rightly mentioned, the total decline in export is approximately 45%, 50%. And roughly equal amount -- I think about 25%, 30% in volumes and 25%, 30% in pricing.

Anandha Padmanabhan: Okay. The pricing impact has been much more severe in export vis-a-vis domestic?

Kunal Mittal: I think pricing would be about 20%, 25%, but the volume impact is higher than the pricing impact overall.

Moderator: Thank you. The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Please go ahead.

Bhavya Gandhi: Just wanted to understand the China scenario, because three quarters, four quarters back, there was China Plus One narrative, which all the companies, agrochemical companies were saying.

And is China opening up affecting our prices? Is it affecting your raw mat prices or these

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Page 17 of 26 finished goods prices. If you can just throw light on that? Yes, that's the first question.

Chetan Shah: No, the China situation is a normal situation according to me. You never know when the prices will go up, neither you will know when the prices are going down. And if you see, as I said, 2022 end onwards, the prices just spiked up in China for no reason or no apparent reasons. And it just kept on and on and on going up. And when it started falling, it fell again at a similar rate and similar speed, again, without any rhyme or reason.

So, China situation is like this. But as I said, the prices have stabilized. Now it has stabilized to a great, great extent. We are not seeing any upheaval in the pricing. The availability of materials, there is no problem. And I think the prices have bottomed out in my personal opinion. And it will remain stable for next -- or at least till next three months, four months.

That is what our opinion is.

Bhavya Gandhi: Okay. So basically, we do not see any fear from China opening up. I mean, they will not affect the generic prices. It's more of a domestic phenomena and inventory stocking, which is sort of weighing on the prices, I mean, domestic generic prices, right? That's the broader -- and also, just wanted to understand. Because in Glyphosate, there are hardly 2, 3 major players, if I may not name the companies. So, what has led to the price correction over there? I mean, all are using [not clearly audible] and everybody knows that if prices go beyond a point, you start stopping manufacturing. I mean I don't understand like what has led to the price decline.

Chetan Shah: So, what happened in Glyphosate was, I mean, somehow the decision was taken not to stop production in China in those times when the prices are very high. And even when prices started coming down, the production was on, both for raw materials and finished products. And they stocked up huge volumes, huge means huge volumes of both raw materials and finished goods. But prices did not improve.

Coupled with the global phenomena of high-cost inventory, the new product even at a lower price did not find a market. And that is why the prices have bottomed out and stable. However, I don't see prices going up because there is a huge level of inventories in China for Glyphosate, both for the finished product as well as for the inventory.

Kunal Mittal: And as you mentioned

that -- see, in Indian market, there might be only, say, limited players.

But see, in today's world, all the products -- the pricing and all specifically for this kind of competitive, off-patented product is global linked. So, I think globally whatever happens in the prices -- as we see across our products and businesses, if the global prices go up and down, the impact in the Indian market is quite early. We cannot say that even if we are only two, three limited players in India market, we should be able to hold on the prices. And those things does not happen and the information, the trend, the sentiments pass on globally very, very quickly.

Bhavya Gandhi: And any thoughts on further acquisition, because we have INR1,400 crores? Because our ROCE will start getting affected because we are a good ROCE generating company, I mean, going forward if we don't deploy. I mean, if you can throw some light on that?

Kunal Mittal: So, I think we are looking at opportunities, I think, as we have mentioned this Barrix that we've announced. So, our preference will be for smaller and niche segments instead of

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Page 18 of 26 acquiring a very, very large company and at a very, very high valuation. So that is not the immediate priority. If something comes up, we can look at it.

But we continue to look at opportunities, both inorganic acquisitions and organic, setting up

new plants, new projects, new products and new sites. So, both these things are, I think on a

regularly basis we keep evaluating. And whenever we find something which is meeting our requirements in terms of scale up and even if the business or the technology might be small, but if they have potential to scale up in next five years to 10 years, we will be very happy to look at that. And any large-sized acquisitions could be considered only if the valuation is really attractive.

Bhavya Gandhi: Fair enough. And also in the last three years, FY '22, '23, we've seen very good growth. And we've told in the past con calls, we'll try to maintain those levels of growth. So, after normalizing, can we assume that those kind of levels could be seen again? Or this is the new normal going forward? I mean, if you can throw some light on that as well.

Kunal Mittal: So see, I think in the past also, we have also mentioned like, if you look at the last 10 years history, whatever we have achieved in Sumitomo Chemical India Private Limited and then Public Limited and also Excel Crop Care since 2017 when we acquired the business at INR900 crores and scaled that business to even INR2,000 crores-plus level. So, we have shown and demonstrated a significantly high growth, as compared to the industry in Indian market and globally. And we continue to be confident that our medium-term to long-term strategies, our growth plan remain intact.

And sometimes this kind of, I think, situations can come in short term, which can have a lot of challenges. And we will try to, I think, recover and then again go back to our drawing board in achieving our medium- to long-term growth strategies.

Bhavya Gandhi: Just one last question with respect to EBITDA, because this year our EBITDA would be on a lower side. So, 15% on that EBITDA is the capex that we are looking for the next year?

Kunal Mittal: Yes, 15% of the EBITDA for -- correct, for the normally correct.

Bhavya Gandhi: And that includes your Japan capex as well, supply to Japan capex as well. That we need to minus. That would be the incremental number that we're looking up, right?

Kunal Mittal: It will be the incremental capex over and above this, but that will depend upon when we approve the projects and we take them on the ground, depending upon the approval from the government authorities for the new site at Dahej and also the approvals from our parent company and Board for further investments in those projects.

Because we have just completed, I think, 2 large projects and

-- I mean, not very, very large,

but like say, whatever, two projects we've completed. And we are expecting some revenue from this projects in current year. Next year, we will try to ramp up the revenues from these projects. We will try to ramp up the businesses, which we have the distribution business. I think someone also talked about the new products which we have launched in Indian market, many new good 9(3) molecules which we have launched, as Dr. Suresh talked about.

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Page 19 of 26So, I think our prime focus will be to focus on the current businesses which we have, and then we will look to expand and then make further investment for the growth also for the long term.

Bhavya Gandhi: Fair enough. And also, one last thing, if I can squeeze in. 7th December is the Glyphosate hearing. So, any update from your end or any take that you want to say?

Kunal Mittal: I think from our side and industry side it is very clear. I think we have been objecting to this proposal from government basically because fundamentally it is very, very difficult to implement this kind of proposal. And we wait to see what government is going to come up with in this hearing, because in last three year to four-year hearings, government or the other side has not come up with any concrete proposals. So, let's see if government has any concrete proposals to take this matter forward.

Chetan Shah: I think governments has been trying to do something, small steps and all that, which is not enough or which are not enough to have the total infrastructure of what they are proposing. So, we are quite ready to -- or prepared to argue those points. And I think the situation is such that even government hopes that it dies down on its own. Or it will remain on a -- it's like putting that proposal on emergency bed and put support system, and let the patient remain there. It is something of that sort.

So, I don't think anything is likely to happen. And nowadays, I think a lot of positive news about Glyphosate has been coming from across the globe, including the renewal of Glyphosate for 10 years in EU. And also, a lot of other positive news coming down, even the case in Australia, which is unfounded with the claim.

So, I think with all those things, positive things happening and Glyphosate being an important input for Indian farmer, I don't think there will be too much of tinkering around this molecule.

Kunal Mittal: And also, the proposal from the government on Glyphosate was objected not just by our industry, but also by the farmer community at large, several, I think, representations made by the farmer community. So, with 2024 being a very critical year politically, I think what kind of decisions are being made, I think that is yet to be seen.

Bhavya Gandhi: Fair enough. And I just have read somewhere that EU majority countries have not passed the Glyphosate extension approval, I mean. So, I mean, what makes you so positive when it comes to -- yes.

Chetan Shah: No. So, it works like this. It was part -- it was renewed in the meeting. Then there is a process of this voting and all that. And if the voting is neither for nor against, then the committee originally which decided, that decision will hold. So, we are very sure that it will go back to the committee and whatever committee has decided will remain.

Kunal Mittal: So there -- again, I think, there is no voting which supports any regulatory restrictions on Glyphosate, so to say. You are right that they could not get a very clear consensus either way. And then as Shah san was mentioning, that it will go to the technical committee based on the scientific arguments and those will prevail over.

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Page 20 of 26 Moderator: Thank you so much. The next question is from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

Dhavan Shah: Yes. So, sir, first thing, like as

we indicated that there are a couple of growth triggers which we are aligning. So first is this five-product contribution, INR120 crores capex which we did. What was the contribution in the first half?

Kunal Mittal: So currently, as we have mentioned, we have not generated any revenue. We have started the commercial level production. But in the current situation, where all across the world already inventories are there, we have not started revenues and shippings -- shipments. And hopefully, we should be able to do some shipments and some revenue in the second half of the current year.

Dhavan Shah: Okay. And we expect that, let's say, FY '25, we can operate this plant at a reasonable utilization level?

Kunal Mittal: Yes. We would like to believe that. And hopefully, the recovery in the global market should help us there.

Dhavan Shah: Okay. And sir, Dahej capex, any tentative finalization we can see in FY '24?

Chetan Shah: No, in '24, we are expecting our environment clearance will come through. And we have listed out many projects and many plants over there. And as Kunal san earlier mentioned, we are just waiting for the final product list from SCC, our parent company, as to what priorities and what products we should start manufacturing as one, two, three, four. And over and above that, whatever other -- some other molecules for Indian market or for the global market, apart from SCC products, also will be manufactured there.

So, we are quite ready with our product list, but we have to discuss the priority of which products to start manufacturing first, which should happen during this financial year. By the time we'll get the environment clearance, we should be -- much before that, we should be ready with our product list. And then the work on the plant design and everything will start.

Dhavan Shah: Okay. And sir, let's say, what would be the tentative initial capex, like first phase capex for Dahej, because Dahej, the land is very big? But at least, let's say, what would be the starting capex for Dahej, whenever we do?

Chetan Shah: We are talking about around INR300 crores

Kunal Mittal: Over next two years to three years to be spent.

Dhavan Shah: Okay. And sir, lastly, the export recovery, like if I see FY '23, the export was around about INR900 crores. And this year, the significant reduction has happened, obviously bit, because of the volume and pricing, both. But do we expect that all these things -- at least the recovery should happen by second half, I mean? And how should we see the export?

Chetan Shah: Second half, we'll recover, but not fully in my opinion. As I said, the indications are very good, but we have to see the ground reality. From our side, we are prepared to execute the Sumitomo Chemical India Limited

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Page 21 of 26 indicated numbers. And I think it will take some time. I think it will take -- we'll definitely see the improvement in the third quarter and fourth quarter, right? No doubt about that. But I think the real -- coming back to that earlier '22-'23 volumes, I think we'll go into the next financial year.

Dhavan Shah: Okay. So, sir, trigger for domestic growth would be like, if I divide this whole piece of domestic business into, let's say, specialty and the generics. So, generics then you have Glyphosate also, which is a large portion and it is growing despite all sort of pricing environment. So how should we see the domestic growth for next year or so?

Suresh Ramachandran: Yes. See, we expect that consumption -- the season to be normal next year and the consumption levels coming back to normalcy. Now by and large, the prices are stable for last couple of months. Assuming the same price level continues into the next quarter also -- or, sorry, next year also, the overall consumption in terms of cropping area, right monsoon and, of course, our newly launched products should help us in our growth coming back to normalcy.

lcy.

Kunal Mittal: Also, Glyphosate has been about 20%, 22%. So, it is not that only Glyphosate is the thing. Because even in the off-patented segment and the generic segment, there are several premium

brands which we have across many, many products, maybe 10 to 12 technicals which we make in-house, about 40, 50 products we market and distribute in Indian market, about 15, 20 specialty products from SCC, VBC. So, it's a very wide range of products. And yes, one product is very, very important, about 20%, 22% of the revenues.

Suresh Ramachandran: There are other products which contribute. And one more thing we need to look at is, is this year trade sentiment, overall trade sentiment has been low. Traditionally, trade would buy and stock a material generally in the month of April, May itself, okay. But now if you look at this year, that does not happen to a great extent. And trade was also not sure with the drop in prices every week or every month. Trade was also cautious in buying the material. And we expect the trade to come back to normal behaviour as soon as possible. That should help us in coming back to normal business.

Dhavan Shah: Sir, one last is PGR. We had launched this Promalin, right, the plant growth regulator in the market?

Chetan Shah: Yes.

Suresh Ramachandran: See, whatever -- we launched sometime in the month of March.

Dhavan Shah: It is a very unique product for us, right?

Suresh Ramachandran: Yes, it is a very unique product launched in apple. Just for -- this product is only for apple at this point of time. We launched towards the fag-end of the season, sometime in March, I think, March third week or so, which was almost -- the season would get over by April 15. So, we got towards the end of the season. And whatever we planned for last financial year and a little bit in early April, we could sell and liquidate that whole, almost 95% of the quantity.

Now the next season will start towards the Q4 of this year, and we have good plans and

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Page 22 of 26execution plans. You would see that sale happening from Q4 onwards.

Dhavan Shah: How big, sir, this molecule would be, let's say, in India?

Suresh Ramachandran: It's a difficult question to quantify. See, we have just learned by launching this product probably about 30 days. That's all the usage thus far. And unfortunately, what happened during the last apple season was the weather was so bad. There was excess rains in Himachal Pradesh and Jammu and Kashmir. So, the farmers and our own team were not able to see the actual delivery of this performance of this product, which we hope the season will come back to normalcy in apple this year and the farmers and our team would be able to see and really ramp-up the product.

Kunal Mittal: See again, these are like a transformative kind of a product. So, we will not be able to really give you like amount wise and what is the target for this product. But what we have shown in the ProGibb, in the grape segment like, when we launched the product, over next three years to four years, we could take a majority market share, 60%, 70% market in the grapes in the gibberellic acid segment with our product ProGibb.

So similar kind of -- I think our ambitions are there to take majority of -- the Indian apple farmers and the growers should be using this product. And our efforts are on working with the farmers in the field, demonstration, extensive marketing and campaigns, a lot of activities. And these are very, very difficult geographies, both Jammu and Kashmir and Himachal. And our teams are doing a lot of work. And we are very confident that in the next one year or two years or three years maybe, we should have a majority of the apple farmers in India getting the benefit of this product. And that should transform how the apple farming happens in India. And hopefully, it should generate good revenues and potential for our company also. So,

we'll

not be able to quantify the absolute amount, but that should transform, I think, the apple segment for us in a big way.

Dhavan Shah: And sir, lastly, any update on Tembotrione, which we launched against Bayer?

Suresh Ramachandran: Tembotrione. Sorry, I'm not able to remember the numbers. Yes, we launched in a small way, just towards July, I believe. And this is the first season. And it's a corn herbicide. We really need to scale it up next year only. Again, corn season did not go well, herbicide season. So, at this point of time, it's a small, I would say, pilot introduction, pilot launch.

Dhavan Shah: But it's a very big product for Bayer, right?

Suresh Ramachandran: I mean, it's not only for Bayer. This product is being offered by a few other players also. Bayer has been selling it for almost, what, five years or six years now. So obviously, their brand will be much, much larger than what we can think of for ourselves.

Moderator: Thank you. The next question is from the line of Namit Arora from IndGrowth Capital. Please go ahead.

Namit Arora: Sir, my question was regarding the six products that you launched in the first half. If you could give us a colour about are you fulfilling a specific crop or pest mapping gap? And what's the

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Page 23 of 26competitive landscape for those products? And based on the initial response, do you think some of them could be blockbuster products for you?

Suresh Ramachandran: I can respond to that. Yes. These five products, the first product is a rice herbicide which we launched, and unfortunately, we did not get the necessary permissions for North India in time. So, it got launched only in South India. The product acceptance is very good. Unfortunately, the second season crop acreage is going to be less than the normal. So that may put a little bit of pressure on the volume. But the product acceptance is very good.

Now if I look at the other product, Rumpus or CuFlow, which is a fungicide, which we launched only -- I think in the month of August just with a limited launch. And the product -- that's what Shah san was mentioning. Myself personally interacted with a few distributors, and the product acceptance is very good. And there is a large scope for this product to be scaled up very quickly, okay?

Now if I look at the other two herbicides, Tembotrione that I think I answered a little bit, it was a pilot launch. Glufosinate, we launched it in one of the specific geographies where Glyphosate is not being allowed to sell, like on Andhra Pradesh, because Glyphosate is not being allowed to sell. And again, it's only a small geography, because we don't want to cannibalize or compete with our major brand, mega brand Glyphosate, whether it is Mera 71 or Glycel.

Yunico is similar to Chlorantraniliprole / , Rynaxypyr of another leading MNC player, which we launched. And this product is getting traction and we should be able to sell a good quantity of this product in the coming months. And the other products are like, which we launched last year, Promalin, I think I already answered that. Sumi Blue Diamond is another product which has got Gibrallac Acid which is a unique PGR product. It's a patented product for rice, which has got a very good traction, especially in South India. This product is also likely to become a blockbuster.

Promalin, I talked about. Korko is another unique product, a combination mixture of Profenofos and Emamectin Benzoate. This product is also -- has got a very good feedback from the farmers. So at least out of these seven or eight products that I just mentioned, at least four of them have good potential to become a good sales contributors to our company in the coming quarters -- coming quarters and years.

Moderator: Thank you. The next question is from the line of from S Ramesh from Nirmal Bang Securities. Please go ahead.

S Ramesh: So, if you had to look at normal pricing an

d going back to the normal volume in FY '23, if you

had to ignore the new products, what is the kind of normal volume growth we can see? And if you were to add the new products, what is the kind of actual volume growth one can expect in FY '25?

Suresh Ramachandran: See, the normal industry average growth in a normal year if you look at historically is somewhere between 8% to 10%, okay? And if the prices are stable -- and Glyphosate, still there is -- probably it can go down a little bit in the coming months depending on how China is

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Page 24 of 26going to react. So probably we should cross somewhere around 8% to 10% at the existing price level. If the price goes down, then the overall growth will go down.

S Ramesh: And if you were to add the contribution of new products, what is the additional growth you can get?

Suresh Ramachandran: See again, new products will be -- this will be -- next year would be probably the first full year of utilization for these products. So, I will say, in an initial year generally these products needs to be demonstrated to the farmers for the demand to be picking up. So probably in the first year, it will not be a big contribution. But for sure, it may be 1% or 2% in the first year. And then over a period of time, it will pick up depending on the product and which crop it fits into, which geography it fits into, whether it's multiple crops, multiple segments, year around the product. So overall, all these things -- all these factors play a role in the growth. But I would say in the first year of full year, probably 1% to 2% maximum.

S Ramesh: One last thought. I just missed the discussion on the volume growth. Can you split the overall revenue decline in the second quarter between volume decline and price decline?

Kunal Mittal: Sir, as we, I think, already explained, we look at it more or less a season. And that is why we do not do the quarterly calls because that is something which is not so relevant in our view.

And for the first half, we have already explained the number. In the domestic market, approximately 15% drop, 3% could be attributed to prices, about 12% coming from the volumes. And in the exports market, about 45%, 50% kind of a thing. And yes -- so in the domestic market, 12% I think volumes -- sorry, 12% was the price and 3% was the volume growth.

S Ramesh: In the domestic 12% was due to price, 3% was...

Kunal Mittal: 15% was the total fall in the domestic market, out of which approximately 3% could be volumes and about 12% is the price drop. And in the exports market, out of the total decline of 45%, 50%, roughly 20% could be attributed to price and about 25%, 30% to volumes.

Moderator: The next question is from the line of Manish Mahawar from Antique Stock Broking. Please go

ahead.

Manish Mahawar: Yes, sir. I just wanted to know what is the high-cost inventory impact in the 1H, if you can quantify?

Kunal Mittal: So, I think Mr. Shah already addressed this. I think at the beginning of the year, we were getting certain products inventories in view of a good season in a normalized situation, and many of these inventories were at a high cost because they were accumulated over last 6 months also. And we believe that in first half -- especially, in Q1 current year, I think we have liquidated a large part of this high-cost inventories. And that is where we had to compromise a little bit in terms of the gross margin.

Still, we could at least achieve profitability because many of the companies in the world, in India, across the world globally have also not been able to generate because they had to then

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Page 25 of 26 liquidate this high-cost inventory at even lower prices. So, we could at least achieve some margins. We had to compromise in our gross margins in first quarter specifically and overall, first half.

But at this point of time, we believe t

hat the inventory level at our company level and also

with the trade partners and the channel partners, the negative sentiment in the first half which we saw, which Dr. Suresh explained, I think which -- also we believe that now situation should be improving both at company's level and also at the trade partners level. The overall level of inventories should not be more than required.

Manish Mahawar: No, but -- can it be possible to quantify the numbers in the first half?

Chetan Shah: So, in the first quarter, I think, due to high-cost inventory we lost out the profit margin of almost 12% to 15%, which came down in the month of July to around 8%, which came down in August to almost around 5%. And at the end of September, it is only around 1.5%. So that is how the impact of high-cost inventory has been for us.

Manish Mahawar: Okay. And sir, can we expect around 19%, 20% of EBITDA, what we have historically done, right, in the year FY '25?

Chetan Shah: Yes, that is what our aim is, that we want to bring the entire situation to normalcy. And we don't want to go back to the EBITDA margins which were there in earlier times prior to 2019.

We have substantially increased the EBITDA margins as compared to that. And we -- our endeavour will be to maintain or improve.

Manish Mahawar: Okay. And sir, in terms of these 5 molecules to the parent, right, you already reiterated that it will be -- contribute significant or -- contributor to revenue in the next year, FY '25. Can it be possible -- you have already said, I think, peak potential of that molecule will be INR200 crores to INR220 crores, right? Can it be possible it will be around -- INR100 crores, INR150 crores odd will be next year contribution? Or it will be less number for this?

Kunal Mittal: No, I think whatever we have mentioned, the potential of these products in the past, I think that is what we will try to achieve in next financial year.

Manish Mahawar: Okay. So basically, the full peak optimal utilization will happen in the next year, right, for this 5 molecule?

Kunal Mittal: We're not targeting like a 50%, 60%. At least we will try to be between 80% to 100% of the potential in the next year.

Manish Mahawar: Okay. Understood. And just 2 data points, sir. Kunal, you highlighted, I think, domestic growth decline around 15% in the first half. You said volume decline is 3% and the realization drop is 12%. That's right?

Kunal Mittal: Yes.

Manish Mahawar: Okay. And one more question. Glyphosate contribution in the 1H, what is the number?

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Page 26 of 26 Kunal Mittal: So, amount -- anyway, we do not discuss any product specific. But as we have discussed, I think, Mr. Shah also mentioned, in the Glyphosate situation, in current first half versus last financial year first half, the volumes have gone up by 5%, but the prices have gone down by 25%.

Manish Mahawar: Okay. But just an easy confirmation. Last year, FY '23, it was 18%, right, Glyphosate? I think last call we have highlighted that. So, whether it is...

Kunal Mittal: In the first half, it is always higher. On a full year basis, you are right, it is about 17%, 18%. But in the first half in the domestic market because there are large sales, so the contribution of the Glyphosate in the overall revenues goes between, say, 20%, 22% in first half. But on a full year basis, it remains to be 17%, 18%.

Moderator: As there are no further questions, I would now like to hand the conference over to Mr. Kunal Mittal for closing comments.

Kunal Mittal: Okay. Thank you, everyone, for asking some very interesting questions and our colleagues for applying the same. We hope that we could address your queries.

Based on our analysis -- while we have already explained during Q&A that we anticipate that

the global manufacturers will start engaging into normalized level of activities in India as well as globally, and export from India to the key markets li

ke Latin America and also to other

global markets should resume to a normalized level very soon in the next few quarters.

It is also expected to, I think, have very good, I think, recovery from the current very, very challenging situation towards end of the current financial year and also next financial year. Furthermore, I think even in the domestic market, we see that the price stability is coming back to the normal, which we have already explained during the call. And all of these things give us a hope that, hopefully, the next year should be in a very, very good situation. And whatever sequential improvement we have seen in terms of the profitability levels in Q2 current financial year versus Q1 of the current financial year, that kind of sequential improvement should be able to be maintained in the future.

We will continue to monitor the current challenging situation, and all of us in the company will take best possible measures to achieve the profitable growth and the journey of the long-term to medium-term growth, which we have delivered in the past.

We would also like to take this opportunity to wish you happy Diwali and prosperous New Year. Thank you very much for taking out time and participating in our conference call.

Chetan Shah: Thank you. Thank you very much, everyone, and wish you a very happy Diwali and a prosperous New Year. See you next time around. Thank you.

Moderator: Thank you. On behalf of Sumitomo Chemical that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jun 2024

SCIL/SEC/2024

3rd June, 2024

To,

BSE Limited,

Listing Department,

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001 The National Stock Exchange of

India Listing Department,

Exchange Plaza,

Bandra Kurla Complex

Bandra East,

Mumbai - 400 051

Sub: Written Transcript of Earnings Call held on 28th May, 2024

Dear Sirs,

This has reference to our letter, intimating about the earnings call on 28th May, 2024 with Investors/Analysts to discuss financial performance of the Company for the quarter and year ended 31st March, 2024, and weblink for the audio-recording of the call submitted to you on 28th May, 2024.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:

<https://sumichem.co.in/investors-relations.php#Announcements> .

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Sumitomo Chemical India Limited

Deepika Trivedi

Company Secretary & Compliance

Encl: a/a

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"Sumitomo Chemical India Limited

Q4 and FY24 Earnings Conference Call"

May 28, 2024

Disclaimer: E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchanges on 28th May 2024 will prevail.

MANAGEMENT : M R. CHETAN SHAH – MANAGING DIRECTOR

MR. SUSHIL MARFATIA – EXECUTIVE DIRECTOR

DR. SURESH RAMACHANDRAN – WHOLE TIME

DIRECTOR AND CHIEF COMMERCIAL OFFICER

MR. MASANORI UZAWA – NON-EXECUTIVE DIRECTOR

MR. KUNAL MITTAL – SENIOR VICE PRESIDENT ,

PLANNING AND COORDINATION OFFICER

MR. ANIL NAWAL – CHIEF FINANCIAL OFFICER

MRS. DEEPIKA TRIVEDI – COMPANY SECRETARY AND

COMPLIANCE OFFICER

Sumitomo Chemical India Limited

May 28, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Sumitomo Chemical India Limited Q4 and FY '24 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on

your touchtone phone. Please note that this conference is being recorded.

From the management today, we have on the call Mr. Chetan Shah, Managing Director; Mr. Masanori Uzawa, Non-Executive Director; Mr. Sushil Marfatia, Executive Director; Dr. Suresh Ramachandran, Whole Time Director and Chief Commercial Officer; Mr. Kunal Mittal, Senior VP, Planning and Coordination Office; Mr. Anil Nawal, Chief Financial Officer; Mrs. Deepika Trivedi, Company Secretary and Compliance Officer; and colleagues from SGA, their Investor Relations Advisors.

Now I hand over the conference to Mr. Chetan Shah, Managing Director of Sumitomo Chemical India Limited. Thank you and over to you, Mr. Shah.

Chetan Shah: Ladies and gentlemen, a very good afternoon to all of you and welcome to the conference call to discuss Q4 and financial year '23-'24 performance of our company Sumitomo Chemical India Limited. Over the preceding 2 years, that is '21-'22 and '22-'23, we at Sumitomo had experienced favourable business environment. Our primary focus during this period was to maximize performance and exceed expectations. Building on this momentum, we implemented several strategic initiatives aimed at ensuring sustained growth and long-term success. However, as you all may be aware, financial year '23-'24, the agrochemical sector faced several extraordinary challenges, both globally and in India. This includes adverse weather conditions, poor demand, inventory reductions, downward price trends, supply chain disruptions and above all, compounded all this by various geopolitical situations. Most of these challenges appear to be temporary onetime factors and we expect the situation to normalize in the short term. Despite these headwinds, we remain optimistic about the growth potential of the agrochemical sector.

In Indian market, '23-'24 was marked by erratic weather patterns and lower-than-average rainfall due to the El Nino factors. This impacted demand for agrochemicals in the Kharif season. And lower levels of water in the reservoirs further compounded these challenges in Rabi season as well.

Our strategic focus throughout financial year '23-'24 was on minimizing the adverse impact of all these challenges and derive operational efficiencies. This approach enabled us to deliver resilient performance. We navigated the challenging environment by liquidating high-cost inventory reasonably in good time and historic gross margin levels within a short period. Our gross margin showed improvement on a full year basis, achieved through procurement Sumitomo Chemical India Limited

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efficiencies, optimal product pricing strategies and stringent cost control measures for fixed overheads.

We implemented strict controls over fixed costs, maintaining these expenses even amid high inflation. This disciplined approach extended to collections, inventory management and overall working capital collectively helping stabilize our financial performance.

Throughout '23-'24, we enhanced the safety standards across our operations and made progress in sustainable initiatives. This includes expanding our product segments in environmentally friendly

technologies with the Barrix acquisition and expanding renewable energy sources, further embedding responsible practices in our business operations.

In this challenging year, we demonstrated operational resilience and financial discipline. Our long-term plans remain intact and we continue to make progress on the strategic growth journey. We successfully advanced several key strategic initiatives, further strengthening our competitive position.

The situation in global agrochemical market is expected to be on a recovery part during '24-'25, including in key potential markets such as LatAm. In India as well, IMD forecast predict above normal rainfall this year, it would significantly benefit both the agriculture and agrochemical sector.

Our focus in '24-'25 will be on recovering the revenues lost during '24 through more extensive demand generation and brand-building efforts, especially for recently launched products. We continue to follow a disciplined approach towards margins, fixed costs and working capital, positioning ourselves strongly for future growth in medium to long term.

In conclusion, '23-'24 has been a year of strategic consolidation for us. Despite external challenges, we have demonstrated operational resilience and financial discipline. Our ongoing initiatives in manufacturing expansion, product innovation and sustainability positions, positions us strongly for the future growth.

With that, I will now hand over the call to Mr. Anil Nawal to please take you through our Q4 and financial year '23-'24 consolidated financial performance. Thank you.

Anil Nawal: Thank you, sir. consolidated Q4 FY '23-'24 financial performance.

We recorded revenue of INR674 crores in Q4 FY '23-'24, which is up by 3% as compared to INR652 crores in Q4 FY '22-'23. Sequentially, the revenue was up by 24% from INR544 (to be

read as INR542) crores to crores in Q3 FY '23-'24.

Gross margin in Q4 FY '23-'24 are 41.7%, up by 1,042 basis points as compared to 31.3% in Q4 FY '22-'23. Gross margin also witnessed sequential increment of 199 basis points from 39.8% in Q3 FY '23-'24.

EBITDA came at INR140 crores in Q4 FY '23-'24, witnessing a jump of 74% as compared to INR81 crores in the same period last year. Sequentially, EBITDA was up by 113% from

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INR66 crores in Q3 FY '23-'24. EBITDA margin in the current quarter stood at 20.8% up by 843 basis points as compared to 12.4% in Q4 FY '22-'23. The increase in EBITDA margin was primarily on account of better cost management, increased operational efficiency and higher gross margins.

Profit after tax stood at INR110 crores in Q4 FY '23-'24 as compared to INR72 crores in the same quarter last year, a jump of 52%. Sequentially, PAT was up by 101% from INR55 crores in Q3 FY '23-'24. Profit after tax margin stood at 16.3%, up by 523 basis points vis-a-vis 11.1% in Q4 FY '22-'23. For FY '23-'24 the operations team showed a strong dedication to strategic cost optimization initiative in response to the challenging industry circumstances.

Okay. So whenever I'm talking of consolidated figures, this would include our subsidiary figure also for Q4 only because we acquired Barrix on 15th of December. So it would be -- last quarter would be with the Barrix. But for Q4 '22-'23, Barrix figures will not be there. So to that extent, our figures will not be strictly comparable.

Now coming to our consolidated performance for FY '23-'24. Revenue from operations in FY '23-'24 stood at INR2,844 crores as compared to INR3,511 crores in FY '22-'23.

In FY '23-'24, domestic agrochemical revenue has contributed about 80% of our overall revenue with export contributing the rest. In FY '23-'24, Insecticides contributed about 41% of total revenue while Herbicide, Plant Growth Regulators (PGR) and Fungicides contributing about 22%, 10% and 8% of total revenue, respectively. The proportion of export earnings

as a

percent of total revenue has experienced a notable decrease, dropping from approximately 25% in FY '22-'23 to around 20% in FY '23-'24. Due to the substantial pricing pressure, destocking by global manufacturers and elevated inventory level, the exports encountered significant headwinds.

EBITDA stood at INR475 crores in FY '23-'24 as compared to INR667 crores in FY '22-'23.

Our EBITDA margin stood at 16.7% in FY '23-'24 as compared to 19% in the same period last year. The profit after tax for the financial year '23-'24 amounted to INR370 crores, reflecting a decrease from previous year's figure of INR502 crores because of complicated and dynamic market circumstances. Now with that, I will now hand over to Mr. Sushil Marfatia.

Sushil Marfatia: Thank you, Anil Bhai and good afternoon all. In terms of overall net working capital base, there has been a deduction of 33 days as on March '24, as to that of March '23, mainly on account of decrease in inventory days and receivable days and increase in payable days. Cash and cash equivalents as on 31st March '24 stood at INR1,207 crores (after payment of interim dividend).

During financial year '23-'24, our collections were INR3,325 crores as compared to collections of INR3,676 crores during financial year '23. As against 19% reduction in revenues, the reduction in collection is just about 9%, which demonstrates company's strong focus on collection discipline, even in a challenging and difficult year. This further demonstrates our team's capacity to generate demand and successfully execute sales, resulting in effective collections. It is crucial to remember that sales in our sector would not be deemed final until

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the material is consumed, and collections are received. Our teams are committed to maintaining disciplined practices regardless of the circumstances and situations.

In FY 2021, we had unveiled our intention to allocate 1.2 million towards to 2 'Make in India' initiatives for setting up 2 projects. Both these projects have started commercial level production. Some revenue were generated in the current financial year FY '23-'24. Ramp-up in the volume and revenue from these plants is expected from financial year '24-'25.

The management team is currently studying the feasibility of expanding the manufacturing capability and infrastructure for several additional products, including some future pipeline proprietary products of our parent company. Our parent company in its various presentations and investor interactions has emphasized the importance of India as a market and as a manufacturing footprint indicating future growth potential for India and Sumitomo Chemical India Limited. These opportunities are currently being carefully evaluated and have been

discussed at various stages of the decision-making process. After receiving approval from our parent company and our Board of Directors, we will furnish you with detailed information regarding our capital expenditure strategies.

Our commitment to sustainability and safety is unwavering. Throughout financial year '23-'24, we implemented various measures to enhance safety standards across our operations. This included timely restoration of a damaged plant and maintaining supplies through alternate arrangements. Our sustainability initiatives have also been progressed further embedding responsible practices in our business operations. We have taken initiatives for the adoption of renewable energy sources. Our acquisition of Barrix further supports our growth and sustainability goals, enhancing our product segment with environmentally friendly solutions. Our team of researchers is currently focused on developing a wide variety of products and combination mixtures to meet the needs of both the Indian market and potential export opportunities. Our organization sees great potential in these export markets which are loca

ted

in high-growth regions such as Latin America, Africa and Asia Pacific region.

We would like to echo Mr. Shah's sentiment and express our pride in all our teams who collaborated during these difficult circumstances. With our strong presence in the Indian agrochemicals sector, we are committed to achieving our goal of becoming a leader in Indian agrochemical market.

I now request my colleague, Dr. Suresh Ramachandran to give you more information on our business. Over to Dr. Suresh.

Suresh Ramachandran: Thank you, Marfatia Saab. Good afternoon, everybody. the Indian agrochemical industry experienced tumultuous event in 2024. Unpredictable and extreme weather events, including long dry spell and unseasonal rains impacted the crop conditions. This led to fluctuations in demand of agrochemical products as farmers adjusted their usage based on crop conditions. To manage cost and align with the market conditions many companies and distributors in the sector undertook significant inventory reductions. This strategic move was aimed to mitigate
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risks associated with holding high-cost inventory amid uncertain demand and downward pricing trend.

Geopolitical instability, including ongoing conflicts, disrupted supply chains, leading to delays in the availability of raw materials, apart from the cost escalation. These added to the complexity of managing operations and maintaining consistency. Despite the challenges, the domestic demand for agrochemical remain relatively reasonable. The government's continued emphasis on agricultural productivity and initiatives to support farmers contributed to overall normalization of agrochemical consumption during the last 2 quarters.

The decline in prices of key active ingredients has stalled to a large extent but further price trends remain uncertain and depend on how quickly the overall high-cost inventory in the channel is consumed. The decline in domestic revenue was caused by mix of both price and volume reductions.

LatAm market, particularly Brazil, experienced adverse weather conditions that significantly affected agricultural productivity. Unpredictable weather patterns, including droughts and excessive rains, led to reduction of crop yields, thereby decreasing the demand for agrochemical products.

The agrochemical industry in LatAm market also witnessed substantial price decline due to excess supply. The destocking led to price erosion for mainly generic active ingredients squeezing profit margins for companies in the sector.

The industry also saw a push towards adopting new technologies to improve the efficiency and effectiveness of agrochemical products. Innovations in formulations, application methods and precision agriculture played a role in driving growth and addressing some of these challenges. The industry is expected to recover as market conditions stabilize. Improved weather patterns, better crop yields and a rebound in the demand are anticipated to drive the growth in the coming years.

Over the past 2, 3 years, we have made significant investments in expanding strategic functions such as marketing, demand generation, product development, regulatory affairs, patents and exports. Some of these initiatives have already stabilized and started contributing growth, while others are expected to show results in the near future.

We launched several new proprietary products aimed at diversifying our product portfolio and meeting evolving market demands. We launched 3 herbicides, 1 insecticide and 2 fungicides in FY '24. Our focus will remain to ramp up the sales of the new products in the coming quarters as we have received positive feedback from trade and farmers on these new products.

We have also conducted trials for future pipeline products to ensure steady pipeline of innovative solutions in the coming quarters. To maintain volumes of the older proprietary

produ

cts facing increasing competition, we implemented robust product defence strategies and brand building initiatives.

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In future, our goal is to improve the effectiveness of our marketing and selling tools in order to increase engagement with our trade partners. Our primary objective is to increase sales by implementing effective strategies to generate demand for our products at the grassroots level. We are committed to taking a more proactive approach in our interactions with top distributors with the goal of strengthening the relationship and fostering greater collaboration. Furthermore, we will diligently keep track of the performance of the key product offerings. So now we'll turn it over to the moderator.

Moderator: The first question is from the line of Swati Hiroo from Ratnabali.

Swati Hiroo: Firstly congratulations to the entire team on a great set of numbers and a significant outperformance. Congratulations Suresh sir also on the new definition. So my first question is what would be your guidance for FY '25? So will we beat our past peak numbers that we have achieved or where will we be?

Chetan Shah: So see, our first objective is not to match the numbers or surpass the numbers. What we are concentrating on is to increase the volumes of our products. Because as you may have noticed in order to compare the last year's numbers, the prices itself have dropped 25% or so, 25%, 30% in some products, even more maybe but -- so comparing the figures, sales figures itself may not be the true justification.

We want to see how much of the volumes of each product we can increase in this coming year because we only can achieve the turnover of last year level if we increase the volumes because we are selling the products not at a comparable price as last year. So I think we are -- we saw that in even the fourth quarter that we have increased the volume because fourth quarter also was at lower prices, it was not as much lower because we did not pass on the entire benefit. But in Kharif in next 2 quarters, we'll have to be like there in the market with realistic prices. And the only answer to your question is to ramp up the volumes.

Swati Hiroo: Okay. My second question is, could you shed some light on the performance of Barrix and this entire pheromones business? And what would be Barrix's numbers in FY '24?

Chetan Shah: Yes. Kunal will answer that.

Kunal Mittal: So I think as far as Barrix is concerned, this was a company based out of Bangalore and we have just taken charge of that company. That company started consolidating in our financials with effect from 15 December 2023. So it has been just 105 days since they are part of Sumitomo. So in the overall numbers, I think the sales is not material right now. And we are expecting this sector and overall the positioning the company has and the very good products, they are expecting very good growth year-on-year basis and in the overall numbers, I think in terms of the sales, it is in the range of about INR10 crores to INR12 crores, which has been consolidated in our books for this 100-day period.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

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Prashant Biyani: Congrats on a very good set of results. Sir, on -- in Q4, we have seen a very sharp gross margin expansion. Can you elaborate on drivers for the same, whether it was the product mix or geographical mix or something else? Some elaboration on that will be quite helpful.

Chetan Shah: A mixed bag of reasons, I'll cover as many as I can. First of all, I think the product mix, of course, is an important part, which was very good in Q3. Secondly, I think we -- at our company, what we could do very quickly was ramping up of liquidation of high-cost inventory. So I think by the month of August end, we had wiped off our high

h-cost inventory.

And in Q3, we started buying the raw materials at lower prices which gave us a tremendous cost advantage, which in the fourth quarter, when we started selling, we did not -- we thought that we did not pass on that entire cost benefit in the market. So we (inaudible) the prices but not to the full extent of our savings in the purchases. And that resulted into a better margin. So our purchasing in the Q4 for the coming quarters also has been at a very, very good level, very good pricing. And we see that whatever we have purchased in Q4 also for the Q1 and Q2 production has also given us tremendous benefit on costing. So we don't see the price erosion and we expect that these margins will remain. So -- but these are the main reasons. I think our decision to liquidate high-cost inventory quickly played a very important role.

Prashant Biyani: Right. And sir, this Q4 purchases would be for the entire first half. So margin should be quite

competitive if the season is normal, would it be safe to assume? Or you intend to pass on some more price benefit to the channel or end consumer?

Chetan Shah: As of date, we don't intend to but we'll have to see the competition, as Suresh also mentioned in his address that we have to see that how quickly the other companies are able to liquidate their inventories in the market. Fortunately, we, at Sumitomo products, we don't have a high level of inventory in the market, which is another very good sign for us. So how much the competition will drop, we cannot judge as fully as of today. But what we have seen in Q4 and in the first month of Q1, is that it is not affecting us significantly. So I think it would be safe to presume and we hope that we don't have to reduce any more prices.

Kunal Mittal: And in your question, you mentioned that in the Q4 of '23-'24, we have purchased the inventory for Q1 and Q2. So that may not be the case – for few months we have covered for sure but still some months we are yet to cover, just wanted to clarify this point.

Prashant Biyani: Sure. Sir, internationally, how are you seeing the demand for us?

Chetan Shah: What we have observed Prashant, is that we see a recovery for sure. But whether this recovery is how much percentage is not clear. We are more clear that because of the rain forecast, et cetera, the domestic market will revive very quickly. As it revives, we will revive further. International business revival may take some more time. But I think you're seeing some sort of stability in our order positions.

Prashant Biyani: Okay. And sir, lastly, before I jump back to the queue. Of the total exports for the fourth quarter, how much would be for our own group companies?

Chetan Shah: I don't have that figure but...

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Suresh Ramachandran: Probably 60-40, 60 would be. More approximately equal between group companies and outside.

Prashant Biyani: Sir, if someone can share it during the call sometime later, that will also do, the exact number if that can be shared.

Kunal Mittal: So Prashant, we do not disclose these numbers, so it will be difficult for us to disclose the breakup of the sales to group companies versus outsiders because it is multiple sector and it is proprietary segment and some of the products goes to the affiliates all over the world in our off-patent segment. So we won't be comfortable. But as Dr. Suresh mentioned, broadly, you can assume it is equally (inaudible). And it's not skewed or I think towards one side of the business. It is towards both sides of the business.

Chetan Shah: And for our own affiliates, I don't think that Q4 was a very good or a big recovery period. I think there were still high-cost inventories and liquidation of inventories was going on. And I think what we supplied to our group companies was only part of their requirements, which they would need for the season, which starts in month of June. S

o there is not a heavy side of

export to our group companies. As a matter of fact, our group companies because of the global situation and as per the directives of SCC Japan, we are actually in the mode of reducing inventories and reducing working capital. So they are not going to buy from us extra quantities or extra supplies just to make our export good.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking Limited.

Rohit Nagraj: Congrats on good Q4. The first question is on the capex and project. So for the 5 molecules we earlier expected that the potential peak revenues probably will come in FY '25. So where are we on that? And in terms of the Bhavnagar, Tarapur and Dahej, the projects which have started commercializing. What is the potential revenue that we are looking in FY '25 or the ramp-up over the next, say, 2 to 3 years?

Chetan Shah: Okay. So as far as our capex on the Bhavnagar plant is concerned, there is full production and we expect that, I think in the last year, we had got -- we sold around 40% or 50% of our capacity we could export but in the current season means current year, we are expecting that 100% of our production capacity will be exported out as far as Bhavnagar plant is concerned. As far as Tarapur new plant is concerned, it is absolutely ready for commercial production. We have, as a matter of fact, already produced the materials. But because of the global demand situation, we could not convert it into any revenues, but for a small, very small quantity as trial, trial orders or just sampling orders, et cetera. But I think in the current year also, we do not see that we will be able to supply these products to the full extent to our affiliates because of the inventory levels at their end and because of the demand position. We will try our best to at least sell part of the quantity but I think we have to be very clear. I mean, we, unfortunately, have lost out on this revenue in '24-'25 or we will be losing out. But we expect that from '25-'26 there will be a full production will be required for the market. So we have taken a little bit of a sort of a jolt or a little bit of a problematic situation as far as the Tarapur plant is concerned.

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As far as Dahej plant is concerned, we are -- our application for environment clearance has already been submitted. We expect that we should get the clearance by end of this calendar year. And we have the pipeline of products or products which we want to manufacture there. This could include potentially we are -- we have already submitted all the data, all the processing drawings, entire package we have submitted to our parent company. It is under study by them. And very soon, they are likely to come back to us, whether it's a go ahead or not. So the new Dahej plant will also potentially have at least 2 brand-new products from SCC Japan.

Rohit Nagraj: All right. Got it, sir. Sir, second question is to Mr. Uzawa-san in terms of SCC Japan, so why has there been a delay in going in for new set of products after the 5 molecules which were offered to us for manufacturing. Given that we have already demonstrated in last 1, 1.5 years that the project has been completed and we have been able to supply those molecules with right quality and specifications. And as sir mentioned just now that for the next set of molecules, obviously, there will be a process of environmental clearances, for that there will be a facility. So it will have a gestation period of at least 2 years before we start supplying the next set of molecules. So why there has been a delay from the parent?

And allied question is that, in the meanwhile, why are we not looking for opportunities from other agrochemical players? I think a couple of years back, we had mentioned that there is no such agreement with our parent that we will manufacture exclusively only for SCC

Japan.

Masanori Uzawa: First of all, I would like to say the Sumitomo Chemical Tokyo's commitment to the India manufacturing is unwavering. So we have a strong commitment and that will never change.

And then the reason why it takes time to make a final plan for let's say Dahej is - there is a kind of change of landscape in global supply of pesticide, especially after -- I mean, especially post the COVID era. So now the overcapacity pesticide, especially the commodity type of pesticide that impact significantly to overall the pesticide players. So we have to be very careful to choose the right molecule, what kind of products we should manufacture in the very important facility in India.

If we make a mistake and then that molecule is going to be commoditized in such a case cost of competitiveness is why kind of in the tough position, I mean, the competition with the other players, that's huge, downward price pressure, that's huge. So what we're doing is reviewing the products carefully and revisiting that. And then that's the kind of reason behind we're taking time to start the kind of Dahej project.

But again, we are committing strongly in manufacturing here in India. And then we are going to choose the proprietary molecule and that's not going to be commoditized in the mid- to long term. So still, you can expect the high margin and the profit from that project. That's the answer from Tokyo.

Rohit Nagraj: And just kind of allied question I asked regarding any other agrochemical companies with which we are currently engaged for such kind of a partnership?

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Masanori Uzawa: Yes. We are always discussing with the other players, agrochem players but we cannot disclose what's going on in the discussions with them. So just please stay tuned. And we are open to discuss with any potential project, with anybody.

Moderator: The next question is from the line of Chintan Modi from Haitong Securities India Private Limited.

Chintan Modi: Congratulations on good set of numbers. My first question is with respect to are we kind of looking at now exploring beyond agrochemicals, especially when we look at our parent company is quite strong in the electronic chemical side and in India also, there is this whole ecosystem gradually being set up. That is also likely to get commercialized in the next 2 or 3 years. So I wanted to understand your perspective whether we have those kind of capabilities because I think we have got good cash on book. We have got land, everything you said. So your perspective, please?

Chetan Shah: Yes. As I have said this before also and I also said I have been constantly discussing this particular topic with our parent company. And I think that is after a very serious discussion and thanks to the top management of SCC Japan, their intervention, we are now seeing a bit of scope of doing this. So we have just got the preliminary inquiry from IT department of SCC Japan of what can be done or what -- how it can be done and they have asked us certain questions, very high-level questions on India position as far as IT sector is concern. So I think we are committed to reply to them by first week of June, which we will do. We have got all the data ready. We'll reply to them and I expect the round of meetings will begin from next month

onwards. So it's a good start.

I would say it's at least there is an interest shown. And we will take it forward. So if you ask, are we capable of doing it? The answer is no. As of today, in a sense that we don't have a skill set within the organization to look after IT sector, we'll have to create that skill set, which we are very confident of creating and we will take it forward as soon as possible. But having said that, of course, these are at a very preliminary discussion stage. And what will be the final decision or outcome of it, we are unable to say. But for sure, it is beginning. It

is starting now.

So are the other some other companies of Sumitomo Tokyo, they have shown keen interest in selling the seeds, some specialized seeds and some irrigation systems, which we are looking at very closely. So I think something if we find it interesting, we can also include those in our product range. So in short what I need to say is that as Uzawa-san said that commitment to India is absolutely unwavering and there are as many possibilities as they can see, they are reaching out to us to explore. So I hope that answers your question.

Chintan Modi: Yes, sure, sir. And sir, when you are referring to IT sector, you mean electronics, right?

Chetan Shah: IT chemicals.

Chintan Modi: Second, sir, with respect to gross margins, again, I got your point on what you clarified with respect to how the outlook looks like. But just some further clarification because fourth quarter gross margin is way ahead of your overall FY'24 gross margins. You think this kind of Sumitomo Chemical India Limited

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number, if everything goes well, this kind of fourth quarter gross margin number is sustainable for 1H.

Chetan Shah: If you compare it overall from the fourth quarter of the previous year, the prices had started moving down. And everybody, including us at high cost inventory, which affected our gross margins in the first and second quarter. And as I said that we were very quick in liquidating this high-cost inventory and that is what gave us the opportunity to get into purchasing of raw materials or inputs at lower prices, which gave us a lot of opportunity of selling the products in the third and fourth quarter. So now if you see the fourth quarter pricing and our selling pricing, that has not changed as of today. We are taking the same thing forward in the first quarter and we are seeing that it is accepted in the marketplace.

So unless and until something drastically goes wrong in terms of monsoon or in terms of pricing, again, due to geopolitical reasons, if the entire supply chain is affected. If something of that sort happens, we may see some price volatility but as of today, we feel that it is quite stable. And we don't see any risk of reducing the prices in coming months.

Chintan Modi: Got it. Got it. And last clarification. Your comments on Tarapur plant. I believe that was with respect to the 5, 6 molecules, which are on exclusive basis manufactured for parent. Is that correct understanding?

Chetan Shah: So Tarapur plant is only for the exports to affiliate companies. We don't sell those molecules to any other third party.

Chintan Modi: Yes. So we had -- I think we had commissioned a plant for -- to manufacture 5 to 6 molecules, which was on exclusive basis for the parent. I mean, it was on a contract manufacturing. So I'm just trying to understand what's that comment with respect to that.

Chetan Shah: So that comment I made was that due to the inventory position and the demand position of those molecules in the international market or with the affiliate companies, we are not likely to manufacture full capacity of these products and we'll not be in a position to export the entire production. So we have saylost 1 year, earlier, we thought that in '24-'25, we will have the full advantage of running that plant and we will be able to increase our exports. But unfortunately, because of these external reasons, we will not be in a position to do that. So we'll do some production. We'll sell some products but it will not be 100%.

Like I say that now during this year, we are 100% confident that the Bhavnagar new plant, we will use up 100%. There will be no problem in using that capacity 100% and we will be able to export it out. But the Tarapur plant, we don't see the possibility of that happening. We are seeing that possibility to come through in '25-'26. So we have lost 1 year basically.

Moderator: The next question is from the line of Ankur Periwal fro

m Axis Capital.

Ankur Periwal: Congratulations on a strong set of numbers. First question on the comment that we had in the initial ones. The pricing decline of 25% to 30% seen in FY '24 across. Will this pricing decline be across the specialty and the generic portfolio for us for the full year?

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Chetan Shah: No. Specialty is not to that extent. I think that will be a very minor variation in maybe around 2%, around 2% decline as far as specialty products are concerned but the major decline is in the generics.

Ankur Periwal: Sure. So on specialty, as a -- from a volume growth perspective, where are we for FY '24 in terms of whether it was a strong degrowth in generic and maybe a low-double-digit degrowth in specialty for the full year?

Suresh Ramachandran: So actually, in specialty we were able to maintain the volume by and large.

Ankur Periwal: Sorry if I heard you right, you said specialty, we have maintained the volumes.

Suresh Ramachandran: No. Sorry, sir. We have degrown by about -- by approximately about 8%, 9% overall. Price drop was very minimal.

Ankur Periwal: Sure. On the volume decline front, if you could highlight whether the decline in generic volumes was largely export? And how did the domestic business perform there?

Suresh Ramachandran: It's both. All the generic molecules, both in export markets as well as in domestic market have seen a price drop.

Ankur Periwal: On the export comment that you had earlier, wherein you highlighted specialty, probably the full ramp-up of those 5 products will be more in FY '26 versus in FY '25 and earlier also, we commented that LatAm or probably global export generic export has not recovered fully, maybe it would be more gradual. So from an overall full year perspective, export full recovery is more back-ended more FY '26 than in FY '25, which is again volume-led. Will that be a right assumption?

Kunal Mittal: So Ankur, see what we -- I think what Shah-san mentioned, let me just clarify because I think there are 2, 3 more questions on this. So as we mentioned, there were 2 projects and in any kind of this kind of project the actual volume going up to 100% takes a few years of scale up. So the first project was already commissioned last year and it has started the commercial revenue not to the extent of 100% but maybe say, you can say between 40% to 60% commercialization we have achieved last year '23-'24 and '24-'25, we should be able to do 100%. This is approximately 50% of the total revenues, which were planned from these 2 projects or even more than that.

And the second project I think some revenues will start coming in current year and some more revenues will come in the next year as Shah-san mentioned. So this is kind of our normal, I think, kind of buildup of the plant. But again, the 50% of the revenues, which are there from the Bhavnagar plant, those will be coming in the full revenues in current year, as Shah-san mentioned.

Ankur Periwal: Thanks, Kunal, for clarifying that. And just lastly, bookkeeping one on the working capital. We have been sort of pretty strict on the receivable side and appreciate the company's efforts there. On the inventory side, we have been seeing the decline but should we take FY24 as a base case for working capital going ahead?

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Kunal Mittal: So in terms of number of days, the improvement which we have made, is quite substantial. As we go because I think last year has been extra cautious all across the globe for most of the chemical companies and also distributors. So we believe that in terms of number of days, whatever improvement we have made we will try to maintain but maybe we have to loosen up a little bit in terms of inventories and all and also because of the sheer volumes, the size of the business, the cost of the inventories, which had all come down.

S

o we believe that whatever cash we have generated, some bit of the cash or large part of that cash will be deployed back in the business once the volume becomes normal. And in terms of number of days also some improvement we can sustain and some improvement, we may need to loosen up a little bit for our future growth.

Suresh Ramachandran: Yes. Further last year was a bad year in terms of weather, whereas this year seems to be okay and monsoon is predicted well for which we need to ensure supply. So there could be -- there will be some capital deployment as working capital.

Ankur Periwal: Sure. And from a demand perspective, we are not seeing any pushback from the market. The inventory situation that was there earlier because of the excess inventory industry was not able to grow. Things look better from a Kharif season perspective?

Suresh Ramachandran: Compared to last year, the sentiments are good. The monsoon forecast is good. So there is not a significant pushback but it's also there is not a significant demand. People are waiting and watching how the monsoon is going to now play, how the situation in terms of pricing and all is going to play out. So I would say it's slightly better than last year for the same period.

Moderator: The next question is from the line of Bhavya Gandhi from the Dalal and Broacha Stock Broking.

Bhavya Gandhi: Congratulations on a good set of numbers. Sir, a couple of questions from my end. I just wanted to know what would be...

Moderator: I request you to keep your handset a little away, sir.

Bhavya Gandhi: Yes. Just wanted to know how much would be the revenue from new molecules that we would have launched in the last 2 to 3 years, if you can just at least as a percentage of revenue? And how much are we expecting going forward and the sizes of the molecules that we've launched, what sort of market size are we looking at?

Suresh Ramachandran: See, we have launched about half a dozen products last year, different brands in different segments. Last year was not the best year, I would say, honestly, because we didn't get the proper season, there were challenges all across in crops, or pests or weather, multiple challenges were there. So I wouldn't take last year as a bench or standard year. Our target is at least not target, I would say our aspiration would be somewhere between 8% to 10%. And last year was the first year we launched many of these products and some products we would launch this year in the upcoming Kharif season. So we should get a sizable number. Having said that, it's very difficult to predict.

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Our focus always on the new product is when we go into the market in the first year, instead of having a revenue target, our target is deliver the performance to the mark. What we are committing position the product right, deliver the performance and do the proper demand generation, branding and the actual revenues would start flowing in from the subsequent year. So that's what our focus is. And we hope to deliver about 8% to 10% growth, if the season is normal, in contribution from the new products.

Bhavya Gandhi: Got it. Are they largely patented ones, 9(3) sort of molecules? Or I mean, if you can just quantify on the size of their molecules, at least.

Suresh Ramachandran: Most of them are 9(3) molecules, only Sumitomo Chemical India supplies to the market. So whatever we grow, that's the size of the molecule.

Bhavya Gandhi: Okay. Got it. And with respect to -- I mean, on a longer-term basis, are we expecting -- I mean, do we see any impact on the Japanese yen depreciation? Because largely, if we are going to supply on a longer-term basis, it is going to affect our revenues or is it like a dollar agreement if you can throw some light on it.

Kunal Mittal: So all our transaction with our parent company, none of the transactions are linked to the yen. All our purchase transactions

on an INR basis and which we have clarified in the past also in

some of the calls and on our export transactions are normally linked to U.S. [inaudible].

Bhavya Gandhi: Okay. Got it. And just on the LatAm front, the climatic situation doesn't seem to be good for this year vis-a-vis the domestic markets. So can you throw some light? I mean, are we expecting degrowth or we'll maintain similar levels based on last year's numbers?

Chetan Shah: We don't supply glyphosate to LatAm at all. We supply glyphosate to African markets. We have large exports there. We don't see any problem in those markets because the price needs to be adjusted according to the price of glyphosate globally or not globally, I should say, price of glyphosate in China.

And we have been able to do that year after year after year. So we exported even the same type of volume when the prices are very high and we exported the same kind of volume even when the prices came down drastically. So that business is not affected. And glyphosate, we don't otherwise export to our affiliate companies.

Bhavya Gandhi: No, not for glyphosate, I'm just talking about the LatAm products, tebuconazole if I'm not wrong.

Chetan Shah: Sorry, I heard glyphosate somewhere, so.

Suresh Ramachandran: See, general situation, yes, weather seems to be challenging from whatever we are hearing. But at the same time, the season has not started yet. And whatever the feedback that we are getting from our sources, including the group company, there is optimism. And only in another 30, 45 days, we will come to know how the season is going to progress. As of now, we don't see significant challenges, looks okay based on the projections and feedback that we get from our affiliates.

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Bhavya Gandhi: Got it. One last bookkeeping question. With respect to other financial assets that has seen a rise from INR48-odd crores to INR536 crores. If you can throw some light on that?

Anil Nawal: Yes. So actually, this is our investment. This figure, INR491 crores is our investment actually.

Bhavya Gandhi: Okay, that is reflecting?

Kunal Mittal: Already included when we mentioned the cash and cash equivalent, this number is included in that.

Bhavya Gandhi: Got it. Got it. And just one more last thing if I can squeeze in. On the OLED and LED market

share of the parent, if you can throw some light, what is their parent market share?

Kunal Mittal: Sorry, did you ask LED?

Bhavya Gandhi: Yes, LED market share in the IT chemicals segment.

Kunal Mittal: So, in the IT chemical sector, there are several technologies and products, which have a very strong I think innovative technologies across the boards in the display devices, whether it is LED, whether it is QLED and there are some very interesting technologies from Sumitomo side in that. And we are monitoring this market in India how the evolution of this entire industry is happening, as Mr. Shah mentioned earlier. And then we will monitor. So we will not be able to comment on the specific market share in those products but some of these technologies in the display devices specially in the chemicals, which goes over display devices, Sumitomo has been in the leading -- one of the leading companies in this segment, both for LCD in the past, LED and also for QLED and those kind of devices. In addition to that, some of the Sumitomo interesting products in the semiconductor goes also for the 5G mobile tower and mobile stations. So in those applications also Sumitomo products have a lot of application and very strong presence globally.

Moderator: The next question is from the line of Vipul Shah from RW Equity.

Vipul Shah: I just had one question, sir, on Slide 24 of our investor deck, under the tab future expansion plans, we have mentioned that -- hello...

Chetan Shah: Yes, Vipul, go ahead.

Vipul Shah: We have mentioned that we've signed and registered agreements

to buy 2 land parcels, 20

acres at Bhavnagar and 50 acres at Dahej. Today, sir, on the call, pardon me if I'm wrong but I heard the management state that there is already an application made for environmental clearances at the Dahej site. So I'm a little confused, sir. Is this land parcel already under our possession and are we sort of building up plans to make -- to drop factories out there or is it that the transfer process is still pending and hence, it is too early to call out on that?

Chetan Shah: No, the land is already in our possession. That is why we could apply for environment clearance. As I mentioned, we have also -- we are ready with the entire process, which we -- the products which we want to manufacture. It is under study by our parent company. And we Sumitomo Chemical India Limited

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are very soon likely to get a go ahead on the basis of what Uzawa-san explained that they are fine-tuning the global demand and the global production capacities across and those products which they do not see any threat on you know China say putting up a large capacity, et cetera. Those products are definitely going to come to India and we will be manufacturing that. And we are ready. Basically, we are ready with all those things. We are just waiting. So as soon as the environment clearance comes, as soon as the SCC Japan approves the list of products, we are ready to start the activities at Dahej site.

Vipul Shah: So that -- assuming, sir and I really love the optimism, sir, you have and kudos to your team on working on that. But what I hear is, sir, it is still sort of depending on how fast the approvals come from our parent. We still have probably around 18 months away from any meaningful contribution? Is that understanding correct, sir?

Chetan Shah: Yes, 18 months or more because it will take time to put up the plant. The commercial production registration is not going to take time because it's export registration. So we don't have to worry about that. But yes, putting up the plant, et cetera. I think definitely, after we get the environment clearance 18 months would be -- 18 months to 24 months would be the period.

Vipul Shah: Great. Sir, last question on the same subject, where we also speak about Bhavnagar. So as I understand correctly, there in Bhavnagar, we already have a plant up and running?

Chetan Shah: Not on the new land that -- the new plant which we are talking about, we created a space in the existing land parcel. So 30 acres which we have purchased additionally adjoining our factory that is still vacant. Basically, I mean, I'll be very honest. This plot was taken to expand our tebuconazole facility because as you know, as we already have one plant of tebuconazole at Bhavnagar.

And we thought that the demand of this product is likely to go up and we may have to produce extra 1,000 tons of these products at the maturity of that demand. But that is not coming out as clearly as of today. So we have just kept the land and we put out the facility over there. It is only a replication of our existing plant. So it may not take much time. So whenever we see clarity of this demand, we can use that land.

Vipul Shah: So then as of now, that land will be vacant. And assuming, sir, whatever you mentioned that we have clarity on because we are a very disciplined company and it's really great to be an investor in the company. So there also, it will be like more or less 12 to 18 months before any meaningful contribution will come. Is that understanding correct, sir?

Chetan Shah: You're absolutely right.

Moderator: The next question is from the line of Rohan Gupta from Nuvama.

Rohan Gupta: Congratulations on a strong set of numbers in the current quarter when the industry time is actually poor. Sir, first question is just a bit of clarification on the gross margin expansion in the current quarter, if you can quantify that the low cost inventory or the

high price realization

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which we have achieved in the current quarter, what was the contribution from that in our margin in the current quarter?

Chetan Shah: So if you see over the period of the entire year, our raw material packing material consumption has come down by 3.5%. So that shows that even though we were carrying high cost inventory, which we liquidated by second quarter -- end of second quarter or beginning of the - by August end, actually. And we -- as I said, we could have an opportunity to purchase low-cost material, which we churned out and converted into our brands and sold the brands in the market, which gave a good contribution.

Now I think coupled with that is also the cost reduction where we saw that the market or the demand is not going right and the conditions are very adverse, we drastically cut back on our marketing budgets, our field assistant budgets. We very quickly controlled that. That also is one of the reasons why the gross margin is looking better. And as I said that going forward, we don't see much of a risk in maintaining these margins.

Rohan Gupta: Sir, when you say maintaining these margins, you are referring to entire annual number of 37.5% kind of gross margin which we have achieved in FY '24 because Q4, I was just trying to seek the clarification on Q4 more importantly, where we have achieved close to 42% gross margin, which are significantly higher, sir. So just wanted to know that what is the contribution from the low-cost inventory and the prices of raw materials still remain very low in the current scenario. So can we expect that this margin of Q4 level can sustain in FY '26, I mean, '25 entire year or some part of -- some quarters in the current year.

Chetan Shah: Some quarters for sure as we will have to, as I mentioned earlier also, we'll have to see how the monsoon pans out, how the competitor's inventory pans out, how the -- as far as the purchases are concerned, we don't see much of a problem in the prices. I don't think that the prices are likely to sharply increase or go up again, vis-a-vis the caveat that geopolitical situation is -- you are aware, is quite dicey and I mean suppose if the Taiwan route closes down, the supply chain will be totally disrupted. And China will have to find a very long way of sort of a sea route to get the materials. So we will have to get the material from a different route. So that will increase the cost of transport as well as the time to receive the materials.

Kunal Mittal: Yes. And so Rohan, just to add one more point. I think you are looking at this 42% gross margins in quarter 4 of '23-'24. And when you compare it with the quarter 4 of financial year '22-'23 then yes, the number looks very high against 31% to 42%. But please look at more historical number because, as Mr. Shah mentioned, even the quarter 4 of '22-'23 we had certain high-cost inventories, which we liquidated.

So margins were low at 31%. But if you look at the year before, on Slide 11 of our investor presentation, you can see the margins of 38%. So I think we believe that these 42% level margins are not abnormal margins. What we believe is this high cost inventory, which negatively impacted that was a one-off the event which negatively impacted us for, say, 1 or 2 quarters, which you can see in this particular slide.

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But after that, if you see most of our quarter margins in Q2, Q3, Q4 are more in the normalized level. So we are not saying or we feel that there are no extraordinary onetime positive events but there was one extraordinary negative event, which is past us.

Mr. Shah mentioned and we all see that we feel comfortable that this kind of margin may be sustainable because we are not saying that there is anything onetime extraordinary positive factors in our margins. All of these are normal

zed business situations, wherein we earned

these kind of margins in the past also and we have again recovered to that level.

Rohan Gupta: Fair, sir. Sir, if you can provide us the breakup of this year revenue, which is down by roughly 19%. What would have been the volume and the price led decline?

Kunal Mittal: So we do not give the breakup. But as we already mentioned in the comment in the earlier section, I think Mr. Marfatia mentioned about it. So roughly, it is towards both and it is towards both equally and this was also clarified by Mr. Shah and Dr. Suresh, I think. So if you look at the domestic market and against the generic business, the impact is both in pricing and

volume.

If you look at our specialty and the propriety molecules, the impact is less in pricing only 1% or 2% but there is an impact of 8% to 9% in the volumes. In the exports market also the impact is especially in the off-patent segment and that can bear a very, very high impact in both pricing and volumes. And as far as our proprietary product exports is concerned, they are because of this new product exports, there is not so much of the impact in the volumes and price.

Rohan Gupta: That's helpful. Sir, one is another on new launches. You mentioned that some of the unique first-time registrations which you have planned maybe in FY25. So if you can shed some light on that, sir, what are these -- I mean, how many products we are planning to launch in '25 and how many under that will be first time registration or under 9(3).

Suresh Ramachandran: Yes. We already have received 3 registrations in the last couple of months. One is for cotton, one is for rice, one is for vegetables, you know insects as well as mites and also diseases in paddy. So we are doing the back-end operations and all those things. Everything is getting ready. All these 3 products are 9(3) proprietary products, unique combinations, which will be coming into the market in the next few weeks, targeting the Kharif season.

And there are 1 or 2 more products that depends on the regulatory approvals. We have a rice herbicide, if we get the registration, the anticipated registration is in the next couple of months, we may be able to catch up Kharif or at least Rabi we are hoping to catch. These are the FY25 launches that we are planning to do.

Rohan Gupta: Sir, with these new launches and also what we have done historically in the last couple of years, any sense or over next 2 to 3 years, if I will say that in near and medium term, the share of generic versus specialty, how do we see sir moving up in our company?

Suresh Ramachandran: Naturally, now our focus is on specialty molecules, which we wanted to really grow higher than the market growth rate. It's difficult to predict exact size what it will be after 3 years but

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our endeavour is definitely, we want the specialty molecules to take a significant leap in terms of growth and the overall revenue.

Rohan Gupta: Fine, sir. Just next on our new product, especially under the capex plan, which we have roughly 5 products, you mentioned that you have already got the approval. It seems like that it may take another couple of years to ramp up these capex and these products. I was more concerned about the new product pipeline and especially with Sumitomo parent company, what are the products which one can expect over next 3 to 4 years, I'll say, because these 2 years 5 products that has already been there but it will take some time to achieve a INR200 crores to INR250 crores kind of revenue potential that may take another 3 years to maybe a little bit more. I was more concerned about that how -- what are more products which we are looking at from the parent company?

Kunal Mittal: So we are not in a position to disclose the name or the specifics of the product but I think as Uzawa-san and Mr. Shah also mentioned earlier, we are at advanced I

level of one, obtaining the

environmental approval for this site. And in terms of the technical studies of the entire designing, drawings, all those studies and then the global volume estimate, the strategies, what kind of products are right in terms of privatization, long-term, sustainable volumes and the margins on the products.

So based on all these analysis we feel that we are very close. And in next few quarters, we should be able to arrive at some sort of a decision and whenever it is approved formally, it will surely be announced as we had done for these 5 projects earlier.

And then we will go towards the implementation and this is what the situation is but we'll not be in a position to give a specific name of the products. But very clearly, I think Uzawa-san mentioned that we are not looking at the products which could become off-patent or which could become commodity, where the margins could be under pressure.

So any product which we pick up and choose, ideally, they should be having a very long strong competitive situation for at least next 10 years plus either in terms of patent production or even if not patent production then in terms of our leadership in those products all over the world and our future pipeline of some of the products. So we will be choosing some of the good products and not the products which are becoming commodities.

Rohan Gupta: Sir, any -- I mean any guidance if you can give on the capex number on, especially in this side over next 3 to 4 years cumulative which you plan to invest on product supplying to the...

Kunal Mittal: See, 3 or 4 years is a very long period to give any kind of a capex estimate because, again, the situation will also depend upon the ramp-up of these products because some of these are pipeline products, which have just been launched in 1 or 2 countries and this is being launched in more countries. So we are in the process of monitoring the volumes and everything. So we will not be able to commit what will be the capex requirement for these products in the next 3

to 4 years. But on the immediate basis, I think Mr. Shah has mentioned in some of the earlier calls that we are looking to invest about INR250 crores to INR300 crores to start this new capex cycle.

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So we have just completed one capex cycle wherein about INR120 crores we have invested with the revenue potential of INR250 crores to INR300 crores which should be achieved in next 1 or 2 years, partly it is already achieved. And the next capital cycle should be in the range of INR250 crores to INR300 crores but we will at least prefer to start with, but over 3 to 4 years, it is very difficult to estimate at this point of time.

Chetan Shah: Just to add, I may inform that whatever is the capex requirement for this site even as of today, next year or whatever will be required after 3 years or 4 years, we are in a position to make that capex from our internal accruals. We are not going to borrow any money from outside for this capex. So that is a very, very significant plus point with us that we will use our own internal accruals to finance this capex.

Rohan Gupta: Yes, sir, that is very much evident from the solid free cash flow generation, which we are already having, so that is understood. Sir, just last bit from my side if I'm allowed, just one more clarification. You mentioned around IT chemicals and all from the role of Sumitomo Global and the opportunities and the products which we are exploring.

I mean Sumitomo India is exploring to supply to the global company's parent in LED, QLED kind of display monitor systems, the IT chemicals industry which we are serving. Sir, it was not clear that it will all the products which we are developing and all - is the technology is from Sumitomo India or this technology is shared by the Sumitomo Global and it will remain under the same company only or another SPV or t

he new companies will be created or how the structure will be?

Chetan Shah: Let me clarify a few things. First of all, we are not as of today talking about manufacturing these chemicals in India to supply to SCC. They are already manufacturing this. And our plan is, first of all, to have an entry of this products in India. So only after that entry, we can think whether this can be manufactured in India or not, which is quite a bit of a long-term plan. But Initially, we want just an entry of Sumitomo IT chemicals into India. And this will not be through anybody, any third company or any outsider or it will be only from Sumitomo Chemical India within this company. So whatever we are exploring on these 2, 3 new fronts, all that is part of Sumitomo Chemical India. So that I hope I have clarified your query.

Moderator: The next question is from the line of Prashant Biyani from Elara Securities.

Prashant Biyani: Yes sir, barring this INR250 crores, INR300 crores capex for the next project, what would be the immediate capex for this year and next for maintenance and other purposes?

Chetan Shah: It's around -- planned to be around INR53 crores.

Prashant Biyani: So this INR53 crores...

Chetan Shah: Improvement in efficiencies or some capex is also there for safety and things, some capex is also there, we want to be 100% green power generation company by the end of this financial year. So we have some capex for that. I think there's -- that itself is around INR25 crores for Sumitomo Chemical India Limited

May 28, 2024

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the green energy, which will take us through 100% of our energy use by our own captive power generation.

Moderator: The next question is from the line of Bhavya Gandhi from Dalal and Broacha Stock Broking.

Bhavya Gandhi: Sir, just wanted some clarification. Usually, in environmental clearance, we have to mention the product names. And on the other hand, we are saying that we are still to receive product approval for the further capex from parent. So I mean, can you help me connect these dots.

Chetan Shah: Yes, sure. See, it's -- I mean whenever any company goes for environment clearance, there is a list of products, as if we are going to manufacture everything and like covering very large spectrum of chemicals. So out of that, what we'll pick up to actually manufacture will be these molecules, which we are awaiting the go-ahead from Japan. And these are the molecules which Japan has just introduced in the global market.

So it is a brand-new molecule, patented molecule, having a long life and these are both the 2 products we are working at, which both are extremely important product for SCC Japan and for the global consumption. So we are talking about those 2 products. In the the overall situation of the global demand of this product, how much Japan will require us to produce, that is what is being studied by Japan just now. And as I said, it is very soon we are likely to get further clearance or go ahead of these products.

Bhavya Gandhi: Got it. And sir, you mentioned on the Bhavnagar plant, 1,000 tons of tebuconazole, that is per

month or that is per annum.

Chetan Shah: No, no, per annum.

Bhavya Gandhi: Per annum. Okay. And how much would be the power -- I mean, because of the green power that you're going to put up, how much would be the energy savings or absolute savings in electricity costs?

Chetan Shah: Well, it will be say around 2 crores units.

Bhavya Gandhi: 2 crores?

Chetan Shah: So we are buying just now about 90 lakhs -- 1.5 crores units, which we are buying from outside, we will save at least INR4 per unit.

Bhavya Gandhi: Got it. Got it. Got it. And then just one last thing. Any thoughts -- I mean, we've heard that only Sumitomo Japan and India has got the technical manufacturing capacity when it comes to the entire group. But at the group level, have they thought of adding newer capacities elsewhere?

Chetan Shah: To my knowledge, no. The

y are -- now I think India is a priority for them. And what I have heard in various conversations with the top management of SCC that India is -- they want India to be as big a manufacturing hub in time to come. Maybe -- so that is a commitment. So we feel that there is no other sites that they are looking at.

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Kunal Mittal: On the chemistry side, yes. And in the biorational side, we have some large facilities in U.S.

Bhavya Gandhi: Got it. Valent BioSciences, I'm not wrong. I mean just a question on that as well. Have we introduced it in India?

Kunal Mittal: Yes. Many of the VBC products are already introduced and they have a very good share if you see in our presentation and also I think Anil Bhai covered when he mentioned about the thing, we have achieved about 10% of sales from this PGR segment, plant growth regulators and that is a very high growth segment all over the world and in India. And already 10% of our revenue comes from PGR segment, which includes some of the PVC products wherein we have very strong market share in India in some of the applications.

Moderator: The next question is from the line of Priyank Chheda from Vallum Capital.

Priyank Chheda: So my question is on domestic market. What should be the volume growth that we should think for FY '25? Given that 8% to 10% of the sales would come from the products which we have launched last year and haven't got that traction and a follow-up question, would the number of new product launches and the momentum that we have seen in the new product launches would continue in FY '25 too?

Suresh Ramachandran: Yes. Obviously, as I said, our focus is on the new products because these have to be nurtured in the initial couple of years to make them mega brands in the coming years. Definitely, the team and all the functions are focusing on enabling the supplies in time, the liquidation and billing to the distributors and liquidation in time is one of the key priorities for current year FY25. Having said that, it's important to maintain the brands that we have already established over a number of years. And we will -- we don't need so much of demand generation efforts but more of publicity and advertising efforts is required, which we are marketing budget allocated to some extent for those products.

So the new molecules will continue to grow. And in terms of volume growth, I think that was your specific question, at least we want to compensate whatever is the price (inaudible) needs to be compensated through the volume growth of the existing products, plus on top of it, we want to grow the new products, which we just launched last year, which was not a normal season. So overall, I'm looking at somewhere around 12% to 15% volume.

Priyank Chheda: And the second question is again on the clarification. So the Tarapur plant 5 new molecules that we had expected to do a commercial production in FY25 might get delayed to FY26 in terms of the ramping up to the fullest extent. Am I correct?

Chetan Shah: Yes, you are right.

Priyank Chheda: Perfect. And then for the Dahej, once the EC clearance is received and the blueprint is finalized from the parent, how much time would it take for us to get this facility up and running?

Chetan Shah: As I said, 2 years.

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Priyank Chheda: Within 2 years.

Chetan Shah: Yes.

Priyank Chheda: Okay, okay. And as far as export market goes for FY-25. We have a Bhavnagar plant where we are yet to ramp up the capacity completely, right? So that would be one of the trigger as a

lever for growth in the export market.

Chetan Shah: It is not a very large. We have -- as I said, we have already captured the revenue from that plant, new plant to the extent of 50%, or 40% sorry, not 50% but 40%. And now we'll get -- in this year, we are expecting it to be 100%. So around -- it's not -- I

think our major drop of

export was because of the global situation and from -- especially from Latin America which I don't think is going to be compensated totally by the 60% of this one product. So it will be an additional product. But what will really help is to get back to normal exports to Latin America. I said that we are seeing the recovery. We are seeing the positive side. We have shipped out the materials in the fourth quarter also to Latin America. We have good order position in the first quarter, but we still have to have a little bit long-term view as to how this will pan out, whether everything that they are buying from us today, is going to get liquidated and if only if it gets liquidated, we will get the new orders. So a little bit early to say. But I am hopeful that seeing the trend that it will bounce back.

Moderator: Ladies and gentlemen, that was the last question of the question-and-answer session. As there are no further questions, I would now like to hand the conference over to Mr. Kunal Mittal for closing comments.

Kunal Mittal: Thank you. So thank you, everyone. Thank you for asking some very interesting questions and I would like to thank our colleagues for answering these questions in the best possible manner.

Financial year '23-'24, as we discussed over the last 90 minutes, it has been a year of lot of challenges. And our company could show a lot of resilience in this particular challenging environment and we believe that even in this challenging year, strategically, we made progress in our growth journey.

Despite facing significant challenges, we have demonstrated our ability to adopt, innovate and also drive growth for some of the strategic initiatives. These initiatives, along with our disciplined financial management, our commitment to the sustainability and also our innovative product solutions put us in a very strong position for the future success. With this, we thank you for taking your time and participating in our conference call and good evening to all of you.

Moderator: Thank you. On behalf of Sumitomo Chemical India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

0 SUMITOMO CHEMICAL INDIA LTD. Corporate Office: 13/14, Aradhana IDC
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Estate Goregaon (Eas Fax . +91.22.4252 2380
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SCIL/SEC/2024

5th November, 2024

To:

BSE Limited, The National Stock Exchange of
Listing Department, India Listing Department,
Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Bandra Kurla Complex
Mumbai-400001 Bandra East,
Mumbai - 400 051

Sub: Written Transcript of Earnings Call held on 29th October, 2024

Dear Sirs,

This has reference to our letter, intimating about the earnings call on 29th
October, 2024 with Investors/Analysts to discuss financial performance of the
Company for the quarter and half year ended 30th September, 2024, and
weblink for the audio-recording of the call submitted to you on 29th October,
2024.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:

<https://sumichem.co.in/investors-relations.php#Announcements>.

Kindly take the same on record.

Thanking you,

Yours faithfully,

For Sumitomo Chemical India Limited

Deepika Z.,

Tri e

Deepika Trivedi

Company Secretary & Compliance

Encl: a/a

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<> SUMITOMO CHEMICAL INDIA LTD.

"Sumitomo Chemical India Limited

Q2 and H1 FY25 Earnings Conference Call"

October 29, 2024

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio
recordings uploaded on the stock exchange on 29 October 2024 will prevail.

<< SUMITOMO CHEMICAL INDIA LTD. '

MANAGEMENT: MR. CHETAN SHAH — MANAGING DIRECTOR

DR. SURESH RAMACHANDRAN — DEPUTY MANAGING
DIRECTOR

MR. MASANORI UZAWA — NON-EXECUTIVE DIRECTOR

MR. KUNAL MITTAL — SENIOR VICE PRESIDENT,

PLANNING AND COORDINATION OFFICE

MR. ANIL NAWAL — CHIEF FINANCIAL OFFICER

MSs. DEEPIKA TRIVEDI — COMPANY SECRETARY AND
COMPLIANCE OFFICER

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Moderator:

Chetan Shah: October 29, 2024

Ladies and gentlemen, good day, and welcome to Sumitomo Chemical India Limited Q2 and
H1 FY '25 Earnings Conference Call. This conference call may contain forward-looking
statements about the company, which are based on the beliefs, opinions and expectations of the
company as on date of this call. These statements are not guarantees of future performance and
involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need
assistance during the conference call, please signal an operator by pressing star then zero on
your touchtone phone. Please note that this conference is being recorded.

From the management today, we have on the call Mr. Chetan Shah, Managing Director; Mr.
Masanori Uzawa, Non-Executive Director; Dr. Suresh Ramachandran, Deputy Managing

Director; Mr. Kunal Mittal, Senior Vice President, Planning and Coordination Office; Mr. Anil Nawal, Chief Financial Officer; Mrs. Deepika Trivedi, Company Secretary and Compliance Officer; and colleagues from SGA, the Investor Relation advisors.

Now I hand over the conference to Mr. Chetan Shah, Managing Director of Sumitomo Chemical India Limited. Thank you, and over to you, Mr. Shah.

Thank you. Ladies and gentlemen, a very good afternoon to all of you, and wish you a very, very happy Dhanteras. Welcome to the conference call to discuss the Q2 and H1 financial year '24-25 financial performances of our company, Sumitomo Chemical India Limited.

India's monsoon rainfall, according to IMD, over the country from June to September 2024 was 107.6% of its long period average. India received 11.

6% more rainfall than average in

September month alone, following 9% and 15.3% above average rainfall in July and August, respectively. This excess and uneven rainfall disrupted the timing of crop protection activities. Farmers faced difficulties with agrochemical applications, resulting in missed or delaying it spraying schedules, which affected the consumption of agrochemical products.

Additionally, cotton acreage declined sharply, especially in North India where the reduction was nearly 40%. Many farmers shifted away from cotton, one of the crops with the highest pesticide consumption, towards other alternatives. Delayed monsoon withdrawals also damaged some kharif season crops like rice, cotton, soybean, corn and pulses in certain regions of India.

Recognizing the challenging market dynamics, we focused during the first 6 months on volume growth. Through close monitoring and suitable corrections in both purchases and sales pricing, we successfully maintained stable profitability for the first 6 months.

Our gross profit margin expanded by 421 basis points year-over-year to 42.6%, driven by introduction of new products, normalization of export markets to some extent, and which has been impacted by high inventories last year and rigorous cost optimization in procurement. Thus, despite headwinds our focus on maintaining profitability through volume growth and 'managing margins demonstrated strong results.

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Anil Nawal: October 29, 2024

Our Every Day Farmer's Day campaign of 100 days continued to foster deeper engagement with farmers, enhancing product awareness and adoption. Notably, new product launches such as Meshi, Ormie and Portion gained significant traction, driving 65% year-over-year growth in sales of these offerings.

The export market, which faced challenges last year due to inventory overhang, has normalized significantly. We experienced robust sales rebound across key geographies, including Japan and South America, reflecting a positive shift in global demand. At the same time, we continue to maintain strong focus on financial discipline through tight controls over collections, and ensuring timely payments as well as minimizing sales returns through proactive inventory and liquidation tracking.

The water level in 155 major reservoirs in the country is at 87% of the capacity, which is higher than last year's level as well as the normal range. The highest storage level will encourage farmers to go for higher acreage in Rabi season. Besides better soil moisture on account of above, will also aid in higher planting of the crops.

The government also has set an ambitious target of 341,55 million tons of food grain production in '24-25, representing a 3% increase from the previous year. All these factors will potentially drive agrochemical consumption in the upcoming Rabi season.

In summary, despite volatile market environment, Sumitomo Chemical India Limited has demonstrated resilience and adaptability, balance, short-term challenges with long-term strategic priorities. Our focus on profitability, new product development, market recovery and financial discipline has positioned us well for the future.

With that, I now hand over the call to Mr. Anil Nawal to please take you through our Q2 and H1 financial year '24-25 consolidated financial performance. Thank you. Thank you very much.

Thank you, sir. FY '24-25 financial performance. We recorded revenue of INR995 crores in Q2 FY '24-25, up by 9% as compared to INR903 crores in Q2 FY '23-24. Sequentially, the revenue was up by 18% from INR839 crores in Q1 FY '24-25. Gross margin in Q2 FY '24-25 at 42.6%, which is up by 421 basis points as compared to 38.4% in Q2 FY '23-24. Gross 'margin also witnessed sequential improvement of 365 basis points from 38.9% in Q1 FY '24-'25.

EBITDA came in at INR245 crores in Q2 FY '24-25, witnessing a jump of 31%, as c

ompared

to INR161 crores in the same period last year. Sequentially, EBITDA was up by 52% from INR161 crores in Q1 FY '24-25. EBITDA margin in the current quarter stood at 24.8%, up by

402 basis points as compared to 20.8% in Q2 FY '23-24. Employee and operating expenses remained stable, ensuring the increased gross profit translated directly into higher profitability. Profit after tax stood at INR193 crores in Q2 FY '24-25 as compared to INR143 crores in the same quarter last year, a jump of 34%. Sequentially, PAT was up by 52% from this INR127 crores in Q1 FY '24-25. PAT margin stood at 19.5%, up by 360 basis points vis-a-vis 15.9% in Q2FY 23-24.

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Suresh Ramachandran: October 29, 2024

Now coming to our consolidated performance for H1 '24-25. Revenue from operations in H1 FY '24-25 stood at INR1,827 crores, up by 12% as compared to INR1,628 crores in H1 FY '23-24. In H1 FY '24-25, domestic agrochemical revenue contributed about 83% of overall revenues, with export contributing the rest. In H1 FY '24-25, insecticides contributed about 39% of total revenue, while herbicide plant growth regulator and fungicide contributed about 26%, 11% and 9% of total revenue, respectively.

The proportion of export earnings as a percent of total revenue has experienced a notable increase, jumping from approximately 11% in H1 FY 23-24 to around 17% in H1 FY '24-25. This was on account of normalization of export demand compared to last year wherein excess inventory had constrained sales with robust sales rebound across key geographies. H1 FY '24-25 sales to South America and Japan increased by 167% and 122%, respectively, as compared to the same period last year.

EBITDA stood at INR406 crores in H1 FY '24-'25, witnessing a jump of 51% as compared to INR269 crores in H1 FY '23-24. Our EBITDA margin stood at % in H1 FY 24-25 as compared to 16.5% in the same period last year. The profit after tax for the H1 FY '24-25 amounted to INR319 crores, reflecting an increase of 56%, as compared to previous year's figure of INR205 crores.

With that, T would like to hand over now to Dr. Suresh.

Thanks, Anil. Good afternoon, everybody. First of all, I wish you all a happy festive season. So in this call, I would like to highlight you about our unique 100-day pan-India campaign that we focused on during the last quarter, starting from June. I would like to talk about that a little bit.

We took a 100-day campaign pan-India demand generation campaign, namely Every Day Farmers' Day campaign, also termed as EDFD campaign. EDFD is a flagship outreach initiative by Sumitomo Chemical India Limited designed to enhance connections with farmers and distributors. The objective of the campaign was to build sustained momentum in the field and market through high-intensity demand generation activities.

Meetings with 25 or more farmers and channel partners were qualified as EDFD meetings. About 17,000 meetings were conducted during the 100-day period from early June till the end of September across various parts of the country, ensuring direct interaction and fostering engagement. Over 5.5 lakh farmers were engaged during this campaign through these meetings, facilitating awareness and knowledge sharing. Almost 17,000-plus channel partners were involved to strengthen relationships, enhance product visibility and improve the distribution network.

A significant number of meetings were held with farmers across multiple regions, offering insights and technical training to enhance their productivity. We also connected with an impressive network distributors, ensuring they were well equipped with product knowledge and ready to serve farmers effectively.

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Moderator:

Prashant Biyani:

Chetan Shah: October 29, 2024

Our emphasis was more on intensive training and equipping farmer

s with best practices in crop

management, pest control and sustainable farming techniques. Distributed trainings were undertaken to ensure the product knowledge is always at the forefront.

The campaign resulted in a 144% increase in our website traffic, highlighting the impact on online presence and resource consumption. The campaign extended the reach on Facebook by 205%, substantially increasing engagement and visibility among the agriculture community. There was a 54% increase in YouTube subscription, reflecting greater interest in Sumitomo digital content.

The company's new offering products such as Meshi, Ormie and Portion contributed to a 65% growth compared to the same period last year, reflecting successful adoption of these newly launched products.

The campaign strengthened trust with the farmers and channel partners, promoted better agricultural practices, and positioned Sumitomo as a reliable industry leader. The campaign

embodied the company's commitment to empowering agricultural stakeholders with advanced product knowledge and agronomic best practices.

On account of this campaign, farmers and channel partners have come closer and trust us more due to the consistent engagement and support. Our frontline managers received direct recognition from top management.

To conclude the EDFD campaign elevated demand generation activities to the next level. The success of this campaign has laid the foundation for EDFD season 2 planned from November 2024 to February 2025, coinciding with Rabi season, aiming for further scale-up and engagement and impact. The EDFD 2 campaign will also serve as a prelaunch initiative for some of our highly anticipated blockbuster product launches in India, along with actively promoting our existing products.

So with that, I turn over to the moderator, please.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Prashant Biyani from Elara Securities.

Sir, we have done pretty well on the margins and that has been when exports have more than doubled. Is it that new export orders are of high margins and will continue to be the case?

Because historically, we have been saying that exports as well as domestic would be around 20-odd percent EBITDA margin, but we have easily crossed that this time?

Yes. So you typically, the Rabi season margins are always lower than the Kharif season.

However, having said that, I think we are - we believe that we are in a position of very, very sustainable input costs. And we don't see our selling prices going down at all during Rabi season. So with this combination and also the product mix of Rabi season, which we are planning. I think our margins should be definitely superior to the historic levels. I cannot guarantee that it will be to the level of Kharif season or not, but they definitely better than

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Kunal Mittal:

Prashant Biyani:

Chetan Shah:

Prashant Biyani:

Chetan Shah:

Prashant Biyani:

Chetan Shah:

Prashant Biyani:

Moderator:

Yash Goenka:

Kunal Mittal: October 29, 2024

historic rabi seasons. And we are hopeful that our endeavor will be to maintain these margins altogether.

And just to add, I think what you had asked is that exports margin specifically were higher. So that was not the case. I think what Shah san commented gives a good comprehensive picture of the total business, both domestic and exports, and it was not like a few particular exports order of higher margin. This was comprehensive growth in the business, and it should be read that way.

Sure. And sir, how are you looking at H2 demand-wise both domestic and export market?

We are very optimistic about the second season. As I mentioned earlier, there is enough water, and there is even a lot of moisture in the soil, which is very conducive for the second crop.

And we expect that the sowing by the farmers will de

initely increase. And we feel that there will be a robust demand in the second half.

Sure. And lastly, on the Dahej plant, have we got EC approval? And have you firmed up any plans on the capex there?

Yes. So I'm happy to inform you that, yes, last month, or during this month, we received the EC clearance without any specific conditions. And so - and it is whatever was our application, we got clearance on all our products.

Now we are in the process of deciding the cluster of products to be manufactured in the first phase, second phase, etcetera. There is 1 phase, which is that we want to manufacture the products of -- manufactured or introduced by Japan, and that is under deep discussion as of date.

As soon as we clear that, and some of the generic product portfolio that is within ourselves, we have to decide which cluster of products to go for, we will be, now that the environment clearance is out of the way, we are now on a speedy path of deciding this and getting ready to implement the project.

Okay. And sir, like earlier times, it should be north of INR300 crores?

Yes, that is what we have planned.

Okay. That's it from my side, and congrats on a good set of numbers.

The next question is from the line of Yash Goenka from Awriga Capital Advisors LLP.

Okay. Can you break up the export business, which goes to the parent and export of technical, which was first Excel Crop business in H1? And how does it — how both of these business look for the next 12 months and long term?

Yes. So see, when we look at our exports, large part of this exports is for the off-patent segment, which as you rightly mentioned it is from the erstwhile Excel Crop Care portfolio. And that business has contributed to the large part of the exports which we had during this

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Suresh Ramachandran:

Yash Goenka:

Suresh Ramachandran:

Yash Goenka:

Kunal Mittal:

Moderator:

Priyank Chheda:

Kunal Mittal:

Suresh Ramachandran: October 29, 2024

quarter, while the exports of the specialty products to our parent company, Sumitomo in the - in that regard, that business is also continuing, but that business is continuing at a normal level, while exports of the basic business is contributing to the large part of the group, which we had. Out of these numbers, about 75% is coming from third parties, exports, and about roughly 25% comes from...

Okay. And outlook for this for the next 12 months and long term?

See, the outlook, the inventory situation is easing out in those markets, and we expect to continue the volume growth. Of course, price may not grow, probably may take a slight beating also. But overall, it looks optimistic, I would say.

Okay. And my second question is, on the LATAM agri season, which is starting in September, how -- what are the early trends you can see there?

LATAM season will start. So the early signs from LATAM market are positive. And that is something which is contributing to this growth in exports, especially in the off-patent segment. If you see our geographical breakup, there are good shipments to Latin America market. And while we don't think the problems are fully solved in terms of the inventory situation and all those things, but at least whatever we are hearing, there is a volume uptake in the market.

The next question is from the line of Priyank Chheda from Vallum Capital.

This is Priyank from Vallum Capital. Sir, my question is on domestic industry. If you see, we have growth for H1 at 5%, that is on a lower base. Last year we did see almost a price decline of 25% - 30%. And on that base, we have just grown at 5%. We were looking at a point of time to grow at 12%, 15%. So how should we look for the domestic industry in terms of value growth I'm sure volumes would be higher. So in terms of value growth, what should be the growth that we should look forward for in FY '25?

So I think what you were asking specif

ically is about, let's say, quarter-to-quarter situation. We

have always maintained that for industry like us, I think quarter-to-quarter is very difficult, because I think like in this particular, the monsoon season in India, it's a very important driver, spreads over 2 quarters.

So quarter-to-quarter, we should not look at it. But if you look at the comprehensive performance for the entire monsoon season, kharif season, first half, then the numbers are, I think, encouraging. And we have growth volumes, I think, significantly as compared to last year in that regard.

Just to add to that point, in the first quarter, yes, volume growth was very good. In the second quarter, because of the continuous rains in August and September, the consumption got interrupted at the ground level. That impacted 1 to 2 sprays of overall spray in crop protection activities that has impacted in August and September in terms of overall growth.

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Kunal Mittal:

Priyank Chheda:

Suresh Ramachandran:

Priyank Chheda:

Kunal Mittal:

Priyank Chheda:

Suresh Ramachandran:

Moderator:

Bhavya Gandhi: October 29, 2024

The volume growth is upwards of 15% plus. So what you mentioned like a single digit, low single digit, that could be like a one quarter kind of phenomena, but we kind of would like to analyze the performance for the 6 months basis. And in that, I think this 15% to 16% kind of volume growth is quite encouraging for us.

Sure, definitely, sir, we understand — I was looking out for all of the season, which is H1. H1 to H1, the value growth is around 5%. That's what I was alluding to. Yes, I got it. So what I was looking for is that, how should we look for the full year? Would our aspirations around 10% to 12% growth or 10% to 12% to 15% growth continue? Because we had a couple of good product launches in FY '24 and new product launches lined up in FY '25. So given the new product launches, which has both focus on specialty, how should we look for growth for domestic industry — for domestic segment for the full year?

So given that in the first half, as you said, we have recorded about 5% growth, for a full year scale, we are looking at 12% growth, that may be too stretching. Probably I would look at about 9% to 10% growth on a full year basis.

Perfect. My second question is on the Tarapur plant where we had 3 products which were exclusive for the parent, because of the macro environment that got shifted, the targets got shifted to FY '26 in terms of full production. So any challenges, any revisions on that side? Or are we intent to do that full utilization in FY '26 onwards?

So the situation remains almost same as we had mentioned on the last call, and there is no change in the situation. And as you rightly mentioned, at this point of time, that plant is not having a very robust level of production, and we are waiting and watching the situation, how it progresses.

Okay. And just last question on the glyphosate industry. Overall, how has been the — if you can just allude more towards how has been the supply and demand side of glyphosate in terms of supply from the China, demand from the Latin America or from the African markets, how has that been over the last 6 months?

See, glyphosate, the domestic market is the first half up to H1, the product has been by and large stable, and the volume consumption has increased. Of course, prices dropped compared to last year. But in terms of overall growth, volume has grown definitely.

The second half is the general export market. We generally export only to African countries and some few other countries, but not to LATAM. African countries demand also looks good. Of course, now only the things will start moving in Africa. In terms of pricing, it's by and large stable for the last few months.

The next question is from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking. Congr

atulations on a good set of numbers. Sir, my first question is regarding the gross margin and EBITDA margin because we've clocked the highest ever gross margin and EBITDA margin. I mean considering the new product launches that you have done, is it fair to assume

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that this kind of margins are sustainable? Not absolute number, but at least this kind of range, is it possible to sustain?

Yes. We feel that with the kind of strategy that we have taken on both purchases and sales and positioning our products and improving the product mix, we feel that the margins are sustainable within a range. And surely, our endeavor will be, now that we have achieved this, our endeavor will be to sustain this going forward.

Okay. Sir, another question is on the domestic quarterly numbers. I know you said that it's more to - it's better to look at the annual numbers. But if I look at the only domestic number for the quarter, revenue has declined by 3%. So is it possible to give the split between volume and value just to understand if the volumes have grown? Has there been a decline on the prices?

So prices have declined on an average by 15% for sure in the quarter, or right from the first quarter itself. And whatever -- I think we have grown our volume by at least 26% - 25%, 26%, we have increased our volumes. So even in the Q2, if we are saying that it is 3% lower, that means that we have grown the volumes by almost 12%.

Got it, sir. And another thing, with respect to environmental clearance report, which is available in the public domain, as I see that the capex amount mentioned over there is closer to

INR600 crores - INR650-odd crores, if I'm not wrong. So is it like a phased manner in which we are going to do the capex? Because you are mentioning about INR300 crores of capex. So as I mentioned that we are discussing the cluster-wise phase-wise production. So maybe the first phase will be around this amount. And if we go in for the full site development, it can cost 'you INR600 crores - INR700 crores.

Got it, sir. And this INR300 crores capex is for the older molecules, which parent wants to shift to India? Or are there any blockbuster new products altogether?

So it is a mix of both. What we are planning — what we are thinking is there is 1 or 2 old products, there is 1 or 2 new products. And then there are various generic products which we would like to set up a kitchen plant, whereby we have a flexibility of manufacturing any product campaign-wise. So these are the 3 blocks basically that we are looking at. One is the new products from Japan, one is older products from Japan, and one the domestic basic, generic products.

Okay. And sir, in the first half, previously, you used to give the name of products that we used to launch. If you can — is it possible to mention the number of product launches in the first half of this year?

We have launched this Portion. I mean it's there in the, I think, investor presentation. Portion, Ormie we launched. These are the 2 products that we launched. And towards the end of last year, we launched Tribasic Copper in the name of 2 brands. And also this year, we launched insecticide Yunico in 2 different formulations. So about 6 products we launched in H1.

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So all these products were there last year, if I'm not wrong: Yunico, Ormie, Portion. T mean because the investor PPT says that we've already grown on that older base.

What it me

ant was, it was combined as an overall new product portfolio. This Ormie and Portion were launched this year, Meshi also, whereas Yunico also this year. Last year was products like basic Copper was launched. Promalin was launched. So it's overall combination of new products have grown by 65%.

Got it. And is it possible to quantify what this amount would be in terms of absolute number, the new product launches that you are mentioning?

Just a second.

See, we do not like to give the product-wise numbers. But as we have mentioned in the past that we keep tracking all the products launched in the last 2 to 3 years, kind of the new products which we have launched. And these products are contributing something between 8% to 9% of our revenue in the current year.

Okay. 8% to 9%. So last year, probably, we were closer to maybe 3% to 4% of our overall revenue. Right?

Yes.

Because we've grown 65% only on the old base.

All the products launched in the last 3 years.

Okay. And just one last thing. With respect to the farm equipment, what we have mentioned in the last couple of con call that you were even looking to add farm equipment to the Indian entity. So if you can throw some light or any progress on that front.

This is part of that Sumika. You want to explain, Kunal?

Yes. So I think we are still under the discussions and in the planning stage in discussion with our parent company and our global affiliates. And that particular entity has both seed businesses and farm equipment. What we believe is that we have mentioned it as a strategy for the growth over medium to long term, we are not expecting that in short term they will really contribute a lot of, I think, our growth because these things take time in Indian market.

These products are made in Japan, a very high level of technology. So we will have to do a lot of evaluation, expansion and understanding the market, which we are in the process of. And we should not expect too much revenues coming in the short term, but this is more a strategy

for the long term to medium-term growth, and diversification.

Got it, sir. And just last thing to conclude, that anything on the IT chemicals or the semiconductor side are you looking at?

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Something exactly similar like this thing, I think the discussions are on with our global affiliates and our global colleagues in terms of understanding the Indian market, the landscape, the opportunity side, and what will be the right time and the right business model for that. So still at the drawing board and discussion. But discussions are progressing on a regular basis. The next question is from the line of S. Ramesh from Nirmal Bang Equities.

Thank you very much and congratulations on the numbers and wish you a happy Diwali. So if you look at the growth in exports and the absolute number, you done about INR300 crores — close to INR300 crores in the first half. So in terms of the overall growth, if you say on an annual basis over the next 2 years, would you expect to maintain the domestic and export share at whatever you've reported in first half? Or do you see exports actually growing faster given that they are coming from a lower base, and perhaps in terms of volume growth, you may see a better tracking? How do you see that? And does it have any impact on your margins?

As you said, the margin of export is lower. In terms of margin, if you look at percentage growth, yes, for sure, export is likely to be slightly higher than the domestic market. Sorry, I missed the other question. What was the...

The growth in exports will be more than the domestic market.

Yes, because the base is lower. As a percentage growth, it will be definitely higher.

Yes. But on your question th

at our margins, will there be a significant impact because of this?

We do not believe because, broadly, our margins in exports and domestic are not significantly different. Some percentage points here and there. But broadly, we would like to have good margins in both the businesses, exports and domestic. And exports growth is expected to be higher than domestic, as you rightly pointed out, because last year base was very low. But in the domestic market also, we want to continue our growth momentum in the second half because of various sectors, which were mentioned by our MD, Mr. Chetan Shah sir and also Dr. Suresh.

Okay. So if you look at your track record in terms of new launches in the last 18 months, I think you launched 13 products in the last 18 months, 6 products last year, another 3 -- or 6 this year. So if you take the whole basket of new products, what is the kind of growth you would continue to expect and what kind of share they could have in your portfolio, say, over the next 2 - 3 years? And would that give you higher margins? And what are the kind of target size you have for the 3 products you mentioned Portion, Ormie and Meshi in terms of the market size?

The market is enormous. It fits into multiple crops. It could be in thousands of crores. But obviously, can we do everything? It's not possible to have addressed everywhere. If we get at least a 20% - 25% growth on these molecules or these brands year-on-year, I think that itself is a very decent growth. And we want to grow these newer products, which are new chemistry and some of them are patented also. And that's what our endeavor is.

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Okay. So in terms of your plans to supply the 5 molecules to Japan, when do you plan to start that? And what's the business plan for next year? And when do you think you'll reach the full target of INR220 crores - INR250 crores?

As we had explained, I think, in the last call also, let's divide that business in 2 parts. And 1 plant out of these 2 has started full level production and full level business. Last year, we

booked a little bit revenues, but current year, we are targeting full level of production and full commercialization of these products in terms of shipment to our parent company and global affiliate.

And the second plant — so this particular first plant is at Bhavnagar, which is doing the full production this year. The second plant, which is at Bhavnagar, as we mentioned earlier also in one of the questions, I think the production level currently is low in this particular plant because of various global market situation and registration kind of delays. And we are monitoring the situation. And hopefully, our plans are that if next year we can use this plant for -- to some levels.

Okay. If I can squeeze in one more thought. Any thoughts you can share on how Barrix has performed in the consolidated results? And when you see that giving a meaningful impact on your revenue and bottom line?

So we believe that by end of this year, I think it should start giving us contribution, keeping in mind the overall size of Barrix. In terms of the total SCIL numbers, it's still the impact is likely to be not material for next 2 or 3 years kind of a period. But on a stand-alone basis, they are showing significant growth in the current year, very good growth as compared to their past trends in the current year. And also in terms of both top line and profitability level, we believe that they were very close to breakeven levels till last year. And in current year, whatever growth they are having, which is a significant growth over last year, it is adding directly to their bottom line.

So by end of this year, we believe that as a stand-alone entity, Barrix would have completed this year with

a significant growth over last year with good profitability levels and much higher the profitability level would also be at a very, very decent level. But in the overall numbers of SCIL, they will not be material for the next 2 or 3 years.

Yes. Just to recollect, the strategic intent of this acquisition was to enter into a new segment, green chemistry, environmentally safe chemistry, and like Kunal said, mid-term to long-term strategy, and that was the intent behind that.

Okay. How many of the new products will be in the bio and sustainable category? Because SCC Japan has a lot of strength there. In the products you have launched as on date, how many of them are bio and what is the thought process in terms of biological products in the next coming years?

See, there are - we are -- globally, we have another group company, which is called Valent BioSciences, which only specializes in biostimulants or biological products, the so-called green chemistry products. And we are in discussions with them. Some of the products we have

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launched already. Some of the products are under development. Some of the products are under pipeline, which will all come eventually. They also acquired globally another company, another green chemistry company last year. We are evaluating that portfolio also currently to bring into India.

So it would definitely add to our portfolio as we move forward in the coming years. Every year, at least 1 or 2 products we would keep adding in this segment.

The next question is from the line of Darshita from Antique Broking, Please go ahead.

Yeah, hi. Thank you for the opportunity and happy Dhanteras wishes the team. My first question was regarding the price decline impact that you have seen in the first half. Should we expect — can we expect it to normalize or the base to normalize in the second half of the year? Sorry, can you please repeat the question?

Sir, the price decline impact that we have seen in the first half of the year, can we expect that all of it is already priced in into the base and that the second half should not have any price decline impact any further on Y-o-Y basis?

Yes, that is true.

Yes. That is what our Managing Director also commented at the beginning in his opening comments or during the question and answer. Yes, all are factored in, and we don't expect any further price drop in the second half.

Yes. But as compared to last year, second half, there will still be negative delta of the prices, but it will be lower than the impact which we had in the first half. Because if you remember, our — in some of the earlier comments, we commented that the price drop in first half was between 10% to 15% on an average. So that much delta will not be there in the second half. It will be lower than that.

'With respect to our market share in the first half of the year in the domestic market, what would it be?

It's too early to talk about market share because we just closed the quarter. And we don't look at quarter-wise or half yearly market share. We look at full year market share once the year gets completed, maybe after 3 or 4 months, only those kind of data would come out.

My third question was regarding the CRAMS contribution. Kunal did explain that the Bhavnagar plant is at full level production. Are you still expecting INR150 crores of revenue to come through from the CRAMS product portfolio for FY '25?

So we would not like to give the specific about any product or any particular plant. But yes, all the plants which we had for that particular Bhavnagar plant, that kind of revenue we are expecting current year.

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Okay. And my last question was regarding the scale-up that we have seen in the off-patent portfolio, that Suresh sir mentioned that contributes about 75-odd percent overall export. Is it safe to assume that this is a sourcing shift benefit that we were expecting from the Nufarm business that was acquired by the parent? Is it a part - the strong growth that we are seeing, is it a part of the sourcing shift benefit that you were anticipating to come through from — to come in from China to India?

Yes, actually.

Yes. So, see this particular portfolio, which Dr. Suresh mentioned earlier, off-patent segment, which is the erstwhile Excel Crop Care portfolio. So this particular portfolio, they have third-party customers. And yes, they also do shipments to our affiliates in Nufarm, Latin America. So that business is both ways. It is growing both in third-party customers because it has a very wide portfolio in terms of products and countries and geographies and registrations. So it is growing in third-party customers. And it is also benefited by the -- by some of our affiliates, taking more shipments from SCIL India. And that is also so they are getting benefit because of that. But rather the entire growth is coming only because of LATAM, that is not the case. We are also growing in other products, other geographies, other customers.

Okay. And sorry, just one last question, if I can squeeze in. So, Chetan Ji mentioned about the EBITDA margin to be in a certain range. The rate that we usually follow is about 18% to 20%. For FY 125, are we expecting it to probably be as high as 20% to 22-odd percent or something, some number like that?

No. I think as our MD sir mentioned, I think we would think -- would like to believe that our EBITDA level margins should, I think, continue in the same range, 18% to 20%. And in the past also, we have seen that in certain quarters, in certain situations, generate EBITDA which are higher than this range. But on a full year basis, keeping in mind all the factors on domestic market, off-patent products, specialty, new products, exports, everything together, we should somewhere be in the similar range, 18% to 20% kind of EBITDA level growth -- EBITDA level margins.

The next question is from the line of Viraj from SiMPL. Please go ahead.

My question is already answered. Thank you.

Question is already answered. We can move to the next question.

The next question is from the line of Himanshu Binani from Anand Rathi. Please go ahead.

Congratulations for a very good set of numbers, and happy festive season to the management. So sir, my first question was largely on the capex side. So what has been the capex amount for first half of FY 25?

This would not be a very material level because we have not added any kind of capacities or anything like that. It would be in the nature of maybe some sort of a maintenance capex in the

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range of maybe INR20 crores - INR30 crores max. And as you remember, in 23-24, our capacities level were certainly lower because of a lot of global factors and lower volumes. So overall capital utilizations have come down.

So this year, we are trying to increase the capacity levels, but we are not planning any kind of a significant capex in current year. We have done a few capex projects in last 2 years or 3 years in terms of new land and new plant set up. And this year, the plants are more to ramp up the volumes from that capex, which is already done. And the next cycle of capex, as Chetan sit mentioned earlier, is likely to come at Dahiej, but we are still in finalization of the plans for that. And once the plans a

re finalized, approved by the Board, it will be announced in due course.

So this year, I think in the first half, we have not incurred too much capex. And that is how we are seeing this current year.

Got it, sir. And sir, secondly, continuing with the previous participant's question on the EBITDA margin side. So what I understand is that during the first half, we did upwards of 22%. And going by this current trend, basically, what we have done in the last year second half is somewhere around a 17% sort of number, and we are still sticking to somewhere around 18% to 20% sort of like FY '25 EBITDA margin.

So to have this sort of like range, so we need to like - actually we are declining during the second half as compared to the last year lower base of second half in terms of the margin. So what is like restricting the management in terms of the margins basically, what -- so maybe if you can like clarify on this side.

Himanshu, we would like to be more, I think, realistic, and I think while we have got very good EBITDA margins in this particular quarter, almost to the extent of 24% - 25%, as you rightly mentioned, but we will keep trying. I think we are not saying that we are going to drop this EBITDA level margins as I think we already explained in detail by both, I think, Mr. Shah and Dr. Suresh, that we are trying to maintain this superior performance.

For sure, we will take our best, and we are not expecting that the margins in H2 are going to be historically lower as compared to past. But on a fundamental basis, what we are saying is, if you look at all the quarters in the investor presentation also on 18, Slide number 18, I think all our margins have broadly remained in the range of 18%, 20% on a full year basis.

And there are catches of quarters, even if you look at Q2 in '22 and also Q2 in financial year '23, we had done 23%, 24%, 25% kind of EBITDA levels. So even in that year on a full year basis, we did 18%, 20% kind of EBITDA level because in some of the quarters, which are low in terms of sales like Q3 and Q4, the EBITDA levels drop. So, on a full year basis, we will try to maintain the 18% - 20% kind of a range, which we believe is a very healthy profitability range.

Sir, I completely take that. But then, sir, if you look at the last year second half, so we have like a lower base of last year second half. And maybe the last year number can be like treated

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as an aberration. So maybe if I compare that with FY '23 numbers also, which happens to be like lower in terms of the margins.

So basically, in terms of math, basically, they actually try to work out with the average numbers to the last year second half, despite all the difficulties, we did somewhere around the 17% sort of margins. So, if we are like sticking with that range of 18%, 20% of annualized or an FY 25 numbers, so maybe have to like decline basically as compared to the second half last year.

So Himanshu, what we are looking is we are looking at last 3 years average. So let's say, last year, could be aberration in certain quarters, there were very low profitability in certain quarters, this was high profitability. So we honestly don't track quarter-to-quarter. And even if you look at '23, which you rightly mentioned, in the second quarter, we had done 24.8%. — exactly same what we have done in this quarter in terms of percentage, 24.8% EBITDA level margin, which is so far highest in last so many years for us, one particular quarter.

So, in that year also. But in the Q3, Q4, if you see on an actual basis, then the margins EBITDA level was 16% and 12%. So, we have to be really mindful that certain quarters where the volumes are very large, the EBITDA level can go up. But we have to be more realistic that 18%, 20% kind of is what we are looking for. But certainly, we will see and try what

ver best

is possible given the demand and the supply situation, the input pricing, output prices. Well keep taking efforts, but it is very difficult to commit that we will be having EBITDA at that level.

Himanshu, I will only add one thing over here. So in the last 2 years or 3 years, there were a lot of fluctuations from quarter-to-quarter, like the prices suddenly, of input costs, suddenly went up to — every quarter, it was keeping on increasing. Then all of a sudden, in 1 quarter, it just started dropping. People were left with high inventory. There was a confusion in the — in establishing the selling prices of the products in the market, etcetera, etcetera.

So there were many, many challenges in the past due to external reasons, either weather or inventory or prices fluctuations, etcetera. All T can tell you is that this rabi season, that is third and fourth quarter, I am personally seeing a lot more stability, a lot more clarity on both the input cost as well as the selling prices.

T don't think personally that input cost s going to go up significantly. And I don't think that the prices of products in the end-market is going to fall drastically. So it a very healthy, balanced situation that we are in today.

And so hopefully we'll beat the historic numbers. But we say that we are still haunted by rabi season figures always been lower than kharif. So we need to be mindful of that. Because the companies or the competition will behave a little differently in rabi season. So even though I'm confident that the input cost and the selling price is not going to change. But in spite of that, if competition reacts adversely, we will have no choice but to match it. So we are taking more of a historic trend rather than an optimistic trend, which is truly there today.

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Got it, sir. And sir, last question from my side. So, if I actually look into your PPT, which is in Slide number 16, o in the working capital side, what we see is that reduction in the working capital is largely due to the prudent inventory management. However, if I actually look into the numbers both in terms of the inventory days as well as in terms of the absolute inventory value also, so it largely remained flat on a Y-o-Y basis. So maybe if you can clarify on the same.

So we have invested in higher inventories this year because of the commercial - it made commercial sense to get out -- get the products at reasonable prices, and keeping in stock, so that we don't get into that volatile position of price adjustments, etcetera, or getting stuck with high cost inventory or anything of that sort. So yes, we have definitely by design, we have invested more money in raw materials and intermediates.

The number is, as you rightly mentioned, absolutely similar to September '23 number, in both September '23 and '24, about INR560 crores to INR565 crores kind of inventory and 96 days of inventory days. So very similar to the past trend as on September.

Right. But then, sir, if I actually look into the key highlights, basically in that slide, the working capital, the reason basically written over there is that these are decrease in the inventory days on account of improved inventory management and faster inventory turnover.

So I was actually wondering.

Yes Because you can look at it, but basically you see the inventory amount in absolute terms is exactly the same, INRS64 crores, in a situation when we are growing the business by about 10%, 15%.

Got i, sir. And just last question from my side, if I can squeeze in. So sir, how do we actually see the LATAM markets excluding Brazil during the second half? So in terms of the inventory position, demand level, as well as the pricing out t

here?

Even though everybody talks about LATAM, out of that, 80% comes from Brazil only.

Something there in Argentina, some in Colombia, some in small, small countries, Paraguay, Mexico and all those things. So when people say LATAM, primarily it refers to Brazil. Brazil 50 far looks good. The demand volume, demand looks good. So, the season is about o open up. And yes, Argentina is there. Argentina has its own issues in terms of foreign exchange and all those things. The rest of the markets are really small.

So, from our company point of view, there is not significant impact from any of those markets, but what we keep hearing from other affiliates the situation in those countries continue to be challenging.

The next question is from the line of Dhavan Shah from AlfAccurate Advisors. Please go ahead.

My question s on the export side. Can you help us to understand which product category led growth for the first half? Is that - like if I look at the breakup, I think the fungicide shows the strong growth for the first half. So can you help us to understand in terms of the export business?

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So, both fungicides and herbicides have grown. Specifically asking about exports. Both fungicide and herbicides have grown.

And product wise can you help us to understand? Because if I even go to the geographical breakup, I think the South America revenue for the first half is roughly INR130-Odd crores versus it was roughly INR50-odd crores last year first half. So here also, I mean, product-wise, if you can help us.

Then you also mentioned that there is some sourcing strategy, which led the higher growth for the LATAM business. So, if you can break it up the - what kind of revenue growth came from the sourcing side of the business and what was the organic growth?

See, all our portfolio compared to last year has grown, whether it's fungicides, herbicides or insecticides. If we are specifically talking about products, it's Tebuconazole, Chlorpyrifos, Fluroxypyr, and of course Clothianidin, okay? In terms of overall region, LATAM, South America registered almost double the growth. Last year, if you look at last year, they were having a severe inventory situation, that's why the business was significantly down in H1. Now it is getting back to normalcy. In all the products, whether it's insecticide, fungicide or herbicides, in all the products, it is coming back to normalcy.

Okay. And this INR130-odd crores versus INR50-odd crores in the LATAM business or the South America business, how much is that because of the sourcing side of the business from China to India?

So there is no shift in terms of any new product being shifted from China to India. All these products we were doing last year and current year. It is more a situation of better demand and Dbetter volumes.

They were carrying inventory last year first half. This year, that inventory is slowly washed away. And that is helping us in this - registering this business.

And so all the regions are showing growth. If you look at like, say, Africa, we have already given the numbers in the presentation, it is from INR35 crores, INR40 crores level, it has gone INRGO crores. Japan from INR2S crores, INRSS crores - INR60 crores. And even the Latin America business, which was between INR4S crores to INRS0 crores last year, it has almost become INR125 crores. So all these regions are contributing to the growth. And as Dr. Suresh mentioned, it is wide based. I think there are 4 or 5 products which have registered very good growth.

So we don't feel that export growth was dependent on any 1 particular country or geography or any product. It was a very wide concept-based growth because the fundamentals of the businesses coming bac

k and some of the issues getting reduced as compared to last year.

Got it. And out of that INR100 crores capex for 5 molecules, you were expecting roughly INR200 crores to INR250 crores kind of on the peak revenues. Out of that, how much revenue do we expect can materialize in FY '25 and '26?

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<@ SUMITOMO CHEMICAL INDIA LTD. Sumitomo Chemical India Limited

Kunal Mittal:

Kunal Mittal:

Chetan Shah:

Dhavan Shah:

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Dhavan Shah:

Kunal Mittal:

Chetan Shah:

Dhavan Shah: October 29, 2024

So I think that we have already mentioned this in a few questions and in the last call also. This revenue can be divided in 2 parts and 2 plants. So 1 plant full revenue should come this year. So out of this, like what you said, INR200 crores to INR250 crores, whatever the projections were given that time from these projects, so out of this 1 plant, we'll have the full production and full revenues in current financial year. And that will continue even next year. And next year, we will see the second plant, how much it can be used and commercialized, and we are monitoring the situation. But there will certainly be growth next year over current year.

126 we should be fully there.

Okay. And what is the size of that 1 plant you mentioned, Tarapur or...

50%-50% roughly in terms of revenue potential.

INRS50 crores.

50%-50%. Whatever is the total revenue potential of these products, you can take 50% - 50%.

Got it. So this is largely going to Japan only, right?

Yes. It's shipped maybe various affiliates, but our arrangements are with our parent company.

So we ship the products and we invoice it to them, and then the actual shipments goes to different affiliates.

Got it. And this INR300 crores capex you mentioned for the first phase. So this is going to be announced in the second half itself and the construction activity would start maybe in '26?

So we are not in a position to give any fixed time lines. As it was mentioned earlier on the call, right now, we have got the environmental clearances. We are in the drawing board and feasibility study in terms of which product combination of SCC products, some of the new products, some of the existing products, and also some of the off-patent products.

And once the feasibility studies in terms of technical analysis, a lot of work has been done in terms of the financial feasibilities, in terms of the volume projection from this registration time lines, everything is being worked out, and once comprehensively the proposals are ready and they are approved by our shareholders and our Board, then we will be announcing it. We would not like to commit any fixed time lines that it will be done in 1 month or 2 months or 3 months. But the overall capex cycle is expected to run in 2 to 3 years this Phase 1 itself.

So if your question was that whether we'll start construction in '26, the answer will be definitely yes, that would be our endeavor, that I think 1.5 years — or 1 year and 3 months will be good enough time for us to close in all the issues and all the question marks, and we should definitely start the construction beginning in '26.

Got it. And the asset turn would be 2x only here. Should we assume the same asset turn?

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Kunal Mittal:

Dhavan Shah:

Kunal Mittal:

Dhavan Shah:

Moderator:

Faisal Hawa:

Suresh Ramachandran:

Faisal Hawa:

Suresh Ramachandran: October 29, 2024

Correct, 2x of the capex size should be the revenue potential but on a maturity level. It may not be, because some of these are new products, so the volume uptick cannot be like immediately the plant will be fully 100% utilized, because all the other products are existing products. So there suddenly immediately we can produce and go to 100% level. These plants will take its own time, let's say, 2 - 3 years for full 100% ramp-up of capa

cities.

Got it. So maybe by FY '29 and '30, we can assume INRGOO crores kind of peak revenue?

Hello?

We'll not be in a position to give any fixed.

No problem. That's all from my side. Thank you, sir.

Thank you. The next question s from the line of Faisal Hawa from HG Hawa & Company.

Please go ahead.

Sir, are we doing any key hirings also on the sales marketing distribution front from outside the organization or even some outside industry to give this very large impetus or kind of a very different sales approach to our existing approach?

We do hire people. Obviously, at the front line, we do hire people on a regular basis. We prefer agrochemical industry background or agriculture background, or working in allied industries, that would be for the first preference because it's easier to get them integrated into the system faster and they can start contributing.

But at the same time, we are also looking at people from outside the industry to bring in new perspectives. So it's a combination of both. I would say maybe about 80% - 85% would be from the agro and allied sectors, maybe about 10% - 15% from non-agri background. And then are you also looking at some kind of combination with drones or with any companies which do drone marketing to really spruce up our product acceptability also like added service to the farmer? And thirdly, sir, are we targeting something like a doubling of sales every 5 years in our company as a business plan?

Yes, we have our internal targets. Obviously, I can't comment whether it's 5 years or 3 years or 7 years. Definitely, we do have a mid-range plan, which we discuss periodically and update it, that's an internal target. In terms of drones, yes, there has been a lot of talks on drones, and even we have applied for some registration for drone spraying. And we have got a couple of products already endorsed on — endorsed for drone application. But we have not partnered with anybody specifically.

Eventually what in our view, it like going to be like any other spraying operation, people will rent drone and take our product. The product is going to make the difference. Today, people are spraying using hand sprayers, tomorrow it will become drone, maybe in 3 years, 5 years, 7 years' time. So it's not really required that we need to partner with somebody to really utilize the drone application. But if there is any opportunity, definitely, if it's going to give us additional business benefits, yes, we will surely look into that.

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Faisal Hawa:

Moderator:

S Ramesh:

Suresh Ramachandran:

S Ramesh:

Moderator: October 29, 2024

I appreciate your answering my question, sir.

The last question is from -- the next question is from S Ramesh from Nirmal Bang Equities.

Please go ahead.

One is you mentioned that there was a problem in the cotton acreage showing a decline and that impacted insecticide consumption. So is that a structural issue or do you think it will possibly get sorted out over the next 1 or 2 seasons?

And secondly, on China, what is it that you're hearing in terms of their excess supply and any capacity rationalization? Because we see a lot of new capacities coming up. So if you can give your thoughts on these 2 aspects, will be great.

Yes, I can comment on cotton crop in Asia, which reduced, declined by about 10%. In the last season, the commodity price of cotton was low. So the farmers switched to some other crops, maybe corn or paddy those kind of crops.

And what is happening primarily cotton is a major crop in northern states -- a couple of northern states, where there was a unique case that came up infesting last year. which was called pink bollworm. And that is not — I mean, it's not easy to manage unless you have a very specific technique. There is some techniques required to manage that pest, which northern farmers were not exposed to because they never had this

problem in the past.

Because of last 2 years, subsequent year, there was infestation, farmers left or reduced drastically the area, one because of commodity price, second, because of this pest infestation, it moved into some other crop. In South India and Western India, what had happened was the continuous rains damaged the crop, especially in Andhra, Telangana and in Maharashtra continuous rains damaged the crop to some extent. And subsequently, their pesticide consumption.

So the overall, the cotton area should bounce back to normalcy in other geographies of the country. But in north, I don't really see north cotton bouncing back. The area continues to decline, or maybe at the current year level.

So the second question was on China — sorry, China excess capacity. Yes. I mean I think that what's happening in China, only the Chinese would know. But really, whatever we understand is that there has been excess capacity, and they are continuing to supply to the market depending on the situation. But we have our own strategy to contract that and we have our own customer base, how do we position ourselves, showing the premiumness of our products, that's what we are continuing to pursue. And so far, we have been successful in that. But yes, China plays a role also in this whole game.

Thank you very much. And wish you the best of season greetings and congratulations once again. Thank you.

Thank you. The next question is from Siddharth Gadekar from Equirus. Please go ahead.

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Siddharth Gadekar:

Chetan Shah:

Siddharth Gadekar:

Chetan Shah:

Siddharth Gadekar:

Moderator:

Kunal Mittal:

Moderator: October 29, 2024

Sir, the first question on the export business, can you just quantify in terms of in the first half, what is the volume growth and how much of the pricing decline?

95% is the total growth and 15% is the price reduction -- 20% price reduction and 95% growth. So the volume growth is around -- 95%.

Sir, secondly, in terms of our per-kg EBITDA, have you been able to maintain a per-kg EBITDA even in the export business?

Yes.

Thank you so much.

Thank you so much. As there are no further questions, I would now like to hand over the conference over to Mr. Kunal Mittal for closing comments.

Thank you, everyone. We thank our participants for joining the call and also asking some interesting questions, and we thank our colleagues for replying the same. And we hope we could address your queries.

Despite facing some global headwinds, the overall outlook for both Indian agriculture and the agrochemical sector overall remains positive in India. Our strategic focus on maintaining profitability has been proven effective in the last 6 months our performance. And this was largely driven, as mentioned in the call earlier, by our commitment to high-margin products, including new products, volume growth, which was led due to the extraordinary demand generation activities at the ground level, and effective management of variable costs and 'maintaining our fixed operating expenses at a stable level.

Looking ahead, we are encouraged by favourable conditions such as above-average monsoon rainfall and high reservoirs levels, which are expected to significantly benefit the agricultural landscape in India in upcoming rabi season. We recognize that while global challenges continue for some more time, we are committed to navigate this global dynamics in a strategic manner.

And we will continue to engage with our farmer community through our initiatives like we mentioned on the call Every Day Farmers® Day, and Phase 2 of the campaign is going to start very, very soon. And through this initiative, look to foster awareness of our product offering in the farmer community and also use these initiatives to support farmers education and learnings for betterment of the Indian farmers.

And the last, we would like to extend our warmest

wishes for a joyful Diwali and prosperous

new year to all of you. Thank you for your time for joining the conference call today. We really appreciate your participation. Thank you very much.

Thank you on behalf of Sumitomo Chemical, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Jun 2025

3rd June , 202 5

To,
BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001

The National Stock Exchange of
India Listing Department,
Exchange Plaza,
Bandra Kurla Complex
Bandra East,
Mumbai - 400 051

Sub: Written Transcript of Earnings Call held on 28th May, 202 5

Dear Sirs,

This has reference to our letter , intimating about the earnings call on 28th May, 2025 with Investors to discuss financial performance of the Company for the quarter and year ended 31st March , 202 5, and weblink for the audio -recording of the call submitted to you on 28th May, 202 5.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:
<https://sumichem.co.in/investors-relations.php#Announcements> .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For Sumitomo Chemical India Limited

Deepika Trivedi
Company Secretary & Compliance

Encl: a/a

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Earnings Conference Call"
May 28, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th May 2025 will prevail.

MANAGEMENT : M R.CHETAN SHAH —MANAGING DIRECTOR

MR.SUSHIL MARFATIA —EXECUTIVE DIRECTOR

DR.SURESH RAMACHANDRAN —DEPUTY MANAGING
DIRECTOR

MR.KUNAL MITTAL —SENIOR VICE PRESIDENT ,
PLANNING AND COORDINATION OFFICE

MR.ANIL NAWAL —CHIEF FINANCIAL OFFICER

MS. DEEPIKA TRIVEDI —COMPANY SECRETARY AND
COMPLIANCE OFFICER

Sumitomo Chemical India Limited
May 28, 2025
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Moderator: Ladies and gentlemen, good day and welcome to the Sumitomo Chemical India Limited Q4 and FY '25 Earnings Conference Call.

This conference call may contain forward-looking statements about the Company, which are based on the beliefs, opinions and expectations of the Company as on date of this call. These

statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

From the Management today, we have on the call Mr. Chetan Shah – Managing Director; Mr. Sushil Marfatia – Executive Director; Dr. Suresh Ramachandran – Deputy Managing Director; Mr. Kunal Mittal – Senior Vice President (Planning & Coordination Office); Mr. Anil Nawal – Chief Financial Officer; and Ms. Deepika Trivedi – Company Secretary, colleagues from SGA, their Investor Relation advisors.

Now I hand the conference over to Mr. Chetan Shah – Managing Director of Sumitomo Chemical India Limited. Thank you, and over to you, Mr. Shah.

Chetan Shah: Thank you. Ladies and gentlemen, a very good afternoon to all of you, and welcome to the Conference Call to discuss Q4 and Financial Year '25 Financial Performance of our Company.

First of all, let me begin with saying that India's agriculture sector continues to play a foundational role in the national economy, accounting for almost 46% of country's employment in Financial Year '24, up from 44.1% in Financial Year '18.

Improvements in irrigation coverage, input availability, institutional credits have significantly bolstered the sector's resilience against climatic shocks. These strides are now translating into robust output with record production achieved in Financial Year '24-'25 and a targeted 1.5% year-on-year increase in Kharif food grain output for Financial Year '26.

India's farm exports tell a compelling story, more than doubling over the past decade to surpass \$48 billion, outpacing growth in both manufacturing goods and services. Despite intermittent export restrictions, India's agricultural policies have demonstrated their global impact with price shocks reverberating across international markets during export bans and on staple like rice and onions.

India's agriculture sector is at an inflection point. With strategic policy support, enhanced awareness and technological integrations, the industry can not only meet domestic food security targets but also fortify its leadership role in global agri trade.

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May 28, 2025

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The domestic environment for agricultural inputs has recently seen a turn for better, underpinned by favorable monsoon and a strong Rabi season, signaling green shoots of recovery.

On the global front, the agro-chemical export landscape continues to grapple with pricing pressure and climate volatility. Nonetheless, with channel de-stocking largely behind us, and ordering patterns normalizing in key export markets, the industry is poised for gradual stabilization. Prices appear to have bottomed out, providing a base for recovery in subsequent quarters.

Before I invite my colleagues to share more information on our Company's performance, I would like to highlight a few important points. In Financial Year '24-'25, our team delivered 20% volume growth in our branded business in Indian domestic market and 30% plus volume growth in exports over last year. In addition to several premium branded products in our existing portfolio, several products newly launched in the last three years or so contributed to this volume growth. We are extremely pleas

ed with our team's performance to deliver such volume growth.

Our team also delivered the highest level of profitability in the Financial Year '24-'25, both in terms of absolute PAT numbers and also in terms of percentage margin across all levels, EBITDA and PAT levels.

Further we are ready to launch several new products in the Financial Year '25-'26. Among such portfolio, one newly launched patented global blockbuster product deserves a special mention. The product INDIFLIN, which is formally a Japanese innovation by our parent Company has demonstrated impactful performance in few markets wherein this was launched in last couple of years.

We are also thankful to Indian regulatory authorities for granting fast-track approval of this product under a special window for new global launch products. Our teams are launching this product in India under the brand name of Excalia Max. And based on various technical evaluation and free trials data of global performance in India, we feel this can be a next blockbuster product from Sumitomo. I request my colleague Suresh to talk more about this very soon.

Before that, I think it is also important to mention that the technical or the active ingredient, as we call it, for this newly launched globally blockbuster product will also be made by us in India within next 12 to 15 months. This will be made in our existing Tarapur plant, and all the trials and technical evaluation have been completed.

While we are finalizing plans to set up new Greenfield plants at Dahej for manufacturing

multiple products for our parent Company SCC, we thought making this newly launched global product at Tarapur in interim period would help us accelerate/ ramp-up of this production in Indian market and also provide early experience of manufacturing new patented products to our projects and manufacturing teams. This experience would be very helpful to leverage when we

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set up larger level Greenfield backward integrated plant for global requirement over next couple of years.

Our Dahej plant remained intact. We already have secured the environment clearance valid for 10 years. Planned capacity requirements and our overall site layout designs are ready. We plan to soon start work on setting up multiple Greenfield plants at Dahej for multiple SCC-innovated products and intermediates, and technical studies for the same are in a very-very advanced stage. We plan to invest, as informed earlier, an initial investment of Rs. 300 crore to start with and we are prepared for more investment depending on the number of products we finalize and the time that will be required to put up each and every plant. This Dahej manufacturing capacity expansion Initiative is very strategic, long-term growth strategy for us at SCIL as well as for our parent Company SCC as diversification of existing Japanese manufacturing facilities and also newly launched global products expansion plans. My colleague Kunal will cover more about this little later.

Thank you very much. And with that, I will now hand over the call to my colleague Suresh to talk about our performance. Thank you.

Suresh Ramachandran: Thank you, Mr. Chetan Shah. Good afternoon everybody on the call, and thanks for joining us today.

FY '25 was a year of steady recovery and strategic progress for Sumitomo Chemical India Limited. The Company delivered a resilient performance marked by consistent volume growth across key segments despite a challenging pricing environment that persisted throughout the year.

Our revenue growth for the year was primarily volume-led, underscoring the strength of our domestic franchise, robust channel engagement, and timely execution of demand generation initiatives. This was complemented by sustained improvement in operational efficiencies and cost optimization measures, which enabled us to expand margins and deliver strong growth in prof

itability.

We delivered 11% revenue growth over a year-on-year basis, led by substantial expansion in volumes across both domestic and export markets, despite adverse pricing trends that impacted realization by approximately 10% in both segments. The performance underscores our commercial agility and execution strength further reinforced by improved asset utilization and optimized distribution efficiency.

Profitability saw a significant uptrend during the year. Our EBITDA grew by 33% and PAT by 37%, with both margins reaching their highest levels in our history, a result of superior product mix, strategic sourcing, procurement discipline and early liquidation of high-cost inventory. EBITDA margin improved by 339 basis points year-on-year to 20.1%, while net profit margin expanded by 308 basis points to 16.1%.

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Our domestic business remained a key growth engine supported by healthy Kharif season, strong Rabi season and deep engagement through initiatives like our flagship campaign called "Every Day Farmer's Day" campaign. Through which we reached over a million farmers and many thousands of channel partners across the seasons and across the country which helped us in robust growth.

Exports, though challenged in Quarter 4 due to global market headwinds around select molecules, posted a meaningful year-on-year full-year growth. Our strategy of geographical diversification and product realignment enabled us to maintain resilience in key markets.

We launched several new products in the last financial year, which includes products like Meshi, Portion, Ormie. And also we received the latest registrations for two next generation SCC molecules, namely Excalia Max and Lentigo, which is a rice herbicide. We also commenced commercial production of CTPR, that is Chlorantraniliprole, at our Tarapur facility, advancing our backward integration strategy.

Our subsidiary, Barrix Agro Sciences, also delivered a commendable performance in its first full year under SCIL with revenue growth of 82% and turned around from a negative EBITDA margin to a positive 16%. Together, these efforts have culminated in making SCIL emerge leaner, stronger and more future ready.

Now coming to the outlook for FY '26:

Building on the momentum of FY '25, we enter FY '26 with renewed strategic intent and

operational confidence. This year is poised to be a period of growth supported by a favorable agro-climatic outlook, early monsoon onset, and stability in commodity pricing and sowing patterns.

Our focus will remain firmly on driving volume-led growth, scaling up recently launched products, and sustaining margins through tight cost controls and optimized operations. The commercialization of Excalia Max and Lentigo, both high potential patented molecules from SCC, is expected to significantly enhance our competitive position in key crop segments. Apart from SCC molecules, we are also poised to introduce another 3 to 4 products under 9(4) registration in India.

We will continue to reinforce our domestic franchise through deeper channel penetration, customized farmer engagement program and digital-led demand generation. The third season of EDFD to be launched from June 15, which has already been communicated to our teams on the ground, will further scale our outreach and grassroots impact.

While export markets present selective challenges, particularly in Latin America, our agile approach, expanding footprint in Africa and Asia, and robust product pipeline will help balance risks and capitalize on emerging opportunities.

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We also remain committed to improving operational metrics. Our efforts around inventory control, receivables discipline and working capital management will continue to be a core priority even as we prepare for the next phase of scale. With this multi-pronged strategy, we are

confident of delivering another strong year, making FY '26 a defining year of resurgence for a SCIL anchored in innovation, execution excellence and market agility and discipline.

With that, I will hand over the call to my colleague Mr. Kunal to talk about our CAPEX plans.

Kunal Mittal: Good afternoon, everyone.

Now coming to our new CAPEX plans:

As part of our long-term strategy to expand our manufacturing capabilities and our manufacturing skill set and also to align with our parent Company SCC Japan's global vision, our Board has approved two strategic CAPEX initiatives aimed at expanding our skill sets, cost efficiency and also supporting the innovation delivered by the technical teams in India.

So, the first such project is Brownfield expansion at our Bhavnagar site for a very important SCC global molecule. We are expanding our production capacity at our Bhavnagar for this strategically important SCC invented and a globally successful molecule.

If you recall, for the similar product, we had set up a capacity about one to two years back. And with the success of this first plant and the initial capacities in last two years, we have consistently delivered the product at a globally acceptable highest quality standards, meeting all quality standards, demonstrating very high utilization of this plant capacities and extremely competitive cost situation, including our ability to react to the global pricing pressure and competitiveness.

So, with this kind of confidence which our technical teams have demonstrated, our Board was very pleased to approve this CAPEX to enhance our capacities. With the further investment of about INR 55 crore, and with this we are targeting to double the capacities. And it will also means this entire additional capacities can be used to expand our exports to our parent Company. This plant is expected to be completed by Q4 Financial Year 2026-27.

This facility will enhance our ability to support the global requirement of very important SCC molecules and SCIL will be able to meet 40% to 50% of the global requirement. And in the future depending upon the success and the volumes of this product and this project, we can even consider in the future if there is a need to further expand these capacities.

The second project which we want to highlight is again a Brownfield project at Tarapur. This product as earlier was touched upon by our Managing Director Mr. Chetan Shah is a recently launched global molecule which is expected to be a blockbuster product. And in India also this product has recently received regulatory approval for sales in the Indian market. We will be manufacturing this product at our Tarapur facility, and we will be using our existing facility with some modifications in the equipment and the line to be able to manufacture this product.

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The estimated CAPEX for this project is less than Rs. 10 crore. And the timelines are very similar to the first Brownfield project of Bhavnagar. So, the Tarapur Brownfield project is also expected to be completed by Financial Year '26-'27, Q4.

This investment will also allow us to demonstrate SCIL's ability to manufacture newly launched global innovative patented molecules. And this will give us a lot of confidence to both our technical teams in India and our parent Company that SCIL can manufacture new and the recently launched products as well. And it is something which is a kind of a new initiative being done by our Company with the support of our parent Company. And we will also be able to support the global expansion of this product in the future. And with this, the 100% of the

domestic demand in India is expected to be met from the production from India in next two years or so.

This will also be a very strategic step towards a state-of-the-art, much, much larger capacity backward integrated Greenfield facility for the same product at Dahej. And

as Mr. Chetan Shah

also mentioned that the experience of this product in our Tarapur existing facility will give more confidence to our teams in India and Japan that SCIL can set up much larger level backward integrated facilities in the future. We are currently at the advanced level of technical evaluation in discussion with our parent Company. And once this is completed, we will provide update. In the next one to two years our technical team will work in parallel on both the initiatives. These two Brownfield expansions as we have mentioned one in Bhavnagar, one in Tarapur, and at the same time, in parallel, we are continuing to work towards setting up a new Greenfield facility at Dahej and maybe for this particular product and some more additional product.

So, the Dahej strategy remains for multiple products and multiple plants to be set up in next 3 to 5 years. I think our Managing Director has also mentioned about our Dahej expansion and its importance. And I don't need to emphasize more on this.

So, with this, now I request my colleague Mr. Anil Nawal to please talk about the financial performance of the Company.

Anil Nawal: Consolidated Q4 FY '24-'25 Financial Performance:

Despite overall pricing headwinds, we recorded revenue of Rs. 679 crore in Q4 FY '24-'25 which is up by 1% as compared to Rs. 674 crore in Q4 FY '23-'24. Sequentially, the revenue was up by 6% from Rs. 642 crore in Q3 FY '24-'25. Gross Margin in Q4 FY '24-'25 are 40% as compared to 41.7% in Q4 FY '23-'24. EBITDA came at Rs. 120 crore in Q4 FY '24-'25 as compared to Rs. 140 crore in the same period last year.

Sequentially, EBITDA was up by 13% from Rs. 106 crore in Q3 FY '24-'25. EBITDA margin in the current quarter stood at 17.6% as compared to 20.8% in Q4 FY '23-'45. Profit after tax stood at Rs. 100 crore in Q4 FY '24-'25 as compared to Rs. 110 crore in the same quarter last

Sumitomo Chemical India Limited

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year. Sequentially, PAT was up by 14% from Rs. 87 crore in Q3 FY '24-'25. PAT margin stood at 14.7% vis-a-vis 16.3% in Q4 FY '23-'24.

Now coming to our consolidated performance for Financial Year '24-'25:

Revenue from operation in H1 FY '24-'25 stood at Rs. 3,149 crores. So, there is a correction it's not H1, it's the full financial year, stood at Rs. 3,149 crore, up by 11% as compared to Rs. 2,844 crore in FY '23-'24.

In the Financial Year '24-'25, domestic agro-chemical revenue contributed about 78% of our overall revenue with export contributing the rest. In FY '24-'25, insecticides contributed about 40% of total revenue, while herbicides, plant growth regulator and fungicides contributed about 21%, 11% and 10% of total revenue respectively. From a business mix standpoint, our domestic business continued to exhibit strong momentum growing 8% year-on-year in FY '25, contributing 78% to revenues.

Export revenue surged 22% year-on-year, supported by penetration into newer geographies despite Q4 headwinds. In FY '24-'25, sales to South America and North America increased by 78% and 44% respectively as compared to the same period last year.

Our full year gross margin expanded by 337 basis points year-on-year to 41%, underpinned by favorable product mix, procurement efficiencies, and proactive liquidation of high-cost inventories.

FY '25 also marked the highest profitability in the Company's history. EBITDA stood at Rs. 632 crore in FY '24-'25 witnessing a jump of 33% as compared to Rs. 475 crore in '23-'24. Our EBITDA margin stood at 20.1% in FY '24-'25 as compared to 16.7% the same period last year. The profit after tax for the financial year amounted to Rs. 506 crore, reflecting an increase of 37% compared to the previous year's figure of Rs. 370 crore.

Now, we will take a pause here and request the moderator to open the floor for question one by one.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from

the line of Bhavya Gandhi from Dalal and Broacha Stock Broking. Please go ahead.

Bhavya Gandhi: Hi, thank you for the opportunity. Just wanted to ask a couple of questions from my end. Sir, what is the revenue expected from the two new molecules that we have received registration for, Excalia Max and Lentigo?

Suresh Ramachandran: See, we are just about to launch this Kharif season. Our first primary objective is to ensure proper launch, acceptance by the farmer through demand generation activities and deliver performance exceeding the expectations of the farming community. That's our first objective. Obviously, once the farmers accept this molecule based on its merits and performance, I think it will go into, our

aspiration is big, but we can't commit any number at this point of time. Given the potentiality

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that it has done very well, wherever this product was launched, we expect it to be a good number business for India also.

Bhavya Gandhi: So, currently the technical might be imported from Japan, and we might be just formulating it, or the entire formulation is being imported at the moment?

Suresh Ramachandran: No, we are importing technical and formulating it in India.

Bhavya Gandhi: Formulating in India. And with respect to the Bhavnagar molecule expansion that we are saying, is it a patented one, the Brownfield expansion that we are planning Rs. 55 crores, or is it a patented one or is it a generic product?

Kunal Mittal: It is not a patented one, but it is a proprietary which means it was innovated by SCC and still at this point of time we continue to have a very strong global market share in this product. So, it is out of patent now, but it continues to be a proprietary.

Bhavya Gandhi: Proprietary product. Fair enough. And just one more thing. On the specialty basket, largely it has been constant only. So, if you look at this year numbers, specialty has been closer to Rs. 900 crores. Two years back also it was somewhere closer to Rs. 1,000 odd crores, whereas our gross margins have improved drastically in the last two years to 41%. Is it possible to guide at least on the gross margin, what is the long-term sustainable gross margin? And what is the outlook for specialty as a portfolio? I mean, from Rs. 1,000 crores, where do we intend to take it? Maybe double it because we have launched a couple of products in the last 3-4 years. So, yes.

Kunal Mittal: So, in the specialty portfolio also, we have a range of products, like even some of the segments like animal nutrition, EHD even, they qualify for specialty portfolio. So, while you are right that the overall specialty portfolio has remained same, but within the specialty portfolio, we are upgrading our portfolio with a newer and higher margin product.

So, fundamentally and strategically, whatever we need to do, that is being done. And that is what has caused and resulted into increase in our gross margins. And all the new products launched by the Company in the last three years which are mainly towards the Agro division of the Company and as Dr. Suresh also touched upon, these products are seeing good traction in the market.

And as a Company, we don't push that in the initial one or two years itself, the product volume should ramp up to a very high level. And historically also, always we have delivered consistent growth over three to five years in terms of volumes ramp up. So, with the volume ramp up of this newer product, the share of specialty should enhance in the future.

And from the margin point of view, as you can see, at the Company level, because of these strategic initiatives of new products and high margin product, the overall margin profile has gone up by about 3%-3.5%, from 37.6% to almost 41%. And our endeavor will continue that we want to maintain this kind of margins going forward. And we don't believe that there is anything one time or kind

of exceptional items in these margins which gives us some sort of indication that

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these margins are not sustainable. So, we are very confident to be able to maintain and sustain these margins.

Suresh Ramachandran: Just to add one comment over what Kunal said, as I mentioned during my initial comments, we launched a campaign called Every Day Farmer Day Meeting, right across the country where the teams have been given a mandate of selected products which we shortlisted based on the margin and potential of future including the new products. The focus of the team has been channelized into those kind of products which gives higher returns to the Company. So, that is also helping us in terms of product mix.

Bhavya Gandhi: And just one more thing on the exports to Japan. So, that number has dipped again for this year. I think we had guided that at least we will be doing Rs. 125 odd crores this year and Rs. 250 odd crores next year by supplying to the parent. That has again missed. So, if you can just help us understand what is not working or what we are trying to improvise by supplying it to our parent in Japanese exports as well as on the Nufarm.

Kunal Mittal: So, this exports to our parent Company Japan, it consists of several product, and one or two products we were already making earlier, and recently we expanded capacities to add five or six products. So, some segments and some products out of this due to, say, delays in registrations globally or due to the global volume slowdown situation in last one or two years what has caused, so, we are saying that there is a little bit of a delay in some of the products ramp up.

But at the same time, while at the same facilities, we have upgraded to be able to make other products. So, overall, in the terms of capacity utilization, we are in satisfactory level. And instead of exports to Japan, we have been able to make some products in India itself.

If you see our Investor Presentation on Slide No. 5, we have also mentioned that we have started

the commercial production of a very important product called CTPR, which recently got off patent, and we have started manufacturing that product also in the same Tarapur facility, and we have started sales of this product in Indian domestic market.

So, in terms of utilization of these facilities, we are enhancing the utilization level every year. In terms of exports to Japan, yes, there is a little bit of a slowdown and some delays, but we are on track to grow it consistently and with these two new projects, which we have announced, we will be able to further enhance both the volumes and also the product portfolio, including one newly launched product also.

Bhavya Gandhi: Just last thing, on the Nufarm, because the INDIFLIN product is already launched in the LATAM market, so how are we seeing the response and are we still supplying Tebuconazole to the LATAM market and outlook for LATAM market?

Kunal Mittal: Yes, so we are supplying Tebuconazole. How much this volume, I mean, how much I think Nufarm has performed. It is a kind of a third party in terms of that way, it is a private Company.

So, their numbers are not in public domain. But whatever you can see in the public domain, this
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product seems to be working well and has made a lot of impact in the Brazilian market. But the specific numbers we don't have access to and it is not in public domain.

Bhavya Gandhi: Our outlook for exports to LATAM market?

Kunal Mittal: You are talking about this particular Tebuconazole for INDIFLIN combination, right?

Bhavya Gandhi: Yes, and overall outlook as well for LATAM.

Suresh Ramachandran: Overall, you know, LATAM picked up early last year. First three quarters did well. In the Quarter 4, it did went a little bit sluggish. But based on our market information and all, it seems to be com

ing back on track. We need to wait for one or two more quarters to really see it to come back to normalcy. We are optimistic.

Bhavya Gandhi: Fair enough. I will get back in the queue. Thank you so much for the answer.

Moderator: The next question is from the line of Himanshu Binani from Anand Rathi Financial Services Limited. Please go ahead.

Himanshu Binani: Hi, sir, thank you for taking my question. So, my first question was largely on the CAPEX side, the two new incremental CAPEX which we have announced. So, maybe if you can like give a better sense in terms of the revenue and the margin expectation from those. And second on the Tarapur side, this Rs. 10 crore CAPEX, so this is largely catering to the domestic branded business, or this would be for the exports?

Kunal Mittal: So, first, I will take the second question. You are right, as we have mentioned in the presentation also, in the Tarapur, we are just modifying the lines to be able to manufacture this new product, which is globally also recently launched product and primarily for few months production will be utilized only for the Indian domestic market.

And for the global requirement we have to still study more and set up a new Greenfield site at Dahej with a backward integration. So, this site primarily purpose is for Indian domestic market because in Indian domestic market itself, we are expecting, as Dr. Suresh mentioned, very good ramp up of the volumes and impactful performance in the Indian market.

And on your other question, the first part, which is about the CAPEX which we are undertaking, so, the margin profile of this is expected to be similar to the projects which we have delivered earlier.

Himanshu Binani: And the revenue targets?

Kunal Mittal: That is something which is an evolving situation because sometimes some of these products, the pricing goes up and down as per the global situation. So, at this point of time, it is very difficult because we are still like, say, 18 months away from commercial production. So, whatever is the
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sales price, based on that the top line goes a little bit up and down, but from margin point of view, we are confident that this product should be able to give us a good return on investments. And even at the Company level, as you can see, like, from the peak revenues of Rs. 3,500 crore, even if the revenues are lower, but as you can see, the profitability-wise we have delivered the expectation. So, the same kind of philosophies are also coming up with all of these CAPEX projects. We will not be able to very confidently give you how much revenues, but profitability wise, they will be in line with expectations.

Himanshu Binani: And sir, the second question is largely on the margin side. So, if you can like help us understand the margin differential between the domestic and the export business for 4Q as well as for FY '25. And how one should actually look into the overall gross margins basically for '26?

Kunal Mittal: So, see, as a strategy, I think, because it's commercially sensitive information, we never disclose the specific margin between domestic and exports or between the segments. But as a trend, I think, Dr. Suresh has already mentioned, and I request him to little bit expand more about the

outlook and the margin expectation. But we will not be able to give a specific break-up between export and domestic.

Suresh Ramachandran: Yes, generally, our export business primarily we export technical grade. In technical grade, generally the margin is slightly lower than the formulation. In formulation, which is primarily domestic market, we invest quite a bit of marketing and promotional activities. Naturally the margin would be slightly higher compared to the technical grade pesticides. We have delivered a record margin like when Anil spoke or Mr. Chetan Shah spoke, we delivered the highest ever margin in terms of ab

solute number and also in terms of percentage. And during my comments also, I mentioned that we would like to further strengthen it with the launch of the new products with more focus on intense demand generation, high margin, gross margin products. Our endeavor is to increase the margin compared to what we delivered in FY '24-'25.

Himanshu Binani: So, sir, maybe differential basically into the exports and the domestic margins. Any ballpark numbers would be like good.

Kunal Mittal: Sorry, we will not be able to give any forward-looking specific numbers.

Moderator: The next question is from the line of Chintan Modi from Haitong Securities. Please go ahead.

Chintan Modi: Hi, thank you for the opportunity. Sir, could you highlight how much was the revenue achieved from those 5-6 molecule in FY '25, which is specifically made for the parent?

Kunal Mittal: So, as you can see, we do not give the specific product wise breakup and all. But you can see that from the numbers in the presentation, the total exports to Japan is at about Rs. 100 crore plus level.

Chintan Modi: Second, with respect to the margins, see, for these products that you are talking about, like the two new plants, which are newly launched products that you will be manufacturing. So, when Sumitomo Chemical India Limited

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you do this for your global requirements, the process and everything is similar to what Japan follows, or there is some process innovation that is being done in India by the Indian team.

Kunal Mittal: So, I think these two are the different products. One is the newly launched product and one is the product which we are already selling in India for many years and already making in India for now 2-3 years.

So, on that particular product, lot of innovation has been done by SCIL in India. And even before starting the manufacturing two years back a lot of process innovations were done. And those kind of activities in terms of process innovations and some efficiency improvements on a gradual and consistent basis continue by our team on a regular basis without significantly changing the characteristics of the product. So, that kind of activities continues.

For the second product, which is just a newly launched global product which will be starting the manufacturing in the next 18 months or so, so, for that to start with, we are following the global processes. And gradually once we start manufacturing, we will look at the opportunities to optimize the processes. And also when we set up a larger scale, a new plant which is backward integrated at Dahej for the global requirement, that time also we will see that how much process innovations can be done.

Chintan Modi: And so in a similar context, so the margins that you make on such kind of products that where you would have done some process innovation is generally higher than your domestic margins or similar to the domestic branded business?

Kunal Mittal: Broadly it is similar, and what I think we have always maintained whenever we announce any kind of CAPEX is that any of these investments will not be negative for our existing Company level margin. So, in these kind of projects also, we are earning at a Company level margin. But I think Dr. Suresh also touched upon, because some of these products we are exporting technical to our parent Company.

So, in terms of margins for formulations or margins for marketing and distribution of the product, that is something which comes in the global affiliates, and that is something where the both efforts and margins are not being coming to SCIL, but at the same time in the domestic market, we get also the margins for the formulations, for distribution, for marketing and all those kind of activities because they accordingly take that much effort and costs also.

Chetan Shah: Also, you know, the process innovations is not totally important because these are off-patent products. So, it is not

always true that you innovate, or you have a process improvement only for making profits. Sometimes you have to be technologically ready to face competition from China or any other part of the world, basically China, but you have to be ready to compete with them. So, the process innovation is also an important part as to how well you can be in the competitive position. You can't afford to lose your volumes.

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Chintan Modi: Sir, one last question is with respect to, you know, your parent Company has come out with a business plan '25 to '27, wherein they have mentioned about some foray into semiconductor chemicals in India. So, would like to understand if you have been in talks with the parent Company on these lines?

Kunal Mittal: Yes. So, yes, you are absolutely right. In our parent Company's strategic growth plan, they have announced that our ITCM sector, which deals with this kind of a chemicals and semi-conductor related chemicals, is looking to expand into India. And we are in discussions with them. And we are jointly evaluating the opportunities in India. No decision has been made at this point of time. But we are studying the Indian market in terms of the overall evaluation of the semiconductors and all those kind of a thing. But we are very much hopeful that whenever our parent Company decides to expand this business in India, we are hopeful that SCIL should be considered suitably by our parent Company.

Chintan Modi: And sir, with respect to...

Moderator: Sorry to interrupt, sir. I would request you to please rejoin the queue for your follow-up question. The next question is from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal : Hi, sir. Thanks for the opportunity and congratulations for a good annual performance. First question on our capital allocation as well as the CAPEX plans. If I look at the timeframe over FY '22 to '24, we had seen some sort of ramp up in our CAPEX, annual CAPEX to around Rs. 100-150 odd crores annually but again slowed down in FY '25 while we are sitting at a strong cash balance of Rs. 1,500-1,600 crore plus and generating more. So, just wanted to gather your thoughts, you know, how should one look at this pace given that Dahej is still largely underutilized as an asset?

Kunal Mittal: So, Ankur, see, what has happened is, as you are aware that last two years, the global agro-chemical industry faced significant challenges. If you look at the results, especially volumes of any agro-chemical Company all over the world or in India, everyone has suffered significant volume drops due to several structural problems. And now those things are coming back to normal.

So, in last two years, it was a very, very difficult situation. Some of the projects which we had approved before this kind of challenging situation, we completed. But in the last one or two years, due to the challenging volume situation globally, it was less confidence for us to go ahead and incur CAPEX and add up more and more capacities. But now since the situation is coming back, we have restarted that kind of a process. And we have approved some of the projects. In addition to that, there will be a normal CAPEX which we anyway incur for some existing products debottlenecking. So, with all of these things, now we feel that we will be back to the normal trend. And you are absolutely right, last one or two years, there was slowdown in CAPEX. But we feel that going forward, that situation should be behind us. And going forward, Sumitomo Chemical India Limited

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we should be having more confidence to be able to add capacities, both for our domestic requirement and also for the global requirement.

Ankur Periwal : Thanks, Kunal. Just to follow up on that, so this CAPEX expansion that we plan to do, this will be largely for the debottlenecking-led or let's say, for the domestic business

as a market? Or it is

largely dependent upon newer products ramp up from the export market from Sumitomo from our parent perspective and that will be the bigger driving factor here?

Kunal Mittal: Both.

Kunal Mittal: But I would say the second part will be the bigger driving factor. The first part anyway continues, the debottlenecking and those kind of a small thing. But expansion of manufacturing for more products, additional capacities for the global requirement, that is something which is expected to drive the utilization of Dahej and also the CAPEX plan going forward.

Ankur Periwal : Second question on our margin profile as well as the specialty revenue bit. You did allude towards rejig in the portfolio, which has probably kept the revenue flattish, the specialty part of it. Is that rejig mostly over and hence we should see a sharper sort of revenue ramp up starting FY '26?

And the second related question to that is on the gross margin improvement there. Should this trend continue in the coming years as well given that newer product ramp up launches et cetera still accelerates, or there is some cap to that EBITDA or gross margin that you want to make?

Kunal Mittal: So, you are right that this process of maybe slowdown in some of the low margin products in specialty and focusing more on new products and high margin products, I believe this cycle will continue for some more time. So, in our portfolio, there are still some products in our specialty which are not yielding very good margins, and maybe there could be a slowdown of some of these products. So, that kind of exercise may continue for maybe one more year. And this should naturally result in higher margins.

So, as you have seen last year also, since we reduced focus on some of the low margin product and focus more on high margin new products, our margin profile improved. So, while the top

line may have some problems because of this, but at the margin level it should be positive for the Company and for the long-term interest of the Company, because we want to less focus on the product which are adding very low margin, requiring a lot of investment in terms of working capital and that kind of a decisions and evaluation is being done for the low margin products.

Ankur Periwal : Just following up on that, earlier we had mentioned that we were good at 20% odd EBITDA margin there. Does that thought remain the same or because of the operating leverage if theoretically the margin goes upwards of 20%, we are okay with that?

Kunal Mittal: I think that ceiling which we had in our mind, that margins more than 20% which we have been mentioning in the past, I think we are behind that. And we have realized that in this year also, if you see, we have delivered EBITDA margins which are higher than 20%. So, we have already

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broken that ceiling and from the mindset point of view also, now we understand that since we are not focusing on the top line growth, since we are not focusing on some of the low margin product, naturally the margin profile will go beyond 20% and it may go beyond 20% if the trend continues like this.

Ankur Periwal : Good to hear that, Kunal.

Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities. Please go ahead.

S. Ramesh: So, can you give us the volume growth for 4th Quarter and also explain why there was a dip in gross margin in EBITDA and the overall profits were down compared to the last period, especially since the Rabi this year was possibly one of the best we have had in recent years?

Chetan Shah: Yes, if you look at first, let me talk about full year. If you look at our full year, as we commented at the beginning, our full year volume growth has been almost 20%, both in domestic as well as export market up to Quarter 3.

Even in Quarter 4, the domestic market grew very nicely, almost 15%-16% growth in the domestic

market, whereas in the export market, primarily because of LATAM, our volume got hit on account of two. One, the price dropped compared to the previous Quarter 4. And also volume has taken a slight hit in terms of Quarter 4 compared to the previous year in exports. See, these are the reasons why our Quarter 4 overall margin has also gone down. But overall we look forward to continue to better the performance year-on-year and quarter-on-quarter compared to the previous quarter or previous year. That's our endeavor.

S. Ramesh: Can I just get some housekeeping confirmation on the export number for the year and the quarter? So, if I know the calculation based on the segment percentage, I get an export revenue of around Rs. 690 crores for FY '25 compared to Rs. 568 crores in FY '24. So, is that number correct?

Kunal Mittal: It is slightly different. Based on our understanding, it is around Rs. 675 crores to Rs. 680 crores level in current year, and last year it was a little higher than Rs. 550 crores. And because you specifically asked about Latin America, so Latin America revenues, because it is already there in the investor presentation, are I think last year against the revenues of about Rs. 130-135 crores, this year we have delivered revenues of about Rs. 240 crores plus from Latin America.

S. Ramesh: And for the 4th Quarter also, can you give similar numbers? I have a number of around Rs. 274 crores for exports in 4Q '25. And last year, 4Q '24, I have an export number of Rs. 285 crores.

Kunal Mittal: I think there seems to be some confusion. I think as per us, the numbers for current year 4th Quarter is much lower than what you mentioned.

S. Ramesh: Yes, because we are trying to reconcile the year-to-date numbers. So, we don't have the 4th Quarter percentage, right? So, you can clarify that, that will be useful to get the base right.

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Kunal Mittal: As per us, it is more like whatever numbers we have. In the annual report also, I think these numbers will come. But as per us, the last quarter, current year '24-'25, the exports numbers are more in the range of Rs. 210 crores to Rs. 215 crore versus last year of Rs. 260 crore plus. So, there is a negative delta of about Rs. 50 crore in the current quarter coming from the exports.

But again, this is again a quarter-to-quarter situation since sometime some shipments selling in December last week versus January last week, first week or so. So, I don't think we should look at so much quarter-to-quarter thing in this kind of a markets and this kind of situation. Full year basis, we have delivered significant growth both in Latin America in the overall exports market.

S. Ramesh: So, in terms of the CAPEX for Bhavnagar and Tarapur, are we talking about the two products, the fungicide and herbicide which you are trying to launch or is the CAPEX in Bhavnagar for CTPR?

Kunal Mittal: No, Bhavnagar CAPEX is not for CTPR. CTPR is not a Sumitomo molecule. It is a third-party off-patent molecule. Already several players in India, in China, all over the world have launched this product. And we have also started making this product in our Tarapur facility, which was already available. So, we have not incurred much of the CAPEX for this. And we did not even

announce any kind of a CAPEX for this.

And we have just commented in our Investor Presentation that we have completed this project and we have already started making this particular product. So, there is no CAPEX which we have announced for CTPR. And in Bhavnagar we were making one product for our global requirement wherein we are enhancing the capacities to doubling the capacities. And the Tarapur project is for fungicide.

S. Ramesh: The Tarapur project is for the Excalia Max.

Kunal Mittal: I mean, we don't give any specific product information, but yes, from our commentary you can get some guesses, but from the commercial and s

trategic point of view, we don't mention any specific product for any CAPEX.

S. Ramesh: So, the Bhavnagar CAPEX of Rs. 55 crores, can we conclude it's for the Lentigo herbicide?

Kunal Mittal: No, it is not for a new product. It is for a product which we are already selling in India for many years and we are already manufacturing in Bhavnagar. Two years back we had set up a project for that. It is for that product where we are increasing the capacity. But it is not CTPR what you mentioned. It is some different product. It is an insecticide.

S. Ramesh: So, just put all this in perspective, you had invested about Rs. 120 crores for the 5 molecules to be exported to Japan, right? So, is one of these expansion an extension of that investment? How do we evaluate that?

Kunal Mittal: Yes.

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S. Ramesh: So, the investments for Excalia Max and Lentigo are yet to be made, right? That is supposed to be come in the future.

Kunal Mittal: No, no. See, Lentigo, there is no plan right now. Lentigo is a product which is a patented product, manufactured globally. And in India, we are just launching this product as a formulated product.

The Excalia Max or other products as we have mentioned, this is a globally patented product.

The starting point is we will be importing this product, technical, we will be formulating in India and selling in India. And we are looking to manufacture that product in India starting maybe in next 18 months or 2 years with a smaller capacity for Indian domestic requirement. And in the long term, we are technically evaluating if we can set up a global scale backward-integrated plant at our Dahej site.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla AMC. Please go ahead.

Naushad Chaudhary: Two clarifications. First on the margin side, I just wanted to reconfirm on the margin profile of export business because in the past, in our multiple interactions, what we could have understood, there is a few percentage difference between export and domestic margins. Has that gap narrowed or is there a case or that in future this gap can narrow or if you can comment qualitatively on this, please?

Kunal Mittal: So, I think what I understood your question, you are asking about the difference between exports versus domestic margins?

Naushad Chaudhary: Yes, and if there is a gap, can...

Kunal Mittal: See, as we explained earlier in the exports...

Chetan Shah: Can I?

Kunal Mittal: Yes, sir.

Chetan Shah: No, see, the point is that when you compare export business and domestic business, there is a very big difference. The difference in domestic market is that we are talking about selling our formulated brands. We may be manufacturing technical as well, but when you convert those technical and you convert them into brands and you market those products or domestic markets, the margins are different.

Now, we are also selling our technicals in B2B market, right? And exports, we are also selling technical more than the formulation, the reverse of domestic market. So, in the domestic market, we are selling more of our brands, less of technical. And in the export market, we are selling more of technical and less of brands. But if you compare the margin between B2B domestic and export margins and technicals, they would be similar. They would be actually similar. But you

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cannot compare, brand business margins will be definitely higher than selling a technical either domestic or export.

Naushad Chaudhary: I understood, sir. Thank you for this. And second, on our newly launched 9(3) and the pipeline which we have, if you can highlight which all key crops are we targeting or focusing or how do we decide which products we have to get in? Do we decide by the crops we want to focus on or is it purely based on the availability and the performan

ce of the product? How do we decide the product?

Suresh Ramachandran: Yes, see, in India to register and launch any product, it takes somewhere between four to five years. Obviously, this product was fast-tracked. I am talking about Excalia Max because there is a special registration system for the newly launched products around the globe. Within five years, if it gets introduced in India, there is a special queue in which it gets fast-tracked. So, this project was almost started four years back.

So, first we evaluate the global discovery molecules in India. Obviously, there would be guidance from our global teams also. This product we are launching in paddy against a particular fungal disease, which is prevalent in Indian markets in certain geographies or many geographies it is present. So, it had a very good fit in India market. So, the first label we are getting in label, we got in label and we would be launching it in the next few days.

And we also know that it is fitting in crops like cumin, groundnuts, soybeans, few vegetables and fruits. Our teams have done extensive work to find it fits in other crops as well, for which label claim dossiers have been submitted. We should be getting it probably in the next 18 months, 24 months, 18 to 24 months. So, the first crop launch would be in paddy, followed by in other crops it will all be launched.

With regard to the other product, Lentigo, which is again a rice herbicide, which is a big market, because of there is an intense labor requirement, generally farmers look for chemical solutions to control the weed problem in rice. And this is again our global discovered molecules, which we tested few years back and it had a nice fit in Indian market. There is an already existing market in India for this herbicide. So, we decided to develop and launch this product. Again, this project was initiated four or five years ago. And we got the registration recently. And just first invoicing is happening as we speak. So, this product has got to fit only in rice. It will not fit in any other crop.

Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC. Please go ahead.

Dhruv Muchhal: Sir, a question in some sense on the growth outlook for the domestic market for FY '26, because I was a bit surprised by the negative pricing drag even in 4Q. You mentioned the domestic market grew by about 14%-15% in volumes, but there was probably some pricing drag. So, I thought the pricing drag is largely behind given the base is also weak. So, just some comments there and some guidance on the outlook for FY '26 for the domestic market.

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Kunal Mittal: I think just to clarify, I think maybe there is some misunderstanding. We did not mention too much about the pricing, specifically quarter wise. What we have mentioned in our Investor Presentation and opening commentary, overall there is a 10% price drop, whether it is in domestic business or export business in this current year, over last year. And quarter-to-quarter actually we don't analyze so much, and we don't mention so much. And against that, there is a significant volume.

I think in the domestic market, the volumes are 20% approximately as Dr. Suresh mentioned.

So, the net growth is 10%. And in the exports market, there is 30% volume growth, which is causing about 20% total top-line growth in the exports market. So, this is the numbers for the past and maybe some quarterly numbers and all, there might be some confusion. And I request Dr. Suresh to give a little outlook on the volumes.

Dhruv Muchhal: Yes, outlook for FY '26.

Suresh Ramachandran: Yes, outlook for '25-'26, you know, as you all seeing the monsoon has come little early, about a week or so early, the sentiments are positive. It looks to be very, very good season is upon us, and we are all fully geared up. There is definitely going to be a volume growth.

I t

hink, I just saw, I didn't read it. MSP prices have been announced just maybe half an hour back. I didn't read it yet. I am sure it has gone up at least 5% to 10% on key crops. What I understand is cotton acreage is increasing, corn acreage is increasing, chili acreage would increase. All the key pesticide consuming crops acreage is likely to increase.

If the monsoon continues in the same vein what we are seeing for the last couple of days, I think it augurs very well for the upcoming season. If the rainfall is good and if the Kharif is good, obviously it will replenish groundwater, which is going to help us in the Rabi season also. The overall sentiments at this point of time look very good.

Chetan Shah: And also we are not really seeing any further price drop because prices are quite stable. Whatever has happened has happened and I think if at all the price can only inch up from this level, that is what we feel.

Moderator: The next question is from the line of Rajas Joshi from Chrys Capital. Please go ahead.

Rajas Joshi: So, I had a question regarding the CAPEX we had announced in Dahej just two days back, regarding the five molecules that were to be in-license from the Japanese parents and then we were to supply them. So, any outlook / update on that front, on the CRAMS front specifically?

Kunal Mittal: I think we have already clarified this question in some of the earlier questions. So, I think because of the global situation in terms of the industry situation, some delays in registration, and overall,

yes, the capacity utilization of one plant is lower. But we are taking efforts to enhance the capacity.

Chetan Shah: But that is in Tarapur.

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Kunal Mittal: Yes, Tarapur.

Chetan Shah: You see, the plant you were talking about, that was set up in Tarapur. The Dahej plant is a totally different story. So, the Tarapur plant, which we had set up, got a little bit of hiccups in terms of delays in registration because these are all ESD products and it has to be registered in every country where they wanted to sell this. And there has been some delay over there, so the overall project is delayed. But because of that we are trying to utilize the same plant with minor modification to manufacture other products. And one product we have already started, that is CTPR, and another product we will be starting now, which will help us to ramp up the volume of Excalia Max substantially in the domestic market. And Dahej is the next stage, which I said in my opening remarks, that all the plants, all the designs, all the site plants, everything is ready. We are absolutely ready to go ahead. I think work can start soon. That CAPEX is a separate CAPEX of Rs. 300 crores.

Rajas Joshi: And what would be the timeline for the Dahej plant CAPEX?

Chetan Shah: So, that will be, I think, we want to start manufacturing certain products to deliver between '27, '28, '29 and '30. So, that is the plan. So, the entire range of products we will be doing in phase manner, but it will be definitely some in '27, some in '28, some in '29 and some in '30.

Moderator: The next question is from the line of Dhavan Shah from Alfaccurate Advisors. Please go ahead.

Dhavan Shah: Sir, my question is on the export side. If I look at this FY '25 numbers for Japan, I think the revenue has been declined from Rs. 113 odd crore to Rs. 93 odd crore. So, any thoughts on this?

What led to a decline to the Japanese export? And then how much...

Kunal Mittal: The number is very similar to the last year number. I don't know where you got this Rs. 91 crore number. But in our view, I think this number is more, I think. Maybe because of this rounding off, like in the presentation, there is like a percentage, maybe because of that. But this number is very close to last year, almost similar.

Dhavan Shah: And in terms of the export numbers, the contribution right now is roughly 22% of

d. How much

do you see this mix can go up maybe two, three years down the line once this Dahej plant plus your that five molecule CAPEX that you did, that revenue would also inch up? So, how much mix do you foresee for the exports maybe two, three years down the line or four years?

Kunal Mittal: So, I think in the past we have mentioned, see it is very difficult for us to predict because we are trying to grow both. So, you are right that because of some of this CAPEX and the new upcoming Dahej site in next 3 to 5 years, there will be good expansion in our export portfolio.

But at the same time, in India domestic market also we are trying to launch many new products, patented products and off-patented products also and also expansion of volumes in our existing. So, hopefully we can grow both and maybe one segment can grow slightly higher or lower than other. But we are very hopeful that both should grow.

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So, significantly it is not likely to be that exports will become like, say, 50% of the business in 3 years or 5 years. I think majority of our business will continue to be domestic focus with a very strong expansion in our export portfolio also.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question. I would now like to hand the conference over to Mr. Sushil Marfatia, Executive Director, for closing comments.

Sushil Marfatia: Namaste everyone. Thank you all for your asking some very interesting questions and our colleagues for replying the same. We hope we could address your questions nicely. FY '25 has been a year of consolidation, resilience and strategic recalibration for Sumitomo Chemical India Limited despite global headwinds, rising pressure and market volatility. We have demonstrated robust execution capabilities, delivering strong volume-led growth, expanding margins to historic high, launching multiple differentiated products, and deepening our connect with farmers and channel partners through our initiatives such as EDFD campaign.

We now enter FY '26 with a clear and confident roadmap, a year we are defining as a year of resurgence. We expect a supportive external environment with the IMD forecasting an overall normal monsoon, a crucial catalyst for agriculture output and agriculture input demands. This bodes well for the domestic agro-chemical sector, and we are structurally well positioned to harness this tailwind.

On the strategic front, we are embarking on two important CAPEX initiatives. The first is the Brownfield expansion at our Bhavnagar site for a key SCC-invented molecule, building on the strong operating track record of our existing facility.

The second is the establishment of a new product line at our Tarapur facility for recently launched patented molecule. This investment also set the stage for potential scale-up opportunities including our readiness to support SCC's evaluation of a large-scale Greenfield facility in India.

Moreover, our continued focus on optimizing operational metrics including inventory management, receivable controls and disciplined capital allocation will remain central to our long-term strategy. We see this not merely at efficiency levers but as critical enablers of sustainable growth and value creation. We remain deeply grateful for your continued support and engagement. Thank you for taking the time to join our conference call today. We truly appreciate your participation. Thank you. Good night.

Moderator: Thank you. On behalf of Sumitomo Chemical India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2025

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3rd November , 2025

To,
BSE Limited, The National Stock Exchange of India,
Listing Department, Listing Department,
Phiroze Jeejeebhoy Towers, Exchange Plaza,
Dalal Street, Bandra Kurla Complex,
Mumbai – 400 001 Bandra East,
Mumbai – 400 051

Scrip Code: 542920 Scrip Symbol: SUMICHEM

Subject: Written Transcript of Earnings Call held on 28th October , 2025 .

Dear Sirs,

This has reference to our letter, intimating about the earnings call on 28th
October , 2025 with Investors to discuss financial performance of the Company
for the quarter and half-year ended 30th September , 2025, and web -link for the
audio -recording of the call submitted to you on 28th October , 2025.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:

<https://sumichem.co.in/investors-relations.php#Announcements>

Kindly take the same on record.

Thanking You,

Yours faithfully,
For Sumitomo Chemical India Limited

Deepika Trivedi
Company Secretary & Compliance Officer

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"Sumitomo Chemical India Limited
Q2 & H1 FY '26 Earnings Conference Call "
October 28, 2025

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings
uploaded on the stock exchange on 28th October 2025 will prevail.

MANAGEMENT : MR. CHETAN SHAH – MANAGING DIRECTOR –
MR. SUSHIL MARFATIA – EXECUTIVE DIRECTOR
DR. SURESH RAMACHANDRAN – DEPUTY MANAGING
DIRECTOR
MR. KUNAL MITTAL – SENIOR VICE PRESIDENT ,

PLANNING AND CO-ORDINATION OFFICE
MR. ANIL NAWAL – CHIEF FINANCIAL OFFICER
MS. DEEPIKA TRIVEDI – COMPANY SECRETARY AND
COMPLIANCE OFFICER

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Moderator : Ladies and gentlemen, good day, and welcome to Sumitomo Chemical India Limited Q2 and H1 FY '26 Earnings Conference Call. This conference may contain forward -looking statements about the company, which are based on the beliefs opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants' lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

From the management today, we have on the call, Mr. Chetan Shah, Managing Director; Mr. Sushil Marfatia, Executive Director; Dr. Suresh Ramachandran, Deputy Managing Director; Mr. Kunal Mittal, Senior VP, Planning and Co -ordination Office; Mr. Anil Nawal, Chief Financial Officer; Ms. Deepika Trivedi, Company Secretary and Compliance Officer; and colleagues from SGA, their Investor Relations Advisors.

Now I hand the conference over to Mr. Chetan Shah, Managing Director of Sumitomo Chemical India Limited. Thank you, and over to you, Mr. Shah.

Chetan Shah: Thank you. Hi, everyone. Very good morning to all of you, and welcome to this conference. I'm sure you all had great Diwali, and I take this opportunity to wish each one of you a very prosperous and meaningful new year.

I must admit that today, I was hoping to join you all with a very, very robust Q2 working on the basis of what we did in Q1. However, I think the God and the nature had some different plans of their own. And due to the climatic conditions, our expected Q2 performance could not be achieved.

There were first 18 days of July, which went absolutely dry. And then from 19th July, the rain started, but it never stopped till September end. This made it very difficult for farmers to go into the field for spraying operations . That's how the consumption of agrochemicals in general got affected. And there was no respite from rain till the end of Kharif season. So it was a very, very disappointed quarter for us. We would have really shown a great performance, but for this weather condition.

However, having said that, our H1 still we could achieve a reasonable growth, which is 9% in sales and 11% in profits. Apart from that, the quality of business in this adverse condition as far as Sumitomo is concerned was excellent. We had -- I mean, we have no returns of goods. We have not reduced the prices. We have maintained our profitability. And in spite of all the adverse conditions, we have grown in H1 at 9%. So I think that the resilience of our team and the discipline that we have enforced in the market has proved to be really good and working. And I think we'll come out stronger from this experience.

Another bright side is that the water storage and the reservoirs are absolutely full. The soil is moist, which is good for the Rabi season, and we hope that the Rabi season will go well. However, some rains are still expected here and there as per IMD, but I don't think that the rain

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will be a disruptive kind of rain as we saw in August and September. So the overall situation looks good, and we hope to have a great Rabi season.

Also on the global front, the agrochemical industry is witnessing early signs of stabilization after nearly 2 years of inventory destocking, pricing pressure and climate -related disruptions. Internationally, ordering patterns are gradually normalizing and prices appear to have bottomed out in key markets, offering a base for recovery. This is in a nutshell, my message

or my address

to you. I'll get back to you in the Q&A session.

I hand it over to Mr. Suresh Ramachandran, Joint MD of Sumitomo. Thank you very much.

Suresh Ramachandran: Good morning, everybody, and thanks for joining this call. Coming to the performance of Sumitomo Chemical India. The second quarter, as Shah -san mentioned, was undoubtedly a challenging one. At least we have not seen this kind of rains in many years. It was just pouring

from middle of July till the end of September or even into October.

The year of Kharif started on a promising note, but because of the weather conditions, it resulted in farmers not able to go to the field, which led to missing of sprays or deferment of sprays. Despite all of these challenges, Sumitomo Chemical delivered a resilient performance, maintaining operational continuity and channel health while protecting margins in a seasonally weak environment.

In Q2 FY '26, our consolidated revenue stood at INR930 crores versus INR988 crores in the corresponding period last year. Although this represented a slight decline, it was entirely driven by volume contraction due to erratic and excess rainfall. Price realization remained broadly stable across our portfolio, supported by disciplined pricing practices and strong product positioning.

Gross margins were maintained at 43.1%, demonstrating cost efficiency and prudent input sourcing. The EBITDA margin stood at 22% for H1 FY '26, broadly in line with our expectations, despite the adverse seasonal impact in Q2. At the half year level, SCIL performance reflects healthy underlying strength. Our H1 revenue grew 9% year-on-year to INR1,987 crores with corresponding growth in profitability.

Our domestic Crop Protection business was affected by wet weather, yet our key brands like Sumimax, new product launches like Excalia Max, Lentigo and also some old herbicide formulations continue to gain traction and reinforce our market leadership. The newly launched rice herbicide Lentigo witnessed encouraging adoption, while Excalia Max, a fungicide for rice, sustained its strong growth momentum in specialty segments. Our Environmental Health division posted healthy growth off a low base, reflecting our growing presence in branded solutions and urban vector control.

In exports, demand was muted in certain geographies, specifically in Africa, countries like Kenya, Ethiopia and in Latin America, primarily due to Brazil due to shipment deferrals. Of course, our business in the U.S. and Europe remained stable. We are also expanding registrations and customer relationships in new markets in Asia and the Middle East to offset regional volatility.

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Importantly, our working capital management remained robust. Net working capital days improved by 7 days year-on-year to 55 days primarily due to better receivable collections and stable inventory management.

Cash and cash equivalents as of 30th September 2025 stood at INR2,089 crores, providing strong liquidity and balance sheet flexibility. While Q2 was weather affected, our H1 FY '26 results reaffirm the underlying health of our business and our ability to navigate volatility with financial prudence and operational discipline.

Our subsidiary, Barrix Agro Sciences recorded a relatively steady performance during the first half of FY '26, maintaining its market presence despite challenging operating backdrop. While the overall top line remained broadly in line with the previous year, profitability was impacted by higher input costs and elevated operating expenses. During this period, biostimulant sales were also affected by regulatory constraints, which had a bearing on Barrix's performance.

As we look ahead, we enter the second half of FY '26 with measured optimism. The combination of healthy reservoir levels, adequate soil moisture and a normal withdrawal o

f the

monsoon augurs well for the upcoming Rabi season. Field conditions have improved significantly since late September, which should support a rebound in farming activity and input demand.

With that, I hand it over to my colleague, Mr. Kunal Mittal, to talk about the business strategy.

Over to you, Kunal.

Kunal Mittal: Thank you, Shah-san and Dr. Suresh. Good morning, everyone. At Sumitomo Chemical India, we remain firmly focused on executing our strategy and delivering long-term sustainable growth. Our strategic priorities revolve around five key pillars, which are as follows:

Number one, strengthening domestic franchise and farmer engagements.

So our efforts continue to be directed at deepening farmer connect, strengthening the domestic franchise through structural engagement programs and digital interventions. The 'Every Day Farmers Day', which we have been doing very sincerely since 2024 and which has also been explained in the investor presentation - this initiative has become a key differentiator for our company in the field. This also enabled direct communication with farmers, demonstrations of our product efficacies and enhancement of our overall brand recall.

We aim to expand our EDFD coverage across additional districts, and we will focus more of these activities in our Rabi crop. And this will also help us consolidate our leadership in the domestic market through extensive farmer engagement and ground level demand generation.

We are also deploying various digital and physical initiatives, and we are also making sure that each of the physical farmer engagements are more impactful and also they are followed up with digital initiatives, so we can also take a feedback from the farmer community about our initiatives.

Number two, scaling up of our recently launched and differentiated products. Dr. Suresh Sumitomo Chemical India Limited
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already explained about these two important products, which we have launched in the first half of the year, which is rice herbicide 'Lentigo' and patented fungicide 'Excalia Max', which is INDIFLIN is a technical product.

Our innovation-led growth strategy remains the core of our business model. Both of these products are sourced from our parent company, Sumitomo Chemical Japan's global innovation pipeline. And so far, they are very well received in the market. During current financial year, our focus is to scale up these products across newer territories, accelerate our demonstration of these products to the farmer and also prepare for additional launch.

One important product, which we are planning to launch in the second half of the year is a product from our group company, Valent BioSciences. The name of the product is Top Grain. These efforts will continue to reinforce our company's reputation as a trusted provider of high efficacy and sustainable crop protection solutions.

Number three, enhancing exports competitiveness and our global footprint. We are intensifying our focus on expanding global presence. Despite temporary softness in certain export destinations, our business model remained resilient and agile. We continue to broaden our footprint across Africa, Latin America, Southeast Asia by consolidating our relationship in the US and Europe.

With strong backing from our parent company, we are also increasing integration of our group's global supply chain and registration network, which will position India as a critical manufacturing and export base for our future growth, not just for India, but for the global organization.

Fourth, advancing manufacturing and backward integration initiatives. So manufacturing excellence is a very important core pillar of our long-term strategy. We have already started and commenced backward integration for selected molecules at our Tarapur facility. We have also made significant progress in project planning, re

gulatory approvals for our upcoming greenfield expansion at Dahej.

In the earlier investor presentation in the quarter ending June, we had announced two capex projects, one, doubling the capacity of one of our product for our parent company to be manufactured at Bhavnagar and also few additional products, including some of the blockbuster global product being launched recently to be made at our Tarapur site. So, both of these were already explained, and they are also explained in our investor presentation. So, these facilities like Dahej will produce multiple Sumitomo origin molecules and intermediates, which will help us diversify our parent company, SCC's global manufacturing footprint and also enhance SCIL's cost competitiveness in the long term.

Simultaneously, our operational teams are continuing to pursue productivity improvements, process efficiencies to ensure consistent quality, optimize cost and margin sustainability. And that is something which we have demonstrated even in a very challenging market like this, that our margins were largely maintained.

Number five, sustaining financial discipline and working capital efficacy. If we look at our Sumitomo Chemical India Limited
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company's balance sheet, it remains one of the strongest in the Indian agrochemical industry. We continue to prioritize liquidity management, cash generation, prudent working capital deployment.

During first half of financial year '26, our collections improved substantially with total inflows to the extent of almost INR2,277 crores compared to INR1,999 crores in first half of last year. So we remain committed to sustain this kind of a momentum through stringent credit control, optimized inventory levels and timely supplier settlements. Our philosophy is to grow responsibly.

So, in short and to conclude, while the first half of the year was characterized by climatic challenges, the underlying fundamentals of both the Indian agriculture sector and our company's business remains strong.

With improving field conditions, healthy rural sentiment with normalization in channel inventory and very good levels of water reserves, we expect a recovery in demand during the Rabi season and beyond. Our unwavering focus on portfolio differentiation, operational excellence, farmer engagement and disciplined execution, position our company well to deliver sustainable value for all our stakeholders.

With that, I will now hand over the call to Mr. Anil Nawal, CFO of our company, to please take you through our Q2 and first half 2026 consolidated financial performance.

Anil Nawal: Sir, consolidated Q2 FY '25-'26 financial performance. During the quarter, we recorded revenue from operation of INR930 crores compared to INR988 crores in Q2 FY '24-'25. The decline was primarily due to lower volume in domestic market as persistent and excessive rainfall through much of July and August curtailed field activities and delayed spray application in key Kharif crops.

Gross margin in Q2 FY '25-'26 are 43.1% as compared to 42.6% in Q2 FY '24-'25. EBITDA came at INR218 crores in Q2 FY '25-'26 as compared to INR245 crores in the same period last year. EBITDA margin in the current quarter stood at 23.4% as compared to 24.8% in Q2 FY '24-'25. Profit after tax stood at INR178 crores in Q2 FY '25-'26 as compared to INR193 crores in same quarter last year. Profit after tax margin stood at 19.1% vis-a-vis 19.5% in Q2 FY '24-'25. Lower operating leverage in the quarter on account of weather-related volume impact led to a moderation in profitability. However, we maintained healthy margin through cost control and disciplined channel management. Sequentially, compared to Q1 FY '25-'26, both revenue and profitability were lower, reflecting the seasonal softness due to unusually prolonged rainfall pattern this year.

Coming to our consolidated performance for

or H1 FY '25-'26. Revenue from operation in H1 FY

'25-'26 stood at INR1,987 crores, up by 9% as compared to INR1,827 crores in H1 FY '24-'25. In H1 FY '25-'26, domestic agrochemical revenue contributed about 85% of overall revenue with export contributing the rest. In H1 FY '25-'26, insecticide contributed about 39% of total revenue, while herbicide plant growth regulator and fungicide contributing about 26%, 9% and 9% of total revenue, respectively.

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From a business mix standpoint, our domestic business continued to exhibit healthy momentum, growing 11% year-on-year in H1 FY '25-'26, contributing 85% to revenue. Export revenue degrew by 4% year-on-year, largely on account of decline in sales to South America by 33% as compared to same period last year.

Our H1 FY '25-'26 gross margin stood at 40.4%, broadly in line with the previous year at 40.9%. EBITDA stood at INR437 crores in H1 FY '25-'26, witnessing a jump of 8% as compared to INR406 crores in H1 FY '24-'25. Our EBITDA margin stood at 22.0% in H1 FY '25-'26 as compared to 22.2% in the same period last year. The profit after tax for the H1 FY '25-'26 amounted to INR356 crores, reflecting an increase of 11% compared to the previous year's figures of INR319 crores.

Now we'll take a pause from here from our side and request moderator to open the floor for question, one-by-one.

Moderator: The first question is from the line of Prashant Biyani from Elara Capital.

Prashant Biyani: Sir, have we launched Excalia Max and Le ntigo pan-India? Or we have done it in a few states only till now?

Suresh Ramachandran: It's launched Pan-India. Both products have been launched pan-India.

Prashant Biyani: What would be the total revenue from these two till now?

Suresh Ramachandran: See still we are taking stock of the situation. It's too early to conclude the revenue. There's one more season ahead. Some of the inventory will get liquidated, if there is any in the market. So, it's too early to -- it's just about 3 months old product in the market. We launched in June-July time frame. So it's too early to comment on the total revenue of those.

Chetan Shah: We are on target, right?

Suresh Ramachandran: We are on target.

Chetan Shah: Whatever plans we have made, we are absolutely on target, rather we are ahead of target.

Prashant Biyani: And it finds application in Rabi as well, not only Kharif?

Suresh Ramachandran: Yes, yes, it fits in both the seasons. It's basically both the products are for rice. Of course, Excalia Max goes in other crops as well. So in both the seasons, this product -- both the products fit in.

Prashant Biyani: And what would be your outlook of exports for H2?

Suresh Ramachandran: Outlook for exports in H2. See the Africa season should start probably towards the end of December or early January. So we are on track. Overall, the market situation seems to be okay in Africa.

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are positive. We have been having continuous engagement with our customers which is positive and it should be on track. The US, it depends on tariff situation. We have a demand there. There is a demand for our product, but it all depends on how the tariff situation is going to go, going forward. Asia and Europe would be normal. So overall, I would say it's positive. Prashant Biyani: But we should build on total export revenue that we had last year versus this year, we should be decently higher.

Kunal Mittal: Prashant, we will not be able to comment on any forward-looking statement. And our efforts, as Dr. Suresh mentioned, will be to revive the demand as much as possible in the second half.

Prashant Biyani: Okay. And sir, on the semiconductor side, any

update if you can give on beyond what we had mentioned in the last call. How will the business look like in the initial years? Will it be -- will we start from trading or you will go for investments also? Some further insights on that would be helpful.

Kunal Mittal: So I think the situation remains same. We continue to monitor the situation in India very actively. So we and also our global affiliates, we continue to visit India, various locations, various customers. We continue to assess the situation. And we believe the situation will take more time because it will be aligned with the semiconductor plants from the key players in India start operations.

So depending upon time lines of their starting the operations, our time lines will be linked to that. And also, a mix of that, we believe that at this point of time, we believe it will be a mix of some products coming from outside India and some products which will need to be localized in India.

So, we believe it will be a combination of these things. But it will still take time because what we understand is that it will all be, as I mentioned, linked to the customers' operations to start. And we are discussing and monitoring the situation on a timely basis. And at the right time, we will make a decision and move forward on that project.

Prashant Biyani: Okay. And lastly, sir, on Barrix, while we have mentioned that there were regulatory disruption, which impacted. But while -- when we acquired the initial plan was to have some capex also there. How are we placed on that front on capacity expansion plans for Barrix? And hence, how could be the future growth trajectory given whatever is the regulatory condition right now?

Suresh Ramachandran: See the regulatory condition is not only for Barrix, it's for the entire industry. You've been observing that biostimulants law came into place and many products got impacted, only 145 have been approved. And we could not sell not only Barrix, the entire industry could not sell from the middle of June till almost end of September or early October.

Still the process is on, you have to get the license endorsement at different manufacturing sites, then at the state level and all those things, okay. Those procedural formalities are going on, not only for Barrix, but for many of the companies in the industry.

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And also on top of that, the weather was challenging in Kharif. So those are the reasons which impacted and we could not sell 3 or 4 products from Barrix's portfolio during that time.

Now things should start. We are looking at starting the sale as soon as possible. In terms of capex, I think we have sufficiently equipped for the capacity what we need for the current year sale. As the season moves into -- once we close the Rabi and next year demand we project, we will take a call on that. Of course, if it is required, we would be definitely investing capex.

Moderator: The next question is from the line of Sudarshan Padmanabhan from ASK.

Sudarshan Padmanabhan: Sir, my question is on the -- your earlier comment on the international business, where you said that after a long period of time, you're seeing some light at the end of the tunnel. In this space, I mean, we have been doing a lot of -- talking about exports, while it has not scaled up to the extent that we had initially thought.

But in terms of the profitability and the outlook of this segment of the business, I mean, how is it currently stacking as compared to what it was, say, 2, 3 years ago when we were actually talking about being a serious player in terms of the value chain of our group?

Suresh Ramachandran: I think profitability compared to last 2, 3 years, we are at the same level. I mean you can comment. We are almost at the same level. We have not eroded our margin.

See, when you say export business, there are 2 vertic

als. One is technical, where generally the profitability is slightly lower. On the value addition with formulations, your profitability is slightly higher. We have a set of formulations as well as TG export. It depends on the mix of formulation and the TG that gets exported, your profitability gets determined. Having said that, we are seeking multiple registrations of the formulations in various countries across the globe. And those registrations take time. In some countries, it could be 2 years; in some countries, it could be 3 years or more also. So as and when those registrations are realized, this formulation sales will start happening and slowly, the margin will also start improving. But that will take time.

Chetan Shah: And also one thing to note over here is that in spite of the very steep competition from China, due to our R&D efforts and process improvements, we have saved a lot of cost in order to compete with the Chinese prices. And I'm glad to inform that in all the products that we export as generic products, we are in a position to compete China. And that is how we are getting orders from our customers. But there is a lot of work being done on process improvements.

Sudarshan Padmanabhan: Sure. But clearly, it looks like the race to the bottom of the price is for the time being largely done, because that is something that we've been seeing for last few years.

Kunal Mittal: Yes, that we believe that the prices are more at the bottom level right now.

Sudarshan Padmanabhan: Sure, sir. Sir, on the domestic side of the business, we have consistently been launching products and good products. I mean, as you mentioned, we have brought some products from our current pipeline and launched it. Sir, in the last -- if I look at the last 2, 3 years, I think we have seen 1 year of excess rain and probably the Rabi seems to be good.

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But in terms of acceptance of these products, if you can talk a little bit more about, say, the last 3 years, how much of the products have contributed? And second is when we are consciously launching the product...

Moderator: I'm sorry to interrupt you in between, Mr. Sudarshan. Your voice is not clearly audible.

Sudarshan Padmanabhan: Can you hear me now? Hello?

Moderator: Yes, sir. Please proceed.

Sudarshan Padmanabhan: So -- see, what I was trying to understand is innovator turnover index or the new launches in the last 3 years, how has it been accepted and how much it is contributing? The second is between Kharif and Rabi. So today, when we look at the portfolio, it's about 65% coming from Kharif and rest from Rabi. With the traction in the international market, and you also talked about the new products also targeting Rabi, how do we see this shift, say, 2, 3 years down the line? Is that going to be changing?

Suresh Ramachandran: Sorry, Sudarshan, you got cut off in between. I couldn't hear the second part of your question.

The first part of the question is about the new product traction. As you mentioned, as you rightly mentioned, we have been launching at least 4 to 5 products every year. I would say that we are largely satisfied. I think probably the new products would contribute about 8% to 10% on a yearly basis. If you look at it, as Shah-san also mentioned a few minutes back, we are surpassing our expectations for the current year launches of Excalia Max as well as Lentigo. In the previous year, we had launched Meshi, which was really, really a super duper launch. Of course, it got impacted to some extent this year, we could not ramp it up because of the weather situation. We launched Portion last year that also got accepted very well. So overall, we are pretty happy with the way the new products are getting accepted.

Obviously, it's only a tiny spec that we are reaching out, how to ramp up those molecules that's where K

unal also mentioned about 'Every Day Farmers Day', the more and more customers we reach out to, the scaling up would be quicker. Sorry, I could not...

Kunal Mittal: The second part of the question, what you asked, like say, whether in the next few years, our Speciality business will become much higher proportion. I think what you need to understand is most of the products which we are launching, they are not only focused and concentrated on Speciality side. While yes, we have launched several new products in Speciality side. But even in the off-patent and the basic segment, which we call, we are constantly launching new and new products. So with this, there might be some more higher growth in the Speciality segment, but still there will be growth in the basic segment itself even going forward.

Suresh Ramachandran: Yes. Just to add a comment on this, we also launched CTPR last year, in in-house manufacturing, and we have launched 2 formulations. That have got very well accepted. It's in basic division, off-patent division. It's really doing well this year also.

Sudarshan Padmanabhan: One final question, sir. I was actually trying to understand the difference. Today, we have 65% of business in the first half as Kharif. So with the new launches and the international business

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picking up, do we see this kind of bridging a little bit, say, in the next 2, 3 years?

Suresh Ramachandran: Not really, Sudarshan. The simple reason is 70% or 65% of the market consumption happens in Kharif season, okay? Rabi season is a shorter season and the pesticide consumption is slightly lower compared to the Kharif season, maybe 30% to 40%, not more than that. So we are in line with the industry and agrochemical consumption in the market. Unless we get a very specific product for Rabi season, it will remain by and large in the same trend what we are seeing today.

Moderator: The next question is from the line of Rehan Saiyyed from Trinetra Asset Managers.

Rehan Saiyyed: So, I have one question regarding the pricing versus volume ahead. I think you have answered, but there is some bit of voice lack from your side – So my question is with pattern-driven volume loss, but stable pricing in quarter 2. So when volumes normalize, so do you anticipate competitive pricing pressure in H2? Or does the current pricing discipline look sustainable for going forward?

Chetan Shah: The prices are definitely sustainable. As a matter of fact, if prices had to be lower, it was in this particular condition, a tough condition of Kharif. We have successfully maintained the price line even in these challenging months, I don't see any reason for us to lock the prices in the future. I think it would be -- we will definitely maintain the price line even if the volumes go up.

Rehan Saiyyed: Okay. And like one bookkeeping question from my side. Could you put any margin guidance for revenue growth or EBITDA margin going forward?

Kunal Mittal: Can you please repeat? I think we could not understand.

Chetan Shah: Our efforts are to maintain our EBITDA margin, our profit before tax, all the parameters, we will be maintaining or improving -- I don't think that these will go down.

Moderator: The next question is from the line of Rohit Nagraj from B&K Securities.

Rohit Nagraj: Sir first question is, we had the initial five products for the capex of INR120 crores with the potential revenue of about INR200 crores to INR250 crores. How much of that we have realized maybe in first half? Just to understand what could be the potential growth from these molecules? And a similar question, the new capex plan that we have announced of INR55 crores plus INR10 crores, what is the kind of asset turn or revenue potential from this capex?

Kunal Mittal: So about the first with the capex, which we have already completed in the last 2 years. So

as

we have explained in the earlier calls also, it was in two parts. One part was related to the Bhavnagar site. So that is something where full commercialization has been achieved. And in fact, the second phase, which we have announced, the INR55 crores new capex, a part of that is going to double up the capacities at the Bhavnagar site for that particular product. So that particular plant and the capex project is fully commercialized, and it is going to get double by end of 2026 calendar year.

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And the second part of the capex, which we have completed in the past is related to our site in Tarapur. We had set up a multipurpose plant. At this point of time, the export revenues are not fully commercialized from that site because of some delays. But at the same time, meanwhile, we have started using that site Tarapur, for some of the domestic product. So CTPR, I think Dr. Suresh also mentioned, we launched this product in market last year, and we started manufacturing that product also at our Tarapur site itself.

And in the future, we have planned that some part of this INR55 crore capex, which we have announced, about INR10 crores of that is going to Tarapur site. And that is something which will add a few more futuristic products in that site. So, some of the products which we have just launched in India, and which are launched globally as one of the very high potential product. So some of this futuristic new product innovation pipeline will be manufactured at Tarapur.

So, in short, Bhavnagar, fully commercialized, we are doubling up the capacity now. Tarapur not fully commercialized from the export side, but we have meanwhile used it for the domestic requirement. And in the future, we will add more products, which will also have more and more requirement and potential commercially for Indian domestic market. So in the future, Tarapur site will be more a mix of exports versus domestic utilization.

Rohit Nagraj: Sure. That's helpful. Second question is in terms of commentary, we have said that during the quarter, we had seen -- although we have done very well in terms of working capital and in terms of no sales returns, there has been excess inventory in the system and obviously, there have been working capital pressures.

So just wanted to get a perspective as to whether this will have any impact on the volume

growth for the next season as well? And how has been the Chinese imports coming to India during this Kharif season compared to the last Kharif season?

Suresh Ramachandran: See, overall, our Rabi season, we are very optimistic As Shah -san mentioned, we don't have much of or very, very little sales return or practically no sales return. It doesn't mean the channel is overloaded and excess inventory is there. Through various meetings, farmers' meetings, channel intense engagement, by and large, a lot of material got liquidated. Having said that, we don't know what is the inventory level of the competition in the market. We have some idea, but we don't have in-depth idea on what is the level.

The channel would want to liquidate that first. Some companies have taken back, some companies have not. Then the demand would start coming in. We are quite optimistic because of our differentiated solutions and brand value, it would be a normal Rabi season provided no significant rains happen in the coming months. And what was the second question?

Kunal Mittal: Lot of working capital and all that - will have any impact in the second half ...

Suresh Ramachandran: I don't think so. I don't think so.

Rohit Nagraj: Sure. Just one last, if I can squeeze in. We have been making good amount of cash and the cash currently on the books is in excess of INR2,000 crores. Any plan how to deploy it, whether it

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will

go in the same business or new business, just broader understanding of utilization of such high cash balance.

Kunal Mittal: So as we have mentioned in the past, we have a very robust plans to deploy this cash in our business. And the Dahej site, which we are going to develop as a global manufacturing site for our parent company's global product portfolio, that is going to utilize a large part of this cash. And we are also evaluating various options to fast track and accelerate some of this deployment of the cash through various means.

So at this point of time, we cannot give a very concrete time line, but the work is under progress to deploy this cash and put it in the business because in the business, it can earn higher ROIs as compared to what it is generating today.

Moderator: The next question comes from the line of Bhavya Gandhi from Dalal & Broacha Stock Broking.

Bhavya Gandhi: Sir, my first question is regarding the Dahej capex . If you can provide some time line or the progress on the capex , INR250 crores to INR300 crores that you are going to plan, how are you going to plan? A Phase 1, what would be the amount that you'll be deploying and revenues that can be generated? If you can provide some time line , phase -wise, that will be helpful.

Kunal Mittal: Yes. So we do not have very clear time lines in terms of when it will be started. As we have mentioned in the past, we are looking at various products. In terms of technical feasibility studies, a lot of work has been completed. It has been submitted.

We also completed a lot of ground level work in terms of the acquisition of land, acquisition of all the environmental approvals, all those kind of things. As we have mentioned in the past, we are looking to deploy at least say, INR250 crores, INR300 crores. And while we have submitted a lot of feasibility studies, so we expect that during this current financial year, some of these projects should go and get approved both by our parent company and us and our Board.

And once they get approved, we will take these projects to the implementation at the ground level , with implementation time lines of 18 months to 2 years. So maybe sometime in calendar year 2028, we see that some of these projects should start generating revenues. And then we will see that how this can be expanded and scaled up the overall site of the Dahej.

So overall, we are working on a multiproduct and multi utilization. So we are not looking just one product or one plant, maybe a multiproduct and multiple kind of a plant kind of a situation we are looking at developing in Dahej.

Bhavya Gandhi: Got it. And just till then, how much outsourced manufacturing do we -- because I believe in the presentation also, you've mentioned that your capacity utilizations are at 80%, 90% now.

So for the next 2 years , in the intermittent period, where will you bring that growth from?

Because are we relying on outsourced manufacturing, if you can share the percentage of outsourced manufacturing? Or are we just going to bring products from Japanese market and add some trade margins in India? Yes.

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Kunal Mittal: So it will be a combination of this. See, for our speciality products, there is no outsourced manufacturing, either the products are manufactured at our global locations in USA. or Japan

or it is manufactured by us. But in those products, we do not see any capacity constraints. In the off-patent segment, which contribute to 65% to 70% of our business, yes, at this point of time, our technical plants are in the range of 85% to 90% kind of a capacity utilization level. But we do not see this as a bottleneck for our growth. Whatever growth we will get in terms of volume demand in the market, we have the ability to source this product in a fairly short period of time from the market, either through China, through India and other suppliers. So we do not see that, that is going to be a bottleneck for our growth for future.

India and other suppliers. So we do not

see that, that is going to be a bottleneck for our growth for future.

Bhavya Gandhi: Got it. And on the semiconductor side, where are the existing semiconductor companies procuring their raw material or the IT chemicals from? Because in Dholera, Tata's plant has already started functioning. Cairn has put up a semiconductor plant in India. So, if you can just throw some light on that as well, where are they procuring it from? Are they procuring it from the parent or they are procuring it through some other entities?

Kunal Mittal: Yes. As far as our understanding and our surveys and discussions goes, I think these kind of plants have not started the operations in India. Our products will be going to a very high-end fab, which is called the fabrication unit. And some of the units which have started in India in semiconductor, they are relatively smaller and OSAT kind of operations.

But in terms of the fab, I think the Tata's fab is going to be one of the largest and the first fab but it has not started operations, and we are waiting and monitoring that when the Tata's operation will start at Dholera.

Bhavya Gandhi: Just if I can squeeze in one more? Yes.

Kunal Mittal: Yes.

Bhavya Gandhi: So you're saying something?

Kunal Mittal: I'm saying we are in touch with all the customers, including Tata, and we are monitoring the ground level situation. But you can also maybe reconfirm this understanding whether Tata have really started at Dholera or it will still take some more time.

Bhavya Gandhi: Got it. Got it. And on the Excalia Max, just wanted to understand, post the Tarapur commissioning and if we prove it on the pilot, is it like a full-scale operation at the Dahej, INR250 crores to INR300 crores capex where we'll be manufacturing Excalia Max? Is that the thought process?

Kunal Mittal: So currently, what we have mentioned is we have already launched this product, but this is being manufactured at our Japanese facility. We are importing this TG and then launching this product in Indian market.

We have already announced in the last Board meeting, we are investing about INR8 crores to INR10 crores at our Tarapur site and the Tarapur site will be able to make this product for Indian requirement in the near future. We expect that by March 2027, that project should get Sumitomo Chemical India Limited

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completed. And after that, we don't need to import the TG from Japan, and we can sell the Indian TG, in our brands in Indian market.

For the future expansion for the global requirement, yes, this is one of the product or maybe some part of intermediates of this product, which are in the potential list to be manufactured in Dahej. But as we mentioned, this has not been finalized. And once this is finalized and approved, we will keep everyone informed.

Moderator: The next question is from the line of Naushad Chaudhary from Aditya Birla AMC.

Naushad Chaudhary: A couple of clarifications. First on the export side, you have mentioned there was some shipment deferment. If can you share the quantum of this shipment deferment and what was the reason for this?

Suresh Ramachandran: See, primarily, it's from Brazil. One of the key molecules they had inventory. So now that is getting liquidated. So that's why instead of H1 that we move into H2, primarily from Brazil.

Kunal Mittal: Also some bit from Africa. In Africa also -- some countries, we saw that some of the customers who typically buy in, let's say, Q2, some of that demand moved to Q3 and Q4 also, but it is very difficult to quantify because we do not have the firm orders right now.

We are negotiating and discussing with the customers. So we cannot like commit that whatever we have lost in first half, how much of that will translate, but efforts are on, and we are hopeful that some part of this can be revived in second half.

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Naushad Chaudhary: On the biologics side, can you share the revenue share from the biologics product in this quarter versus last year same quarter?

Kunal Mittal: Yes. Just a second. So biologicals, if you see our PGR segment, which is mentioned on Slide #14, from 11%, it has come down to 9%. And as you are aware that we mentioned, I think Dr. Suresh mentioned earlier, this is mainly because of regulatory constraint.

Many of our products were stopped selling because of the regulatory thing. This is in the media. I think everyone is aware the entire industry faced the situation. And similarly, we faced the situation in Barrix portfolio also. So this downward trend from 11% to 9% is mainly because of this regulatory constraint and almost like entire Q2, we could not sell this product. And just recently, we have got some of the approvals, and we expect that in H2, we can revise some of these products.

Naushad Chaudhary: Last, on the capex run rate, though you have shared in bits and pieces about different projects in detail. But if I have to -- in a simplified way, if I have to look at the company's total capex outlay in the next 3 years, any number if you can quantify how much we have in mind to deploy?

Chetan Shah: We are evaluating 7 products to be manufactured in Dahej. We have submitted feasibility reports, which is under study in Japan. And if -- I mean we are confident and hopeful that all the 7 products will be approved. However, if less number of products get approved, the capex

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may be different. But if all these products get approved in the next 5 years, we see deployment of INR500 crores to INR600 crores at least to be invested. But it depends on all the seven products getting approved.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: So my first question, I missed the answer. So, we have roughly around INR2,100 crores cash right now. So what are our plans with the cash? Are we looking to give any special dividend going ahead? Or how should we think about the cash balance?

Kunal Mittal: I think as we already explained it, right now, there are no plans to return this capital to our shareholders. We are working on several opportunities to deploy this cash in the business. And part of that can go in the capex for Dahej, and we are also evaluating various other opportunities to deploy this cash.

So at this point of time, there are no plans to return this capital to shareholders by special dividend and all which you mentioned. So at this point in time, there is no such kind of plan under consideration.

Siddharth Gadekar: Secondly, when we say other opportunities, are we looking at areas even beyond agrochemicals for now?

Kunal Mittal: Yes, that is also under discussions and evaluations. While no decisions have been made, but under evaluation.

Siddharth Gadekar: Sir, secondly, on that 5 molecules, given that those have not ramped up materially, by when do we expect all the 5 molecules to ramp up or now we would be doing something entirely else in those sites?

Kunal Mittal: So as I mentioned, when we did that Tarapur second multiproduct plant, the idea was to make -- to have this site as a fully export-oriented site by these 4 or 5 products as a multiproduct plant. But currently, part of that is already used for our local domestic requirements. And even in the future, the plan is to subsidize or create alternate site instead of doing import from Japan. So in the future also, we do not believe that this site will remain 100% export-oriented site and Tarapur site will cater to our domestic requirements equally. So maybe we believe that even after 2 years when new products start getting produced at Tarapur, the site will be kind of an equal mix of exports and domestic requirement.

Siddharth Gadekar: Okay.

Just last question, sir, even the Dahej side, we would be planning to use for both domestic and export or that will be entirely export opportunity?

Kunal Mittal: Largely initially more exports focused. But if the demand of those products goes very big in India and if Tarapur is not able to cater all the products, then maybe a part of that Dahej production can also be deployed for domestic. Because from our company's point of view, if we are manufacturing our TG and just supplying a TG to our parent company versus if we formulate and sell in our own brands to the market in India, the margins are much higher in the

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domestic business. So our focus will be to grow our brands and our volumes and markets in Indian market. And if there are additional capacities, for sure, we will use it for exports.

Moderator: The next question is from the line of Rohan Jain from Blue River Capital.

Rohan Jain: So I mean, looking at your last 3 or 4 years of sales and margin data. And I think to give credit, you have done a really good job on the margin front. On the sales growth front, especially now if I break that down into domestic and exports, on the domestic for the last 3 years from FY

'22 to '25, sales have grown at a CAGR of about low single digits for the last 3 years. And this year also looking at how H1 has gone -- I mean, for the 4th year period, it will still be in the low single digit to mid-single-digit kind of range on a CAGR basis. Now when I compare this to the peers, who operate in domestic segment solely, the company that is going for listing soon and other companies that have already been listed, our growth seems a bit subpar. So I mean just wanted to get your sense on what is holding us back here really? And what has changed in terms of the strategy to improve growth in the domestic segment going ahead?

Kunal Mittal: So I think what I think you are asking is that while in the margin front, we are doing well, in terms of top line growth, if we look at last 4, 5 years, past history, maybe some of the peer players may be ahead of us. So we understand, I think -- but we believe that our growth is in line with the market. Our growth is more focused on high-margin products, better combination of products in terms of speciality and generic and also with very, very discipline. So we are focusing more on the fundamentals of the business and profitability and a good mix of the product instead of just running behind top line growth. So that has been our strategy, and we are fairly satisfied with what we have done in terms of fundamentals of the business.

So Chetan sir and Dr. Suresh, you want to add anything on this?

Suresh Ramachandran: I think you summarized it well.

Chetan Shah: So, the thing is that we are very disciplined in the market. I mean our entire order processing from the market etcetera is absolutely on line and we do not supply any material to the market without a firm order. And we absolutely do not try to dump the material in the market to have a performance of one month or one quarter or something like that.

We never do that. And that is the reason why our recoveries and our -- no returns of sales proves that our policies in the market are very, very robust. So, I think, as Kunal said, that our primary aim is to maintain the margins or improve the margins and top line comes after that. So that is the reason why you feel that margins are okay, and top line could be better. But as the new products come in, we ramp up the new chemistries which we have launched and all that we will also see the traction in top line.

Rohan Jain: Understood, sir. This is helpful. Secondly, on exports, I think for a long time, there's been talk of the plant at Dahej being coming up and for some reason or the other earlier due to the weak external -- weak overall market situation in exports.

And then after that also, there's been a
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pretty slow process, I think, in some way, looking from outside, then in terms of the traction and progress there. So I mean, what can be done to really speed up that?

Because now you're saying CY '28 is when manufacturing will -- I mean, sales should actually start seeing from then -- when you've seen announcements made, I mean, as far back as a couple of years back.

And then along with that, in terms of exports at the parent level, apart from semiconductors, we also have display chemicals, pharma, some other few segments there. So are we looking to also bring those segments' share from the parent level into India?

And then within India operations, will those be operated through the listed entity itself? Some clarity on that? Because this INR2,000 crore cash that we have, that should get utilized in a much better manner, as you also rightly said earlier. So some clarity on that, please?

Chetan Shah: Okay. So there are 2 things, 2 parts of the question. You have to understand one thing that dealing with Japan as a country, it is very, very sustainable, but the speed can be lesser than what we expect it to be. So a little bit of delays or a little bit of this thing which we feel frustration about is due to the working style of Japan, basically, I would say that.

But having said that, once they decide, as you may have seen in our last 25 years of history that once they decide, there is no going back. That's why I use the word sustainable because the decisions once given, there is no looking back. So now we have a very clear guideline from Japan that Sumitomo Chemical India will be the manufacturing hub for Sumitomo Chemical Japan.

And that is why we are seeing the number of products and the speed at which we are getting one by one approvals has really improved. I will also give you another example that now India has been put or Sumitomo Chemical India has been put by Japan as a #1 category for testing new molecules.

So earlier what used to happen that the new molecule will start in North America, Brazil and Japan. Now India is the fourth country placed in the same category. So any new molecule that is even at a trial stage, that comes to India along with North America, Brazil and Japan. We have already received 2 such molecules for testing. So the speed has improved.

Our capabilities of marketing, our capabilities of R&D, our capabilities of process engineering, our capability of market reach, everything has been at a very high level now with SCC Japan.

So we are hopeful that now the speed of products coming in will improve drastically. And as I mentioned that we have seven products, almost all feasibility reports have been given. We have given two clearances. We have already received two clearances and the balance five products clearances is expected to be received by end of this financial year. So once that comes, all our plans to implement this project will begin.

Kunal Mittal: And also, as Shah -san mentioned, a lot of speed has improved. But at the same time, all other sectors which you mentioned, like you mentioned about display and pharma and several others, yes, our parent company has wide range of sectors and different different businesses.

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And as a company in India, as an important successful company in India, we are in touch with all these different businesses , like we are evaluating what can be done in India. But the final decision will be made by each of these businesses independently. We continue to be trying from our side that this is part of our own company. This is Sumitomo Chemical India Limited, but there is no like a legal obligation or something like this. But yes, the progress and the discussions are in the positive territory at

this point of time.

Chetan Shah: And our efforts will be -- of course, we like -- I mean we are putting in a lot of time, energy into this semiconductor sector or pharma and our endeavor will be that Sumitomo Chemical has to be part of it. That will be our responsibility to convince Japan that Sumitomo Chemical remains as a part of this business and this business comes into our listed company.

Rohan Jain: Understood, sir. This is really helpful. Given the cash balance of INR2,000 crores, I think and the earlier outlay that you mentioned about INR500 crores to INR600 crores and given how our cash generation has been historically, there will be a lot of cash accruals on the balance sheet. It will really be helpful if some of these can be expedited and more growth can be brought into the Indian entity. That's all from my end.

Moderator: The next question is from the line of Ankur Periwal from Axis.

Ankur Periwal: Two questions. First, on the speciality side, while we have been launching new products over the last 3, 4, 5 years, the growth in the speciality agrochem space is much lower than the generic bit. Just curious to understand whether it is just a matter of time and these products will sort of get monetized and hence, a higher growth going ahead? Or there is any structural change in the market and speciality will probably continue to grow at a slower pace?

Suresh Ramachandran: I'm not sure, how you're saying speciality growth is not there.

Kunal Mittal: Because Ankur, if you see the segment, like if you see last 5 years, we were more in the range of 22% to 24% our speciality segment, which has grown to more in the range of 28%, 30% even in this half, you can see. So yes, quarter -to-quarter and say, first half versus first half , there may be variations. But structurally, we believe our speciality segment continues to grow at a higher pace and not like significantly higher because our basic and the off -patent and generic segment is also growing constantly in the existing molecules and as well as launch of new molecules. But yes, the space -- the growth of speciality segment over last 3 - to 5-year period is at a healthy and satisfactory level. In this particular first half, yes, maybe it has drop 1%.

Suresh Ramachandran : No

Kunal Mittal: Almost same.

Management: Almost same. Yes.

Ankur Periwal: Sure. So sorry. So just on the speciality, especially the domestic part, I'm excluding exports here, you believe the pace is okay and probably it's satisfactory as to our understanding, our expectations internally.

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Suresh Ramachandran : Yeah.

Ankur Periwal: Okay. Great. And just a second bit clarification. We did highlight INR500 crores to INR600 crores of potential capex for those 6, 7 molecules over the next 5 years at Dahej that is. This will be largely fully utilizing the Dahej capacity, and this is the peak that we can look at from a capital deployment there or there is something more?

Kunal Mittal: This is just the starting of Dahej. Dahej will have potential to cater to this kind of a growth for even next 10 years or even 12 years.

Ankur Periwal: Great. And the INR250 crores, INR300 crores capex that we were sort of waiting for the full approval to come in, it will be a subset of this INR500 crores, INR600 crores?

Kunal Mittal: Yes.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: On agrochemical, you said that since we don't want to dump the material and we want to sell at certain margin vis-a-vis so our growth is in line with the industry. But with a lot of new products that you say that you will be launching. So how do we see -- one is the acceptability of the speciality among our fraternity. I mean, farming fraternity, how the things are trending up? And when we really see our agrochemical business growth higher than the industry growth?

emical business growth higher than the industry growth?

Chetan Shah: See, I'll tell you that the growth of speciality molecules like last year, we launched Meshi, and in the very first year, we achieved 5 lakh liters. Our target of that particular product was to ramp up to 10 lakh liters this year. But because of the climatic conditions, we could not do that. Even then, I am sure that we'll cross 5 lakh liters by the end of this financial year. So it is not that we are not growing.

I think we have to understand that Q2 was a major, major setback due to no control of ours over the situation. So that has to be ignored. Even the launches which we made in these difficult conditions of Excalia Max, we have surpassed our initial estimates. So the traction is very good. The product like Lentigo, we have surpassed our estimates.

So all these products have very big potential to have a traction in future. And that is what we are striving for. Even for like our brand Mera 71, we have sold 3,000 tonnes in the first 6 months of this year, which is the highest ever for the entire year. The earlier best we had done was 2,800 tonnes for the full year. And we have already crossed 3,000 tonnes in the first half in such difficult conditions. So tractions are there. But we also understand that the traction cannot be for all the products at the same time. There will be some products which will be affected because of certain conditions. But because of certain favorable conditions, some products can have a terrific traction. So it is a very dynamic sort of a situation in the market. What is the rain condition, what is the soil condition, what are the pest conditions. It depends on all this. And we have to be agile to cater to this demand when it is required, what is required. So you cannot see traction in all the products at the same time.

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Kunal Mittal: Yes. And I think what you mentioned is that we made a comment that our growth will be in line with the industry. So that was, I think, maybe not a right thing what we said. What we are saying is in line with the market growth, for sure, we will grow. That is something which is a base confidence.

And then we deploy several strategies, as Shah-san explained in detail product-wise level, several new products and then doing extensive demand generation and farmer engagement for these products, so farmer understand the benefit of this. And through this, create additional demand over and above the market demand for our products.

So this is the same strategy which we have been deploying, which has given us almost 14x growth in last 15 years. And we believe that in this kind of a situation, if we continue to launch new products, good innovative products, do extensive farmer promotion, we surely target to grow more than the industry.

Bharat Sheth: Okay. Great, sir. And sir, second question of mine -- that you said that now we -- our parent has put out -- I mean, Sumitomo India, India on the par with the other developed market on the introduction of new product and all.

So there are also other category where we are not present, which is there in the parent portfolio. When we like to see all those products, I mean, really when there is a significant market opportunity are there in India will start playing out?

Kunal Mittal: So as we have already mentioned, we are in touch with many of these businesses. But see, many of these businesses are more...

Suresh Ramachandran: You can complete with other segments, you complete it, I will answer.

Kunal Mittal: So this what we are talking about is in other segments, some of this business may not be suitable at this point of time. Like I think someone talked about display. So display, there are no display fabs in India at this point of time. So, we are monitoring many of these sectors and segments and industries,

how they are evolving in India. And at the right time, for sure, we would like to take opportunities and materialize that. But at this point of time, many of these segments may not have that readily available opportunities in India.

And as the Indian market grows, we are seeing good growth in Indian market, both in terms of volume and structure and the fundamentals of the market. And as India progresses to the newer technologies and displays and more high end of the pharma, for sure, we will be ready to take

benefit of those opportunities in Indian market. For other segments, and Dr. Suresh will now answer about the current segment, how we are expanding globally.

Suresh Ramachandran: Yes. In terms of agrochemicals, yes, Shah -san mentioned about India being on the map along with countries like developed countries like Japan or US or Brazil. Now India is also on par with those kind of countries. So what it really meant was , till now or till last month, whatever the new molecule that would come out of the discovery stage were initially tested in those 3, 4 countries. After a couple of years or even maybe after 5 years, only India was even considered as a market for those kind s of molecules. Now SCC has clearly identified India as a potential

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market. Whenever the discovery molecule comes out of the pipeline, India will be one of the countries along with the countries like US or Europe or Brazil for initial phase testing itself. With that, we also have proved that two or three molecules, which are not even named coded compounds are going to be tested in India in the coming months or next Kharif season, which means that India would be one among the first countries for launch of t hose new products. Having said that, these new products to really go through the registration pipeline and come to the market depends - it may take 5 years, 6 years or more than that, depending on the molecule. So at least now, SCC Japan is considering or has started considering India as one of the premier markets, and we would like to have an early entry as soon as the molecule comes out of the discovery pipeline.

Chetan Shah: This will be basically from Japan and branded in India.

Suresh Ramachandran: Correct.

Moderator: Ladies and gentlemen, due to time constraint, that will be the last question for today. I would now like to hand the conference over to Mr. Sushil Marfatia for closing comments.

Sushil Marfatia: Namaste, everyone. Thank you all for aski ng some very interesting questions and our colleagues for replying the same. We hope we would have addressed all your queries.

As we draw this call to a close, I would like to take a moment to reflect on what truly underpins Sumitomo Chemicals India's per formance. Even in the quarter set by unusually erratic weather and external headwinds, our results reaffirm the strength of our fundamentals - a well - diversified portfolio, disciplined financial management, deep farmer relationship s and an unwavering focus on quality and execution.

Our emphasis in the second half of the year will be on the capitalizing on the improved field conditions, driving volume growth in key molecules and sustaining our margin profile through prudent cost mana gement and operating efficiency. We will continue to invest in innovation, farmer outreach and capacity enhancement to reinforce our leadership in the domestic market while building a stronger export franchise aligned with our parent company's global netwo rk. We believe that our strategic directions is well aligned with the evolving needs of the Indian agriculture - a sector that continues to transform through technology, sustainability and innovation. And looking ahead, the company remains fully committ ed to its long -term strategic priorities - strengthening the domestic franchise, deepening the innovation pipeline, expandi

ng

manufacturing and integration and maintaining balance sheet strength. We believe these initiative s will enable consistent , sustainable growth and long -term value creation for all our stakeholders .

Thank you for taking your time to join our conference call today. We truly appreciate your participation. We take this opportunity to wish you a season's greetings. Thank you.

Moderator: Thank you. On behalf of Sumitomo Chemical India Limited, that concludes this conference.

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Thank you for joining us today, and you may now disconnect your lines.

Call: Jun 2026

SCIL/SEC/ 2026
4rd June , 202 6

To,
BSE Limited,
Listing Department,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001

The National Stock Exchange of
India Listing Department,
Exchange Plaza,
Bandra Kurla Complex
Bandra East,
Mumbai - 400 051

Sub: Written Transcript of Earnings Call held on 28th May, 202 6

Dear Sirs,

This has reference to our letter , intimating about the earnings call on 28th May, 2026 with Investors /Analysts to discuss financial performance of the Company for the quarter and year ended 31st March , 202 6, and weblink for the audio - recording of the call submitted to you on 28th May, 202 6.

Please find enclosed herewith written transcript of the aforesaid earnings call.

The said transcript will also be available on the Company's website:
[https://sumichem.co.in/investors -relations.php#Announcements](https://sumichem.co.in/investors-relations.php#Announcements) .

Kindly take the same on record.

Thanking you,

Yours faithfully,
For Sumitomo Chemical India Limited

Deepika Trivedi
Company Secretary & Compliance

Encl: a/a

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"Sumitomo Chemical India Limited
Q2 & H1 FY '26 Earnings Conference Call "
May 28 , 202 6

E&OE - This transcript is edited for factual errors. In case of discrepancy, the audio recordings uploaded on the stock exchange on 28th May 2026 will prevail.

MANAGEMENT : MR. CHETAN SHAH – MANAGING DIRECTOR
MR. SUSHIL MARFATIA – EXECUTIVE DIRECTOR
DR. SURESH RAMACHANDRAN – DEPUTY MANAGING
DIRECTOR
MR. KUNAL MITTAL – SENIOR VICE PRESIDENT ,
PLANNING AND COORDINATION OFFICE
MR. ANIL NAWAL – CHIEF FINANCIAL OFFICER

MS. DEEPIKA TRIVEDI – COMPANY SECRETARY AND
COMPLIANCE OFFICER

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Moderator : Ladies and gentlemen, good day, and welcome to Sumitomo Chemical India Limited Q4 and FY26 Earnings Conference Call. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

From the management today, we have on the call Mr. Chetan Shah, Managing Director; Mr. Sushil Marfatia, Executive Director; Dr. Suresh Ramachandran, Deputy Managing Director; Mr. Kunal Mittal, Senior Vice President, Planning and Coordination Office; Mr. Anil Nawal, Chief Financial Officer; Ms. Deepika Trivedi, Company Secretary and Compliance Officer, and colleagues from SGA, their Investor Relations advisers.

Now I hand the conference over to Mr. Chetan Shah, Managing Director of Sumitomo Chemical India Limited. Thank you, and over to you, Mr. Shah.

Chetan Shah: Ladies and gentlemen, a very good afternoon to all of you, and welcome to the conference call to discuss Q4 and financial year '25-'26 performance of our company, Sumitomo Chemical India Limited.

To begin with, I'll try to provide a summary of agrochemical industry landscape during the year. According to my assessment, this was one of the most challenging years in the Indian agrochemical industry that I have personally seen. The long and excess rainfall through the peak kharif consumption window from mid-July to September and into October curtailed farmers field activity across the country. Key crops including soybean, cotton, groundnut and chilli suffered damage across the multiple geographies of the country. The rabi season recovery was more subdued than we had anticipated. Biostimulants, regulatory constraints affected the PGR and biological categories for a significant part of the year. West Asia geopolitical tension and global trade uncertainties added further complexity to the operating environment in the month of March '26.

In short, it was an unstable year. And yes, I am extremely pleased to report that Sumitomo Chemical India demonstrated stability in an unstable environment. We delivered highest ever profitability performance in financial year '26, highest ever absolute terms and highest ever margin terms. Our PAT grew by more than 7% year-to-year to INR543 crores. PBT before exceptional items grew by more than 9% year-on-year. Our gross profit margin stands at 42% and our EBITDA margin stands at 20.7%. And also, our net profit margins are 16.8%. All record levels in the history of Sumitomo Chemical India.

We achieved all of this while growing top line by 3%, maintaining complete pricing integrity, recording negligible returns of goods from the channel and only with exceptional genuine situations that we took the goods back. We ensured that instead of dumping the material, we

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only supply the material to the channel based on actual ground level demand forecast and avoiding any short-term performance enhancing measures.

One dimension of our Q4 '26 performance that I want to single out for specific mention is the exceptional field engagement effort that our senior management and commercial teams undertook in the rabi season. In what was one of the more intensive demand generation exercises, a significant number of our senior sales team leaders went directly to the field during this period

to

work alongside our sales teams and demand generation teams to reinforce farmer connect at the ground level and also engage with the channel partners. That effort was a direct expression of the culture of this organization and of our conviction that sustainable market leadership is built through consistent personal engagement with the farmer community and ground-level demand pull and not through push.

Before I hand over to Suresh, I want to address the changes in the board composition and management structures that are proposed to take effect from 1st September '26. I believe the

quality and the continuity of our leadership transition is itself a mark of this organization's maturity.

First, on the proposed changes in the independent director side. Dr. Mukul Asher, our current chairman and independent director, completes his final term on 31st August '26. We would like to convey our deep appreciation to Dr. Mukul Asher for outstanding leadership over a long period of time and immense contribution in our company's successful journey. Mr. N. Sivaraman is proposed to be reappointed as independent director for a further term of 3 years through 31st August '29. Mr. Anand Mohan Tiwari is proposed to be appointed as a new independent director effective 31st August '26, for a term of 2 years through 30th August '28. Mr. Tiwari has over 30 years of distinguished experience in public administration, governance, energy, fertilizers, and social development through leadership roles in Indian Administrative Service and major state enterprises in fertilizer and chemical sectors.

Now I'll come to the proposed change in management and executive side. My current term as Managing Director will be my final term in the current position. With effect from 1st September '26, subject to shareholders' approval at the upcoming Annual General Meeting, it is proposed that I will be appointed as non-executive, non-independent director. And following such appointment, the board will consider my appointment as the Chairman. Mr. Sushil Marfatia's term as Executive Director also concludes on 31st August '26, and he will retire from the Board. Dr. Suresh Ramachandran, who is currently serving as Deputy Managing Director, will be elevated to the position of Managing Director with effect from 1st September '26.

On the management structure, from September '26, the organization chart has been provided in our investors presentation for clarity and transparency. Mr. Kunal Mittal, as Executive Vice President alongside Senior Vice President, Hajime Shinomiya -san and Fumio Suzuki -san will anchor the senior management layer, ensuring that the depth of capability below the Board remains intact and effective. The organization is ready. Leadership bench is strong. And we approach this transition with confidence.

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Both myself and Mr. Sushil Marfatia, while we retire from full-time executive roles with effect from 31st August '26, it is proposed that both of us will continue engagement through advisory roles and our key objective would be to ensure smooth transition and mentoring the new management team, including Dr. Suresh and Kunal. With that, let me hand over to Suresh to walk you through Q4 and financial year '26 operating performance and market outlook for financial year '27. Suresh, over to you.

Suresh Ramachandran: Thank you, Shah -san, and good afternoon to everyone on the call. I'll focus my remarks on the operational dimensions of our performance, the category dynamics, business mix, market conditions, and new product outcomes that drove our results in Q4 and financial year 2026. The headline revenue growth of 3% for FY '26 understates the underlying momentum of the core crop protection business for two reasons. The interim reduction in animal nutrition distribution revenues and the adverse agro-climatic condition that suppr

essed industry-wide

demand through the kharif window.

On business mix, domestic revenue grew by 4% year-on-year in both Q4 and the full year, with the domestic franchise demonstrating genuine resilience. Our branded formulation share in domestic sales improved to 81% in FY '26 from 79% in FY '25, reflecting the ongoing structural shift towards higher quality, higher margin revenue.

Export revenues declined 7% in Q4 and 1% for the full year, primarily due to shipment difference in select geographies and softer demand conditions in certain markets. On logistics specifically, global container availability remained somewhat constrained towards the end of Q4, especially in March and into the early part of FY '27, with some shipment delays experienced, including to Africa. However, we assess these delays as episodic and manageable rather than structural things. Costs have been passed on to customers wherever applicable, as much as possible, and we are not viewing this as a significant drag on our business.

On product categories, in FY '26, herbicides registered a strong growth 87% year-over-year in Q4 and 19% for the full year driven by healthy traction of our soybean herbicide flumioxazin, very good adoption of our newly launched rice herbicide Lentigo, and our flagship brand of glyphosate, Mera 71. Metal phosphates grew 16% in Q4 and 11% for the full year. Insecticides remained broadly resilient and the consumption of insecticides were broadly affected because of the monsoon conditions. The biostimulant segment was impacted by regulatory constraints through much of the year. Those clearances came through for us in November and December of 2025, and we have since commenced sales under the new approvals. We have additionally obtained the registration of a new biostimulant called Top Grain from our parent company, SCC or SBC, Sumitomo Biorational Company portfolio, which we would be launching in the

upcoming months . We generate approximately 8% to 10% of our revenues from biologicals, already well above the industry average of below 5 %. We expect this share and absolute revenue contribution to grow meaningfully from FY27 onwards as the new framework takes full effect. Our new products, 7 products were launched during FY 26. Lentigo and Excalia Max, which are our proprietary technology, patented technologies from our parent company. Both the products

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have been accepted very well and we could meet our internal or exceed our internal targets even in a weather -affected season of last year.

On digital outreach, on our continued expansion of digital outreach to farmers, overall 20% localized landing pages have been increased, 35% precision -targeted digital campaigns increased and about 60% increase in digital touch points annually with a 17% reduction in engagement cost. Our Sumitomo Connect and Sumitomo Field Connect field -force applications are embedded in day -to-day operations, and we are rolling out our MDO tracking application in the current financial year. These are substantive capability investments and they will compound our competitive advantage over time.

The company also received external recognition for innovation -led marketing excellence, winning the Gen AI -led Creative Award at the prestigious ad:tech India New Delhi event , for our digital campaign for Sumi Max. Products launched in the past 3 years now contributes to approximately 8% of our total domestic revenue, a healthy and growing share that reflects the accelerating pace of new product adoption by the farmers.

Looking further ahead, our new product pipeline from SCC global portfolio gives a strong visibility to the next 3 to 5 years. Out of the 3 or 4 molecules, only 1, which is Excalia Max, has been introduced, that is INDIFLIN has been introduced in the past financial year. That leaves us with another couple of more products

in the pipeline to be launched in the coming years based on the regulatory approvals.

These specialty products that have built our specialty business to 30% of our domestic revenues and it's these same new technologies where we will focus to build up the volume, will continue to drive the structural quality improvement in our revenue mix over the next several years.

Now let me turn to FY '27 and talk about the opportunities and the risks we see. On the demand side, the Indian agriculture sector remains resilient and continues to be optimistic, as you would have seen the minimum support price have also been increased by the Government of India. However, few risks warrant careful monitoring. First of them is timely and adequate supply of fertilizers for Indian farmers, which may influence farming activities and cropping patterns or crop shifts can happen during the upcoming season. Second risk is related to monsoon. IMD has forecast the southwest monsoon to be 92% of the long period average, placing it in the below normal category. And global weather agencies, including NOAA, are indicating 82% probability of El Nino emergence during the May to July period. Indian agriculture today is structurally more resilient than it was a decade ago, with nearly 55% of net sown area having access to assured irrigation, and that provides a meaningful partial buffer.

However, our company supply chain planning is on the basis of normal kharif season, and we are calibrating our inventory buildup and channel stocking accordingly. The actual monsoon arrival over the next few days, few weeks, and the distribution over the next 3 to 4 months till September will be the most crucial and important variable for the industry to monitor.

On cost and pricing, FY '27 will be characterized by headwinds from depreciating rupee, escalating cost across raw materials, packaging materials, solvents, transportation, driven by

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geopolitical developments. As cost pressures have built already and continue to build, the company has been gradually and systematically passing on these increases to the market, and we have been reasonably successful in doing so till now.

We plan to continue following this approach, calibrated product -by-product market condition -sensitive price management, rather than a one -time blunt increase. We enter FY '27 with production running at full capacity and no supply chain constraints. Our planning assumption is that for now, demand is holding up and cost increases are being absorbed by the market.

The situation in Q1 FY '27 looks constructive overall, though we acknowledge that Q2 FY '27 and the second half of the year will be largely shaped by monsoon outcomes and global dynamics, particularly in the context of the ongoing geopolitical environment. Overall, for FY '27, we are cautiously optimistic of the upcoming season based on the situations I described

above.

With that, I hand it over to my colleague, Mr. Kunal Mittal, to take us through the next segment.

Kunal Mittal: Good afternoon, everyone. Thank you, Dr. Suresh. Our company's balance sheet remains essentially debt-free. Our cash and cash equivalents, including liquid investments as on 31st March 2026, were at approximately INR2,113 crore s. Return on capital employed improved to 31% from 29% the year before. And our net worth grew to INR3,394 crore s, a 17% year-on-year increase, funded entirely through retained earnings.

On our capital expenditure program, we want to reconfirm our commitment to invest in infrastructure for expanding our manufacturing portfolio, especially for our parent company's proprietary product portfolio, including some of the newly launched patented products globally. All the capex projects which were announced earlier are progressing well, especially from infrastructure creation point of view. Subject to receiving regula

tory approvals in timely manner

from respective exports market, which are being undertaken by our parent company, currently, we are on track to meet the expected commercialization timelines of these capex projects.

In addition to various capex projects which were already announced earlier and under implementation, our company is at advanced stages for completing techno-commercial feasibility for few additional capex projects. And we will keep you updated as we receive formal approvals from our board and our parent company, SCC, for such additional capex projects. Our expectation and endeavor is that we can continue sustained pipeline of capex projects and investments over the next decade.

We want to also update you on 3 more new initiatives. Our first one is a key development which is towards early-stage trials and launch of new products in India. India has now been elevated by our parent company, SCC, Japan, to the same tier as Japan, Brazil, North America, and Europe for the early-stage testing and early introduction of new molecules from our parent company, SCC's global discovery pipeline. We have already received 2 such molecules for trials in Indian condition on various crops and various geographies, and these trials are ahead of their global launch in the global market. This is a very important development and a signal of the confidence that our parent company has in the capability, scientific, manufacturing, commercial, Sumitomo Chemical India Limited

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and regulatory on SCIL, and what we have built in India over the past 25 years - confidence SCC has in that. We intend to honor that confidence by executing these new product launches, the entire life cycle of that with excellence.

The second point we want to update about animal nutrition business. As you would recall, during financial year '25-'26, we had announced that the company had discontinued distribution of animal nutrition products in India due to global realignment of the distribution strategy.

However, recently, some of these products are facing lot of global challenges in terms of supply chain and also servicing to the customers, including the logistic delays. So in this kind of a situation, in discussion with our customers, Indian customers, which were built over last many years and also some of these third-party distributors, which our parent company had appointed and also in full alignment and discussion with our parent company, our company plans to restart distribution of these products immediately and we will continue distribution of these products for near future.

One more important update about animal nutrition business is these are the products which are commodity in nature. And in the current geopolitical situation, the pricing and supply availability of this product is very, very dynamic and volatile. And also pricing has increased significantly in last few months, what we have observed. While we don't know how long such kind of a trend will continue, but as on today, it looks like that we will continue distribution of this product for some more time, and the pricing is on a higher side as compared to the historical averages. So this may add to some additional revenues for the company in the near future. However, as you would recall, the profitability of these products is limited due to the limited scope being played by SCIL and the profitability is approximately 4% to 5% level. So while this may add to some sort of a turnover increase, but from the profitability point of view, it is not expected to be a material and significant increase.

And another point which we wanted to update is about a new royalty arrangement, which we are discussing with our parent company. As you would recall, based on our past interaction, we have always maintained that we are not paying any kind of royalty to our parent company and we really thank our parent company for s

uch kind of arrangements.

What is happening today is for all our parent company innovated molecules, we get right to exclusively distribute these products in Indian market using the global brand name and

trademark of our parent company. And in many of the cases, we continue to buy the technical goods from our parent company. After that, using the technology provided by our parent company, we are doing local formulation of these products and then we are distributing these products in Indian market using the trademark and brand name provided by our parent company. So for these technologies and intellectual properties, including brand, knowhow, and these trademarks, for this no royalty was charged in the past.

As per our request, since it is possible to procure some of these products at a better pricing situation as compared to the supply prices from SCC, our parent company has agreed our request and allowed us to buy these technical products from outside. That means the obligation of buying the technical goods from our parent company is proposed to be waived off for selected 2 or 3 products. So in this kind of a situation, what we have committed to our parent company that we

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may pay a small percentage royalty only specifically for these 2 or 3 shortlisted products, wherein SCC, our parent company, will allow us to buy the technical goods from outside, but we will continue to use their technical knowhow, their trademarks, and their brand name for distributing and manufacturing these products in Indian local market.

So we believe that this arrangement, as agreed by our parent company, will overall increase to our margin profile and they will also help us expand this product business in our domestic Indian market. Overall, in the overall scheme of things, these percentage terms and these amounts are specifically only for 2 or 3 shortlisted products and the total amount of royalty is also expected to be very immaterial.

In our annual report, we plan to disclose a cap of INR2 crore, but the actual number of royalty is expected to be lower than this. So we just wanted to give you some of these strategic initiatives which we have implemented recently. And now I would like to hand over the call to our CFO, Mr. Anil Nawal, to please take us through our consolidated financial performance.

Anil Nawal: Thank you, Kunal. Good afternoon, everyone. Let me begin with Q4 FY '25 -'26. For Q4 FY '26, revenue from operation was INR684 crore s, up 1% year -on-year. Q4 revenue recorded a reduction in animal nutrition revenue from INR65.3 crore s in Q4 FY '25 to INR37.5 crore s in Q4 FY '26.

Gross profit grew 6% to INR289 crore s at a gross margin of 42.3%, expanding 223 basis points. EBITDA grew 12% to INR134 crore s at a margin of 19.6%, expanding 202 basis points. PBT, before exceptional item, grew 11% year -on-year. PAT, (profit after tax), grew 12% to INR111 crore s at a PAT margin of 16.3%, expanding 159 basis points.

Turning now to our full year performance for FY '25 -'26. For FY '26, revenue from operation was INR3,238 crore s, up 3% year -on-year. From a product mix perspective, insecticides remained the largest contributor at 41% of total revenue. Herbicides registered strong growth of 19% year -on-year in FY '26, supported by healthy traction in our rice herbicides portfolio, particularly Lentigo. Metal phosphates grew 11% year -on-year, while our overall specialty mix continued to improve, with branded products now representing 81% of domestic revenue and 40% of export revenue. Our FY '26 gross margin expanded 42% from 41% in FY '25, an improvement of 107 basis points reflecting the structural improvement in our business mix - a greater contribution from specialty products, calibrated pricing actions and disciplined procurement. On an absolute basis, gross profit grew 6% year -on-year to INR1,361 crore s from

INR1,290 crore s in FY '25.

EBITDA was INR671 crore s, up 6% year -on-year, at an EBITDA margin of 20.7%, an improvement of 64 basis points. An exceptional charge of INR16.1 crore s was recorded in FY '26 on account of newly notified labor codes. Profit before tax was INR728 crore s, up 7% year -on-year at a PBT margin of 22.5%. Net profit was INR543 crore s, up 7% year -on-year at a net profit margin of 16.8% and improvement of 68 basis points.

On working capital, our net working capital stood at 103 days as of 31st March 2026 versus 89 days a year ago. The increase reflects two deliberate factors: A seasonal inventory buildup ahead

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of kharif to ensure uninterrupted product availability in an environment of global supply chain volatility, and a reduction in payable days, reflecting the tighter credit terms in uncertain times and our strengthening procurement positions. Receivable days improved meaningfully from 91 days to 83 days and total collection during FY '26 were approximately INR3,726 crore s as compared to INR3,534 crore s in FY '25, an increase of approximately 5%. These outcomes in

what was a challenging collection environment across the industry, reflect the sustained discipline of our credit management practices and quality of our channel relationship. The company continues to follow a rigorous margin-based profitability first approach to working capital management and we intend to maintain and strengthen our discipline going forward. I also want to talk about our foreign currency exposure as the depreciation of Indian rupee has been a subject of market-wide discussion. Our export and import are approximately equal in value, running at roughly USD 70 million to USD 80 million each on an annual basis. As a result, the net foreign currency exposure of business is largely self-hedging and the impact of rupee depreciation on our overall profitability has been broadly neutral. We also hedge our foreign currency exposure and do not carry any unhedged currency risk, and this is a structural feature of our business model that we believe is well understood, but worth reiterate clearly. We will now take a pause from our side and request moderator to open the floor for questions one by one.

Moderator: Thank you very much. We will now begin with the question and answer session. Your first question comes from the line of Rajas Joshi from ChrysCapital. Please go ahead.

Rajas Joshi: Good afternoon, team. I was going through your parent's presentation for the full year that ended recently. And in the presentation, on the slide on ICT and mobility solutions sector, which is for semiconductor materials, there's specific mention of the parent planning for commercialization of high purity semiconductor chemicals in India in their deck. So I just wanted to get your color or your thoughts on how you look at this development and what plans, if at all any, would be for us in this segment?

Chetan Shah: Yes, you are right. There was a mention by our parent company in various forums about this topic. We are working very closely with ICTM department of Sumitomo Chemical, Japan. And so far, all the meetings with the government officials, the customers, or whatever you may call, it's all happened jointly with us.

And we are, as much as you are, maybe little more than that, we are also looking forward for this project to fructify and a lot of work and lot of inputs are being given by us on this project. So hopefully, very soon, you may officially hear from us about the project of purified chemicals for semiconductor business.

Rajas Joshi: And sir, secondly, on the export piece. Given the recent tensions in the Middle East, there's been an uptick in prices of certain products, both technicals and correspondingly from this as well. So how is that expected to feed into both demand and correspondingly the elev

ated prices helping

us in the margins front to some extent on the export side?

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Suresh Ramachandran: Yes, in overall, if you look at it, there has been cost escalation I described during the commentary, so which we are trying to pass on as much as possible. Yes, the price realization has been better, especially from let's say, late of March. But it may not translate completely into percentage margin because the cost is going up and the price is going up. So, it's probably along net neutral or plus or minus few percentage point, that's about it. It all depends on how the situation is going to be.

If the war continues, if all the costs are going to keep going up or remain at this level, the pricing may be able to continue. More than the pricing, the supplies, which supplier is able to make the supplies as per the customer demand will play a crucial role in terms of the business.

Rajas Joshi: And in terms of volumes, is there any movement expected there on the export side?

Suresh Ramachandran: It's too early to comment for the current financial year. The indications are there. It all depends on how the logistics situation is going to pan out, how the cost escalation is going to happen, how those country customers are going to afford to pay, in the current situation of cost. If they are willing to pay, then there would be upside. It all depends on how the situation is going to unfold in the next couple of months.

Rajas Joshi: And lastly, if you could please call out the revenue number for sales under the custom synthesis kind of division that we have wherein we sell products to our parent. If you can just call out that number, if possible, which is classified as CRAMS or CSM, how you call it?

Kunal Mittal: It is roughly in the range of INR100 crores to INR150 crores, depending upon the market situation in terms of volumes at this current level. And as we have explained, that some of the projects are underway in the implementation side. And once those projects are implemented from next financial year onwards, we are expecting some growth in those numbers. But for the time being, this number is roughly in the range of INR100 crores to INR150 crores.

Moderator: Your next question comes from the line of Probal Sen with ICICI Securities.

Probal Sen: Sir, a couple of questions. Firstly, the commentary obviously did talk about the kind of monitorables and constraints that may be there in FY '27 despite demand being resilient, the kind of monsoon uncertainty as well as the Gulf pricing -- the Gulf conflict and all. Is it fair to

therefore look at margins a bit more cautiously for this year?

I understand that you did mention that cost increases are being passed on. But with the kind of momentum one sort of sees in margins being probably constrained by these situations, how should we actually look at the margin trend? Flattish versus this year or even a possibility of some decline that can be there? Just your thoughts on that. That was my first question ?

Chetan Shah: Many years, I mean, not many, but few years back when our profit margin increased, I was asked questions by lot many people whether this is one -off or this is sustainable. And I very confidently, at that time, had said that the margins which we are getting will be the most sustainable margin and they are all achievable every single year.

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And I am happy to note that because of our groundwork, because of our product mix, because of our flexibility of giving the right product at the right time and concentrating on our portfolio in a much, much better manner, we are able to give or ensure the margins on a sustainable basis. And we will do the same thing continuously to ensure that margins are sustainable. I understand, like even when we got our cost increases in the month

of March and all that, we

were very uncomfortable as to how these costs are going to be passed on and how the market is going to react. But we have had, on 15th of March, a price increase, on 1st of April, a price increase, on 1st of May, a price increase, and now we will see whether we can increase the prices on 1st June. So it is a very, very cautious approach.

We control our cost, but certain costs like raw material prices going up or the freight charges going up or solvent prices going up because of the naphtha and oil prices, all that is not in our hands. So we have to be very cautious in ensuring that this cost does not go out of our sustainable margins. It has to be passed on. And we have, as I gave you an example, that we have already increased the prices 3 times within this, 15th March till now. And that is what we'll continue to do, but we'll ensure that our margins are sustainable.

Probal Sen: My second question was with respect to inventory levels and working capital. Again, coming back to the uncertainties with respect to the supply chains of raw materials and imports. Has there been any change in the kind of days of inventory that we are holding as of now, particularly for the first quarter?

Chetan Shah: What has happened is that we have deliberately purchased more and deliberately produced more during the fourth quarter in order to be ready for the new season. So while we do that every year, but this year, the focus was more, like we saw the trend of packing materials going up.

So instead of 90 days inventory, we went for more number of days of inventory. Even certain crucial raw materials, which was oil or naphtha based, we have extra inventory. So all those things actually ultimately will benefit us because prices of this packaging material or raw materials are constantly still going up.

So as a matter of fact, it is better for us to have a little bit more inventory rather than depending last minute on the raw materials and packing materials. And what has happened, I mean what it has really proved to be a boom for us is that currently the freight or the transportation lead time has increased for every shipment from abroad and more so every shipment within the country.

So even if you want, say, packaging material, the people say we are not getting the trucks. Instead of 4 days, it will take 8 days. Raw materials, same thing. Within India, the movement has, you know the lead time has gone up and we are far better off in having the inventory, that extra inventory to meet out that extra lead time.

Probal Sen: Third question, if I may slip one more in. With respect to the new product pipeline, I believe Kunal did mention about the 3, 4 new pipeline molecules that have been under development, of which Excalia Max has already been launched and is showing great results. Just wanted to understand for FY '27, can we expect any one of these molecules to be commercialized and launched? If you can provide some color on that ?

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Suresh Ramachandran : Yes. As I said, Excalia Max was launched during last kharif. But I also mentioned another molecule, which is a group company molecule, Sumitomo Biorational Company, Top Grain, a biostimulant. We got the registration towards the end of last year, which we expect to commercialize in the coming kharif. And there is one more product which we are expecting registration. Obviously, once the registration we get it, our endeavor would be to launch within this financial year.

Moderator: The next question comes from the line of Animesh Jain with Dalal & Broacha.

Animesh Jain: Thank you for the opportunity. So can you tell me about our facing any disruption in procurement of raw material or technicals? Because we have taken permission from our parent company for importing technicals from third party. So it's for the formulation part or new

lau
nches or any disruption in the raw material?

Chetan Shah: So these are for existing products, not for new products. And we are not facing any constraint on our supply chains. We are getting the materials as we want. And also we have prudently stocked up the materials as well. So I can say that, and this has been also from our side, we have promised the sales team that no order of the customer will be turned down.

So we are not going to say, sorry, we don't have materials, we cannot supply. So that confidence has been even given to the sales team, and we are very, very confident that there will be no situation that we'll have no materials and we will not be able to supply the goods.

Kunal Mittal : And this clarification, this point which you mentioned that our parent company has allowed, as Shah -san mentioned, this is for the existing product and only for 2 or 3 very specific products where this is available. So generally, the terms and everything remain same except these 2, 3 products, wherein our parent company has allowed us more flexibility.

Animesh Jain: And my next question on Barrix's portfolio, because in last con call, you have announced that we are facing some regulatory challenges. It's solved or it's still going on?

Kunal Mittal : I think most of the regulatory challenges which were started, I think this is something which the entire industry face d, including our company and our subsidiary, Barrix, especially in the bio kind of a product. So those challenges were faced from middle of June towards end of last financial year. At this point of time, largely, most of the approval have been received to r estart the business and it has been restarted now from the recent past. So this year, we are not expecting those regulatory challenges to continue or impact us negatively.

Moderator: Your next question comes from the line of Siddharth Gadekar with Equirus.

Siddharth Gadekar: Sir, just first on the domestic market, what kind of price hikes do we need to take, assuming the raw material basket stays where it is today to pass the entire thing to the end customer?

Suresh Ramachandran: It's very difficult to generalize. Product to product, it varies. Formulation to formulation, it varies. Active ingredient to active ingredient, it varies. On a large scale, can we say maybe 10%, 15% cost escalation depending on the product. Some products have even gone up to 20%, 25%.

So it's very difficult to generalize. It varies from product to product.

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Siddharth Gadekar: But would it be a fair understanding that the revenue growth will be much higher given that raw material prices have moved higher for FY '27, at least for the first half?

Suresh Ramachandran : It's very difficult to say. The reason I'm making that statement is suddenly if there are -- see, there are 2 issues. One is we don't know about the fertilizer supply. We don't know how the monsoon is going to play out, what the crop shift is going to happen, what the farmer demand is going to be there. If competition , companies start reducing the price then we will also are in the same market, we'll have to drop the price.

The second thing is the war situation. If the war stops tomorrow, yes, it may take a few weeks or couple of months for the situation to come back to normal. The minute the war stops and the things started improving then competition or people may not want t o hold the price and want to get the volume. So it all is going to be played on all these developments, which we will have to wait to see the situation , how it evolves.

Siddharth Gadekar: The second question on the capex side, we had announced a INR150 crore s capex for Dahej, and we highlighted that we are in advanced stages to announce the second phase. Can you give some sense of what are we planning to do in the INR150 crore s also and on the second phase, how large that o

ppportunity could be?

Kunal Mittal: So, as we mentioned last time, in the last, I think, quarter back, we have announced this capex of INR150 crore s to be developed at our Dahej site. This is the first project coming at Dahej, and it is expected to be commercialized in next 2 years or so, and that continues on the track. I think we have started some of the development work, and it seems that it should be on the track currently.

And as we had mentioned, that next phase is expected. We are doing a lot of feasibility studies as we mentioned and covered earlier. And the quantum of that is expected to be similar for each of these projects , with little bit higher up and down. But the quantum is expected to be similar for each of these projects and we are expecting a pipeline of such projects over next few years.

Siddharth Gadekar: So this was largely -- sorry.

Kunal Mittal: To be announced one by one. So what we are saying, first project we have announced at Dahej for INR150 crore, and then we are expecting a series of projects over next few years.

Siddharth Gadekar: Sir, and in this INR150 crore s capex, what kind of product would we be doing? Because we have only highlighted it would be a intermediate for the herbicides. Will we be doing the N -1 or we will be doing a KSM type intermediate in this?

Kunal Mittal: We will not be able to disclose because this is a business confidential information. But to some extent, it is before integrated , may not be KSM, but a good level of integration.

Moderator: The next question comes from the line of Ankur Periwal with Axis Capital.

Ankur Periwal: So first question on the overall volume growth in FY '26. If you can help on that, maybe a breakup between specialty and how the generic portfolio has been performing?

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Suresh Ramachandran: Ankur, if you have closely observed the last year, the prices of most of the agrochemicals were largely stable, by and large stable. So there was a minimal growth in terms of price. Most of the increase that you see in terms of revenue is primarily from volume.

Kunal Mittal: And also, as I think Mr. Shah also explained, and Dr. Suresh and Anil sir also covered in their thing, while the top -line growth is 3%, however, there were some negative factors of, like, say, this animal nutrition business discontinuation, which we mentioned. So if you look at our pure agro business, it has grown roughly in the range of 5% -6%, and almost everything through volume, as Dr. Suresh mentioned.

Ankur Periwal: Just within the portfolio, while herbicide has done good for us, will the growth over here will be largely led by the new products or even the existing ones ramped up? And secondly, specifically on PGR as fungicides. A fungicide may be seasonal but PGRs had been growing reasonably well earlier, but they witnessed a sharp decline this year. Anything specific here?

Suresh Ramachandran : Yes, I can explain it to you. See, in terms of herbicides, it's a mix of both generic products as well as specialty products. Specialty products, our flumioxazin soybean herbicide grew significantly. Second, a newly launched rice herbicide, Lentigo, contributed to the overall herbicide growth. Apart from our key branded molecule, Mera 71, a different formulation of glyphosate, recorded a very good growth. So, the herbicide portfolio growth is on account of mix of both specialty and generic portfolio.

In terms of PGR, mainly gibberellic acid, GA, again, a big product for us, declined on account of really bad grape season. If you had observed at that time in the grapes, there was continuous rains, a lot of grape area got damaged and the spraying itself did not happen. That had a direct impact on our PGR, that is gibberellic acid portfolio. That's the reason you see a decline in the PGR portfolio.

Kunal Mittal: And just to add, there was also this re

gulatory challenge, what we mentioned about biological.

So in PGR, this one particular product, which is very important, gibberellic acid, Dr. Suresh explained the market concerns. But for several other products in this portfolio, which are bio in nature, including we and our subsidiary, Barrix, we both faced regulatory challenges. Many of these products could not be sold right from June to, say, December or January. So for 6 months, the sales and the distribution was disturbed for these products.

Herbicides part, what Dr. Suresh explained about the products, both generic and specialty, there was also a factor of weather. Because if you see the Q1 was very good and till that time, the monsoon rains, everything was well covered in India and that is why we saw a lot of herbicides. And other portfolios like insecticides, fungicides, were more severely impacted by extraordinary rains in the later months, like August, September, October. So herbicide portfolio did not get negatively impacted due to weather while other portfolios did get impacted because of these weather factors.

Chetan Shah: I'm sure you are aware that the industry as a whole has unprecedented return of herbicides from the channel all across the companies. And as compared to that , we have not taken even 1 liter

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herbicide back from the market. So whatever we could sell or whatever we could sell, it was sustained. There were no returns at all of our herbicides.

Ankur Periwal: Thanks for the detailed answer. Second bit on the capex side, just as a follow -up to the earlier question. What number should we take for, let's say, over '27 and financial year '28? Because earlier we also highlighted that there were some products at an approval stage from Japan, which can be possibly backward integrated in India. So any status update over there?

Kunal Mittal: So Ankur, whatever capex we have mentioned, they continue to be on timelines and any additional projects which we will announce in future that will anyway take 2 years plus to be commercialized. And as we have mentioned, I think whatever capex projects we have

announced, we are not expecting any incremental revenues in current financial year. So current financial year, our endeavor will be to maintain the sales which we have, like as I mentioned earlier, it is between INR110 crore s to INR130 c rores, INR140 c rores level at this point of time. So that we are planning to maintain in current year. And from next year onwards, as some of these capex projects get completed, some incremental revenue should be added. But large part of that increment, because this INR150 crore s of large Dahej capex, that is expected to take from, say, due to financial year '28, '29, the revenue side.

Ankur Periwal: And just last one, if I may squeeze in. Going back to the Sumitomo Japan's sort of presentation, highlighting India to be a hub there from a semiconductor production, et cetera, perspective.

Two parts. One, the cash that we have on the books, will the larg e part of that capital allocation will be getting funded here? And secondly, from a technology point of view, from an R&D point of view, from a capability side, where are we? Do we need a significant investment from Sumitomo Japan to be tran sferred here or the existing team on the R&D side, if y ou can share some thought s there?

Chetan Shah: No, it will be existing team only. We are very good at it and as a matter of fact, even Japan has now developed confidence in our R&D and they are pushing us that even if the technical knowhow comes from Japan, if we can improve it would be better. So they are giving us all the free hand as far as R&D is concerned and it will be all ours. We don't need any capital from Japan or any manpower from Japan.

Kunal Mittal: And on your first question, Ankur, about the investment. So you are right t

hat we are

accumulating a lot of cash at this point of time. And as our parent company also announced that they want to use India as a manufacturing hub, especially our sector, agro and life sector has clearly mentioned this in the past in a lot of forums and that is something which we have committed. And as we also mentioned that we are expecting to implement several new capex projects, especially at our Dahej site for our parent company's global requirement. And we are expecting that a lot of our capex can be invested into that , through the funds which are accumulated in India.

Ankur Periwal: Thanks a lot for all the answers and congratulations Dr. Suresh for your new role and responsibilities. Thanks.

Moderator: The next question comes from Riju Dalui with Antique Stock Broking.

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Riju Dalui: Thanks for the opportunity. Now we are talking about the RM inflation and the cost passing to the farmer. So how are we confident of passing cost to the farmer? So far we have done that.

But if we look at in terms of the overall economics of the farm, fert ilizer price already hiked maybe in last one and a half months.

And also if you look at the other ag ri commodities, the prices are already soft. So like even though we pass on our prices, is it possible that the volume can taper because farmers might shift towards the generic product, not the specialty or branded product because of the cost pressure and the inflation.

Suresh Ramachandran : Yes. As I explained, there is a lot of dynamics that is playing on. One is monsoon, that can change the cropping pattern, number one. N umber two, fertilizer availability. Even before talking about fertilizer price. Fertilizer price anyway mostly it is subsidized and I don't think it's going to significantly increase to the farmer. In terms of supply, fertilizer supply availability ca n impact the cropping pattern. If you look at way back '22, '23, all the agrochemical prices have shot up significantly but still farmers were able to buy and invest in their crop and got good crop. So similarly, we will have to wait and see how the competition is going to play, how the monsoon is going to play out, what is the fertilizer supply situation. Al l these things will play a role in terms of how much the farmers can absorb the cost. As I mentioned, we are not taking a one - shot decision and trying to see that recover everything. So we are taking a calculated decision based on the product, based on the brand, based on the popularity of the brand, we take that call, and that's how it will be. It's a dynamic situation, so the decisions have to be fast, and we are geared up for that. We're reviewing the situation on a weekly basis, if not on a daily basis, and take those calls and implement the decisions.

Chetan Shah: Also the agrochemical is the least of the cost to the farmer in his overall cost. I think farmer wil l be more worried about at what price he will get the fertilizers and other inputs. But agrochemical is not a very big part of farmer's cost. So when the ti me to use the agrochemical comes, farmer only sees to save his crop and the price to him at that point of time really doesn't matter in his economics.

Riju Dalui: And sir, second part is that, if I look at your herbicide portfolio , growth in the Q4, that was very strong. Can we assume that it partially driven by the price hike that we have taken over in the month of March, and also partially supported by the intermediate rainfall during the late rabi

season, both have influenced the growth?

Suresh Ramachandran : See primarily it is volume growth. Yes, price increase happened, that was towards the middle of March or third week of March. The major contribution would have been volume and probably to some extent, I would say that since the war situation was emerging, channel was little bit skeptical about the availability of herbicides and probably they bought little early compared to what they would have done in a normal year.

Riju Dalui: And also, if I look at some of the herbicide prices, maybe one of our most demanded herbicide product, glyphosate, the prices have shot up more than 40% to 50% over last few months. So was that a kind of a pre-buying in the channel more of than the actual demand driven growth that we have seen in the Q4?

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Suresh Ramachandran : See mostly glyphosate starts getting used only towards the end of April, early May. Before that, it's all stocking up except maybe little bit of usage would happen in north. So I would say the cost of raw materials of, not only glyphosate, all the raw materials costs have gone up. Yes, glyphosate has also gone up. So we also increased the price and the entire glyphosate industry increased the price. And there is stocking up of some of the products by the channel also.

Riju Dalui: And sir one last question regarding the capex that right now we are talking about the semiconductor capex and some other capex. But if we look back at past year guidance about the INR300 crores capex at the Dahej plant, so far we have only announced INR150 crores capex. So in terms of how are you confident to announce another capex at the Dahej plant for the agri intermediates in the near term, and in terms of the product that are already in process of getting the approval from the parent company. So how was the status for those products?

Kunal Mittal: So at this point of time, based on whatever technical feasibility studies we have done and discussed, technically, we are very, very confident. And overall, we are cautiously optimistic that some of these capex projects should get approved and we should start the implementation.

Riju Dalui: And sir, any kind of a timeline or stage that we are into this process of approval?

Kunal Mittal: So as we have mentioned that we are not looking at one particular point of time to announce a very large capex. We announced one project just, say, 3 or 4 months back, and periodically, let's say every year or so, we are expecting or maybe earlier than that, we are expecting next project to be announced. Because implementation of, say, 5 projects cannot be done together. So let's say, every year for next few years, we can keep announcing one project.

Moderator: The next question comes from Hardik with ICICI Securities.

Hardik : Thanks for the opportunity, sir. Just want to know if you can just give a breakdown between what was the volume growth and the pricing increase in Q4 and full year performance that driven the revenue?

Kunal Mittal : So I think this point was already addressed by Dr. Suresh earlier. If you look at our agro business, overall from a full year basis, the growth was approximately 5%, 6%, and which is fully from volumes. Pricing was stable, if you look at the full year basis.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Sushil Marfatia for closing comments.

Sushil Marfatia: Namaste, everyone. Thank you all for asking some very interesting questions, and our colleagues for replying the same. We hope we could address all your queries. FY '26 was a generally difficult year for the Indian agrochemical industry. Adverse weather, regulatory constraint, global uncertainties, and cautious channel sentiment, all occurring in the same year.

And yet, in that environment, Sumitomo Chemical India delivered its highest-ever profitability. That outcome speaks to the depth of the franchise we have built. Looking ahead, our priorities for FY '27 are clear - scaling up our recently launched products, continuing to invest in farmers' engagement and demand generation.

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Advancing our manufacturing expansion program

at Bhavnagar, Tarapur, and Dahej, and sustaining the financial discipline that has consistently underpinned our profitability. We remain watchful of the monsoon outlook and the broader operating environment, and we are well prepared to navigate whatever conditions the year brings.

I also want to express here my deep gratitude for the privilege of having been part of this organization's journey. The company that Sumitomo Chemical India is today a INR3,200 crore s

business with a strong parentage, strong products and brands, strong people and team, and strong plans. All these strong Ps helped us generate strong profit for our shareholders, which is one of the highest profitability level in our history. It is collective work of every person in our company who have given their best to this organization. I am proud to have been one of them.

Thank you once again for your time and your continued trust in Sumitomo Chemical India. We look forward to staying engaged with you throughout the year ahead. Thank you very much.

Moderator: Thank you. On behalf of Sumitomo Chemical India Limited, that concludes this conference. Thank you everyone for joining us, and you may now disconnect your lines.